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September 27, 2004

Bryant L. VanBrakle, Esq.
Secretary
Federal Maritime Commission
Room 1046
800 North Capitol Street, N.W.
Washington, D.C. 20573

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FEDERAL MARITIME COMMISSION

Re: Trans-Net, Inc. v. FESCO Ocean Management Limited
Docket No 04-07

Dear Mr. VanBrakle:

Enclosed for filing in the captioned proceeding are the original and 15 copies of Trans-Net, Inc.'s Reply to Motions to Dismiss and for Summary Judgment of FESCO Ocean Management Limited.

An additional copy is enclosed. Please stamp it "Received" and return it in the enclosed envelope. Thank you.

If you have any questions, please let me know.

Sincerely,


Eliot J. Halperin

Enclosures

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BEFORE THE FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

DOCKET NO. 04-07

**TRANS-NET, INC.'S REPLY TO MOTIONS TO DISMISS AND FOR
SUMMARY JUDGMENT OF FESCO OCEAN MANAGEMENT LIMITED**

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I. INTRODUCTION

The parties and the Presiding Judge find themselves in a broadened probe into Respondent FOML's activities and practices, particularly in the trade between the United States West Coast and the Russian Far East ("RFE"), which began in Commission Docket No. 03-08. Then, as now, Complainant Trans-Net, Inc.'s allegations are directed to FOML's status, or not, as an ocean common carrier and the shipping practices in which FOML engages. Trans-Net contends that FOML was not an ocean common carrier in respect to a claimed non-exclusive transshipment, or connecting carrier, agreement in the United States/RFE trade via Korea, that FOML is not an ocean common carrier in respect to a recently effective space charter agreement, that FOML conducts itself as a non-vessel-operating common carrier, and that FOML engages in shipping

practices that violate provisions of Section 10 and 19 of the Shipping Act.

The Presiding Judge determined in that earlier proceeding that it was premature to issue any ruling because of the changed circumstances since Docket 03-08 began.¹ The changed circumstances included, principally, the filing and effectiveness of a space charter agreement between FESCO Ocean Management limited (“FOML”) and P&O Nedlloyd Limited (“P&O”).² That agreement encompasses at least the United States West Coast-Korea portion of the United States/RFE trade covered by the purported FOML/P&O connecting carrier agreement (at issue in Docket No. 03-08 and herein, and said to be cancelled). The Presiding Judge determined that it be best to await an updated complaint that incorporated the changed scenario, clarified issues in the original complaint and framed issues arising from the effectiveness of the space charter agreement. Dismissal Ruling, 30 SRR 306, 308 and 309.

The Complaint in this Docket No. 04-07 meets those three points:

- The Complaint incorporates issues as to the validity of the space charter, challenging FOML’s capacity to enter into that agreement as an ocean common carrier. Complaint ¶¶ M-O, T-W, Z, EE, JJ and KK. The Presiding Judge, in the Dismissal Ruling, opined that if Trans-Net correctly interprets Commission regulations to bar FOML as a participant in a non-exclusive transshipment agreement, FOML arguably cannot be an ocean common carrier as to its through service in the United States-RFE trade, for failure to operate or own vessels on either leg. Dismissal Ruling, 30 SRR 307.
- The Complaint clarifies issues in Docket No. 03-08, identifying the specific types of conduct constituting the alleged violations of the Shipping Act’s prohibitions, ¶¶ O, R-T, FF-RR and TT, and the composition of the harm caused to Trans-Net, ¶¶ PP-TT. FOML cannot now claim lack of fair and sufficient notice as to the allegations. Dismissal Ruling, 30 SRR 306.

¹ *Trans-Net, Inc. v. FESCO Ocean Management Limited*, “Dismissal of Complaint with Leave to Amend; Motion for Summary Judgment Denied Without Prejudice as Being Premature,” 30 SRR 299 (ALJ 2004); Administratively Final (“Dismissal Ruling”).

² FMC Agreement No. 011873.

- The Complaint specifies alleged violations arising from the space charter. ¶¶ FF-HH, KK and NN. As the Presiding Judge noted, the space charter became effective after Trans-Net's final submittal in Docket No. 03-08, so that the final terms and the impact of the space charter could not then be known. Dismissal Ruling, 30 SRR 306.

FOML nevertheless complains that it still is not on notice as to Trans-Net's allegations.³ Yet, FOML seems to fear the discovery that is necessary for Trans-Net to develop a full record. FOML offers the highly questionable proposition that allegations must be dismissed if the alternative is discovery.⁴ Such reasoning would stand jurisprudence on its head. At the Commission and in the courts, any person may be sued and forced to defend, and the burden of defending provides no basis for dismissal; the weight of litigation is part of the fabric of a government of laws.⁵ Further, in this proceeding, the Presiding Judge commented that dispositive motions could have the undesirable consequences of delaying discovery.⁶

FOML has taken its discovery-avoidance a step further in its "Statement of the Facts," claiming factual status for certain matters merely by declaring that they are facts. (FOML's Motions, 1-2). FOML cannot, by its say-so, avoid discovery that would look behind its false front. Trans-'s allegations as to the status of FOML as an ocean common carrier would be dismissed by FOML because FOML is a party to agreements that have become effective under the Shipping Act, said by FOML to provide "binding evidence" of common carrier status and therefore to dispense with the need for further inquiry by discovery or otherwise. *Id.*, 2. This clearly is a misapplication; otherwise the Congress

³ FESCO Ocean Management Limited Motions to Dismiss and for Summary Judgment, Docket No. 04-07, August 16, 2004 ("FOML's Motions"), 12.

⁴ *Id.*, note 10.

⁵ *Possible Unfiled Agreements among A.P. Moller-Maersk Line, P&O Nedlloyd Limited and Sea-Land Service, Inc.*, 28 SRR 322, 325 (ALJ 1998).

⁶ *Trans-Net, Inc. v. FESCO Ocean Management Limited*, "Procedural Schedule Established" 30 SRR 336 (ALJ 2004).

would not have provided the Commission with authority in the Shipping Act to investigate and to disapprove agreements after they have become effective. 46 U.S.C. app. 1710(c). The Shipping Act allows the Commission or third-parties to challenge by investigation or complaint the asserted lawfulness of any agreement effective under the Act. There is no statute of limitations concerning such a Commission investigation.

FOML seeks to further support its assertion of ocean common carrier status through a description of FOML's history (FOML's Motions, 2); but FOML's predecessors, regardless of their status, could not confer or bequeath ocean common carrier status to FOML. FOML's predecessor apparently was Ocean Management Inc., which appeared to serve United States trades in connection with Far Eastern Shipping Company PLC and FESCO Intermodal, Inc. at times when Far Eastern Shipping Company PLC, Ocean Management, Inc. and FESCO Intermodal, Inc. may have operated as non-vessel-operating common carriers and as ocean common carriers.⁷

FOML completes its historical fact scenario with a statement that it has been providing direct ocean common carrier service Westbound from the United States West Coast to the RFE. By FOML's description, it is a regular service using the same vessels of "FESCO" (the Far Eastern Shipping Company) that FESCO uses to serve Eastbound with aluminum and other cargoes. FOML's Motions, 2. In reality, FESCO is engaging in ocean common carrier service Eastbound since it provides regular service using the same vessels that are advertised by FOML in the regular, direct Westbound service. Affidavit of Peter R. Moe Affidavit ("P. Moe Affidavit"), ¶¶ 6-9, Attachment 1. See also, Affidavit and Declaration of Peter Moe in Case No. 04-2-10523-4SEA, Superior Court of Washington for King County, Attachment 2.

⁷ Commission News Release, NR 98-04 (August 19, 1998).

II. MATERIAL FACTS ARE IN GENUINE DISPUTE⁸

A. That FOML Is Not an Ocean Common Carrier

FOML's "statement of the facts" (FOML's Motions, 1-2) is very thin as to matters that could be considered "facts" determinative of the issues in this proceeding. FOML's statement is essentially that FOML is an ocean common carrier because it operates vessels in United States foreign commerce and has entered into agreements subject to the Shipping Act. The difficulty is in the absence of probative factual information that FOML does operate vessels within the meaning of the Shipping Act and Commission precedent and in the unwarranted assumption that FOML's participation in agreements effective under the Shipping Act precludes the need for inquiry as to FOML's ocean common carrier status.

FOML's status as a carrier in United States trades is one of the major issues in this proceeding. As initially raised in Trans-Net's complaint in Docket No. 03-08, this issue related to the FOML/P&O connecting carrier agreement as to which it was factually undisputed that FOML did not operate any vessels that provided the transportation, but disputed whether as a legal matter FOML was therefore barred from participating in a non-exclusive transshipment agreement. Dismissal Ruling, 30 SRR 307. That scenario, in addition, might have applied also to the question whether FOML could permissibly operate under a space charter agreement, such as FOML's space charter with P&O, which involved no vessels operated by FOML. *Id.* See, also, Letter from Trans-Net, Inc. Counsel to the Federal Maritime Commission, April 5, 2004, Commenting on Agreement No. 011873. Attachment 3.

⁸ In disputing FOML's claimed facts, and in demonstrating that there are significant and material facts in genuine dispute in this proceeding, Trans-Net does not forego such disputes of fact that Trans-Net raised in Docket No. 03-08; and Trans-Net incorporates them herein by reference.

In this Docket No. 04-07, the issue as to whether FOML operates vessels at all is a different issue than in Docket No. 03-08, and is material, and is a fact-based issue. Determining whether FOML is a “vessel-operating common carrier” within the meaning of 46 U.S.C. app. 1702(16) is a fact inquiry, which requires discovery to delve into FOML’s assertions that vessel charters and the effectiveness of certain carrier agreements under the Shipping Act establish ocean common carrier status. There was no completed discovery in Docket No. 03-08 and there has been no discovery herein. If FOML is not an ocean common carrier, the issue as to FOML’s authority to enter into agreements under the Shipping Act with ocean common carriers would be resolved.

Furthermore, the information that agreement parties submit to the Commission in support of a filed agreement are not readily available, since they are statutorily confidential, except as relevant to an administrative or judicial proceeding, as here. 46 U.S.C. app. 1705(j). Discovery therefore is needed to determine the basis on which the Commission “apparently has concluded” that FOML is an ocean common carrier by virtue of having permitted agreements to become effective (FOML’s Motions, 2), or whether the Commission even considered that issue, or simply assumed ocean common carrier status by FOML for all purposes.

FOML nevertheless cites such confidential information to further its effort to deflect the need for such discovery. FOML refers to its submission of charter and other information to the Commission in support of Agreement No. 011804 (FOML’s Motions, 5), which authorized FOML to charter space on vessels of Eastern Car Liner, Ltd. in the Westbound United States West Coast-Japan trade, on an *ad hoc* basis. Agreement No. 011804, Article 5.1.a. FOML interprets the Commission’s review of that information to

mean that the Commission must have believed FOML was an ocean common carrier. Rather, the Commission probably did not, at that time, confront the issue as to whether FOML could qualify automatically as an ocean common carrier because of claimed ocean common carrier service in another trade. The Commission had previously determined that if a carrier is an ocean common carrier in one United States trade, it “can” so act in other trades;⁹ but that does not mean “does” so act. As the Presiding Judge commented, if FOML is not an ocean common carrier in the through service for failure to provide direct vessel calls, FOML could be disqualified from participating in transshipment agreement and space charter agreements. Dismissal Ruling 30 SRR 307.

It seems likely that FOML did not operate vessels in that Japan-United States trade any more than in the United States/RFE trade, and that the agreement served the same purpose as the connecting carrier and space charter agreements with P&O – to implement a plan to provide FOML with cover for its non-ocean common carrier service. Agreement No. 011873, Article 5.1.a; Agreement No. 011804, Article 5.1.a. The timing of these agreements illustrates the sameness in their objective. The Eastern Car Liner agreement was filed on May 8, 2002 and became effective June 22, 2002, within the statutory 45-day waiting period, not long after the P&O connecting carrier agreement was signed late in 2001.

The Commission is empowered to reexamine agreements after they become effective, as noted above (46 U.S.C. app. 1710(c)), and investigate their compliance with the Shipping Act. The parties to a carrier agreement cannot acquire Commission jurisdiction and obtain antitrust immunity by submitting their agreement, unless the

⁹ *Ocean Common Carriers Subject to the Shipping Act of 1984*, 28 SRR 1414, 1418 (FMC 2000).

parties already are subject to Commission jurisdiction.¹⁰ The information given the Commission in support of an agreement is self-serving and the Commission would be remiss in not re-examining common carrier status if presented with or becomes aware of information that could cast doubt on the ocean common carrier status. The Commission at any time can investigate an effective agreement and disapprove, cancel or modify such agreement. 46 U.S.C. app. 1710 (c).

B. That FOML Is Acting Outside the Scope of the Space Charter

Another area of disputed factual issues concerns FOML's adherence, or non-adherence, to its space charter agreement with P&O. FOML does not abide by the agreement's restrictions on the manner in which FOML may advertise its service to the RFE via Korea. FOML is barred from freely using name of the "Grand Alliance" (FMC Agreement No. 011873), the names of the carrier members of the Grand Alliance or the names of the members' vessels in FOML's advertising. Agreement No. 011873, Article 5.2; FOML's Motions, 14. The reason for the inclusion of these restrictions is not provided by FOML, although FOML believes the restrictions were required by the Grand Alliance carriers. Declaration of Aspi Rostami, ¶7, Exhibit 1, FOML's Motions. There is no evidence of the role of the Grand Alliance or what its input was in the advertising issue; and the necessary approval of the Grand Alliance is an open issue bearing on the legitimacy of the space charter. Perhaps, FOML conceived the advertising restrictions in order to make it appear that the space charter was acceptable to the Grand Alliance, but without any intention, on FOML's part, to abide by the restrictions. Since the restrictions on advertising are being ignored by FOML, FOML is allowed to continue the perception

¹⁰ *Ocean Common Carrier Status of Shanghai Hai Hua Co., Ltd. (HASCO) and SNL/HASCO Cross Space Charter and Sailing Agreement No. 011807*, 29 SRR 842, 847, fn. 5 and 6. (FMC 2002) ("HASCO").

that it is affiliated with the Grand Alliance and can hold itself out as having access to the attributes of the Grand Alliance carriers' assets and networks.

Regardless how the advertising restrictions came to being included, the agreement has become filed and effective and FOML is bound by its terms. Nevertheless, FOML appears to believe that it is free to advertise as it wishes, notwithstanding the fact that upon entering into the space charter, FOML agreed to abide by restrictions on its advertisements for space provided to FOML under the agreement. FOML's Motions, 14-16; Agreement No. 011873, Article 5.2; Declaration of Aspi Rostami, Exhibit 1 to FOML's Motions, ¶ 7. Although FOML may inform its customers about the specifics of its operations, FOML may not do so in a manner that violates the agreement.¹¹ FOML did not find the advertising restrictions objectionable and accepted them; and FOML should not now be heard to declare that it is free to disregard them. FOML's Motions, 15; Declaration of Aspi Rostami, ¶ 9.

This is an important issue. The facts as to FOML's advertising practices go not just to FOML's failure to meet its obligations under Shipping Act Section 10(a)(3) (46 U.S.C. app. 1709(a)(3)), but also to FOML's deceptive and unreasonable practices under Section 10(d)(1) (46 U.S.C. app. 1709(d)(1)). Complaint, ¶¶ QQ, SS and TT. The facts related to FOML's conduct under the space charter are therefore material to a determination of Trans-Net's allegations and are seriously disputed as to FOML's advertising practices and as to permissible advertising under the space charter's restrictions.

¹¹ It must be noted that FOML's web site information for sailing schedules and service maps does not provide full information, since it does not show that FOML's United States West Coast-RFE weekly service includes transshipment at Korea, and the handling needed to transfer cargoes to a second vessel in order to accomplish the through transportation. www.fesco.com.

The failure of FOML to adhere to the advertising restrictions imposed by the space charter results in the failure of FOML to operate in accordance with the terms of the agreement. Trans-Net has standing to make these allegations and to obtain relief and reparations from the harm. The Commission affirmed the right of complainant to obtain reparations against a conference based on a finding that the conference violated the Shipping Act for unlawfully operating under an agreement that was required to be filed and effective under Section 10(a)(2) of the Shipping Act, a companion to provision to Section 10(a)(3). In remanding the proceeding for a determination of reparations due the complainant, the Commission, quoting from the initial decision, concurred that “the Commission has an independent duty to interpret agreements filed with it and any person . . . has standing to file a complaint and ask the Commission to interpret the authority contained” in an agreement. *Compania Sud Americana de Vapores S.A. v. Inter-American Freight Conference, et al.*, 28 SRR 137, 143 (FMC 1998); Settlement Approved; Complaint Dismissed with Prejudice; Administratively Final, 29 SRR 855 (April 10, 2002).

Therefore, Trans-Net needs to dispose of FOML’s contention that the Section 10(a)(3) allegation must be dismissed because Trans-Net is not a party to the FOML/P&O space charter, and therefore has no standing to bring a cause of action or seek reparations based on the allegation that FOML is operating under the agreement not in accordance with its terms. FOML’s Motions, 14. It suffices that Section 11(a) of the Shipping Act confers standing on “any person” who wishes to file a complaint alleging a violation of the Shipping Act and seek reparations. That right cannot be abridged.

The agreement bars FOML’s use of the name “Grand Alliance” and its members’

names in “advertising.” Agreement No. 011873, Article 5.2.a. However, FOML may use the names of the vessels operated by the Grand Alliance in direct advertising to FOML’s customers, provided that such advertising includes a disclaimer, “FOML is not a member of the Grand Alliance.” Agreement No. 011873, Article 5.2.c. The difficulty is that FOML implements those provisions in a way that makes them a sham. That is because the names of the vessels in FOML’s advertisements via FOML’s website include the name of the Grand Alliance member operating the vessels, *e.g.*, the vessels OOCL NEW YORK, OOCL JAPAN, OOCL BRITAIN and OOCL AMERICA. www.fesco.com . Thus, FOML can rely on the exception only by violating the basic advertising restriction.

Further in disregard of those restrictions, FOML has not included the disclaimer in its direct advertising, which includes the vessels’ names. FOML’s contention to the contrary is not accurate. Declaration of Aspi Rostami, ¶ 9. Attachment 4 is a sample email that FOML frequently sends to customers, with schedules attached for the FOML transshipment service and its direct service. Nowhere appears the required disclaimer.

In addition, FOML is not abiding by the restriction on advertising in third-party media. FOML impermissibly uses its web site to advertise its service, including the names of vessels that contain the name of the Grand Alliance member operating the vessels (see above). However, the agreement prohibits the mention of the vessels’ names in third-party media advertising. Agreement No. 011873, Article 5.2.b. FOML claims that such advertising is permissible because the Internet is not a third-party medium. Declaration of Aspi Rostami, ¶ 9. FOML is incorrect and offers no support for its contention. Such advertising is through a third-party medium, since the Internet is

available to the public, and is not FOML's property. That it may not be paid advertising, does not detract from the fact that the Internet's use is advertising. FOML's use of the Internet is intended to make the public aware of its services and to describe the advantages of using FOML's services and to solicit business. www.fesco.com.

Still further, FOML overlooks the restrictions on third-party advertising in the print media. FOML's advertisements in the *Pacific Shipper*, state that "for detailed weekly sailing schedule please refer to our website" where the vessels' names are displayed. Clearly, FOML understands that its Internet web site is advertising and is an important element of today's third-part media advertising. Attachment 5.

FOML, without specifically differing with those facts, says that any advertising issue is immaterial. FOML claims a First Amendment right to advertise and explain how it operates; and a right to advertise the space chartered from others. FOML's Motions, 15. However, FOML's advertisements do not appear to mention the extra handling of its customers' cargoes in Korea, and FOML does not charter space from OOCL.

It therefore is clear that Trans-Net and FOML have significantly different views of the facts relating to FOML's actions in comparison to the advertising restrictions in the space charter with P&O, which facts are material to the issue of FOML's failure to conform its practices with the space charter's terms.

C. That FOML Violates Its Tariff

FOML has disregarded provisions of its tariff in order to divert shipments away from Trans-Net. For example, FOML diverted cargo that FOML knew had been booked with Trans-Net by sufficiently undercutting Trans-Net's rate quotation for the first part of a two-part shipment, where the entire shipment consisted of only one commodity for one

customer, a Russian mining and services company. FOML thereby gained the second part as well. However, FOML's freight charges for the second part of the shipment were higher than for the first part, although the entire shipment moved on the same vessel on the same sailing. FOML thus baited the customer with a deceptive rate offer. Complaint, ¶ QQ; P. Moe Affidavit, ¶ 11.

As another example, FOML has moved shipments in the United States/RFE trade at rates that could not be found in FOML's tariff or under service contracts that could have applied to the commodities and trade. These shipments included numerous commodities, all loaded at Tacoma, Washington and discharged at Magadan, Russia. Such action plainly is inconsistent with the Shipping Act's requirements. Complaint, ¶ QQ; P. Moe Affidavit, ¶ 11.

These FOML rate actions hardly seem inadvertent or a "fly-speck." FOML's Motions, 12. Rather these actions represent a pattern of deceptive FOML practices designed to hide FOML's actual freight rates and charges and divert shipments to itself and away from Trans-Net, the two operators being major competitors.

D. That FOML's Connecting Carrier Agreement Violated the Shipping Act and Commission Regulations¹²

On the issue of the lawfulness of the connecting carrier agreement, Trans-Net relies on its submissions in Docket No. 03-08. *i.e.*, Trans-Net's reply to FOML's motions and Trans-Net's supplemental reply, as to whether FOML and P&O made direct vessel as required by Commission regulations. However, in Docket No. 04-07, Trans-Net challenges the lawfulness of the connecting carrier agreement on the basis that FOML is not an ocean common carrier at all, and that it is a stand-in for FESCO. Trans-Net

¹² See Comments of Trans-Net, Inc. in FMC Docket No. 03-15, *Ocean Common Carriers and Marine Terminal Operator Agreements Subject to the Shipping Act of 1984*, Attachment 6.

therefore incorporates by reference its submissions in Docket No. 03-08.

III. ARGUMENT

A. FOML Does Not Have Ocean Common Carrier Status

FOML relies on several theories in erroneously defending its position that it is an ocean common carrier. As demonstrated below, FOML actually is a stand-in for FESCO, FOML's parent, who is the ocean common carrier serving the trades in which FOML "operates". In essence, FOML asks the Presiding Judge to find that FOML is an ocean common carrier based on its own say-so.

FOML first claims that it is an ocean common carrier because it is a party to agreements that have become effective under the Shipping Act. FOML's Motions, 4-5. Second, FOML contends that it is an ocean common carrier because it does "provide" and "contributed" vessels in the trade between the United States and Oceania. Declaration of Aspi Rostami, ¶¶ 3 and 4. Third, FOML asserts that its claim of ocean common carrier status has been confirmed by the Commission in letters to congressional committees. FOML's Motions, 4 *passim*.

1. Membership in an Agreement is Not Proof of Ocean Common Carrier Status

The effectiveness of an agreement under the Shipping Act does not, *ipso facto*, confer or confirm ocean common carrier status on the agreement's members. A carrier must be an ocean common carrier before entering into the agreement. *HASCO, supra*. And a carrier must remain an ocean common carrier throughout its membership in an agreement. Commission personal jurisdiction is a prerequisite to an agreement becoming effective and remaining effective.

The Ninth Circuit decision in the *Transpacific* case, quoting from *American Mail*

Line Ltd. v. FMC, 503 F.2d 157, 170 (D.C. Cir.) *cert. denied*, 419 U.S. 1070 (1974) reaffirmed that “the Commission cannot acquire jurisdiction merely by agreement of the parties before it.” *Transpacific Westbound Rate Agreement v. Federal Maritime Commission*, 951 F.2d 950, 957 (9th Cir. 1991). To the same effect, the courts have confirmed subject matter jurisdiction is necessary for an agreement to become or to be effective. In the *Transpacific* case, ocean common carriers contended that their agreement was subject to Commission jurisdiction, but the Commission rejected that claim because of a lack of subject matter jurisdiction, *i.e.*, a portion of the agreement covered foreign-to-foreign commerce. The Commission, therefore, could not assert jurisdiction or confer antitrust immunity.

On the same reasoning, the Commission cannot assert jurisdiction or grant antitrust immunity where it lacks personal jurisdiction over an agreement party because the party ceases to be an ocean common carrier. That FOML might at one time have been an ocean common carrier, which Trans-Net does not concede, does not mean that FOML has continued to be or now is an ocean common carrier. FOML is attempting, in its contentions, to build a wall around what might have been in order to prevent re-examination of its claim now to have been and to be an ocean common carrier. Therefore, FOML’s argument is inadequate to demonstrate that FOML is an ocean common carrier with respect to any of its agreements.

2. FOML Is Evasive About Operating Vessels

FOML says that it is an ocean common carrier but does not show that it meets the statutory criteria of the Shipping Act. The Shipping Act defines an ocean common carrier as “a vessel-operating common carrier.” However, FOML avoids that

terminology and FOML does not say that it operates vessels. Neither FOML's Motions or Mr. Rostami say that FOML operates vessels. Rather, FOML refers to materials submitted to the Commission that are outdated and no longer probative or do not establish FOML's operation of vessels.

Mr. Rostami states that FOML "does provide" vessels for FMC Agreement No. 011741, and that these vessels are "currently contributed" to that agreement. Declaration of Aspi Rostami, ¶¶ 3 and 4. Mr. Rostami does not say that FOML operates those vessels; nor do FOML's Motions make such a statement. FOML provides no document in support of its position. FOML, instead, "relies" on documents and information that it claims to have submitted to the Commission "over two and one-half years ago" (Declaration of Aspi Rostami, ¶ 4); documents submitted to the Commission in connection with Agreement No. 011804, *supra* (FOML's Motions, 5); and information that the Commission gathered from FESCO and FOML in connection with the Commission's Letters to the congressional committees (Commission's Letters, 1).

Mr. Rostami, in referring to two and one-half year old information, mentions charters to its three United States Oceania vessels – KAPITAN MASLOV, VLADIVOSTOK and KAPITAN AFANASIEV – as being chartered to FOML by companies named Roselaust Container Ships Limited and Roseleast Container Ships Limited. Declaration of Aspi Rostami, ¶ 4. However, that information does not appear to be consistent with current publication of vessel data. *Lloyd's Maritime Directory 2004*, under the FESCO heading, shows FESCO as the owner of KAPITAN MASLOV, Yerakas Shipping Co., Ltd. as the registered owner of the KAPITAN APANASIEV and Bodyguard Shipping Co. Ltd. as the registered owner of the VLADIVOSTOK. A

company listed in *Lloyd's* called Roselau Shipping Co. Ltd. is shown as the owner of two other vessels under the FESCO heading. (Attachment 7.)

FESCO's website confirms that FESCO owns and operates the vessels identified by Mr. Rostami's (see above) and appears consistent with the vessel information from *Lloyd's*. FOML has provided no factual information or documentation regarding operation of these vessels to challenge the allegations set forth in Trans-Net's Complaint. Complaint, ¶¶ L - O. It is Trans-Net's position that FOML is acting as a non-vessel – operating common carrier in the U.S. trades and doing so without proper license and bond in violation of Section 19 of the Shipping Act, 1984. Complaint, ¶¶ RR. Therefore, there is genuine dispute as to facts material to the issue raised by Trans-Net as to whether FOML operates vessels and qualifies as an ocean common carrier.

3. The Commission Has Not Adjudicated FOML's Carrier Status

FOML expends great effort to persuade the Presiding Judge that the decision has already been made by the Commission as to its ocean common carrier status and as to other issues in this proceeding. FOML cites and attaches to its Motions as Exhibit 2, several identical letters to congressional committees ("Commission Letters"). FOML states that the Commission Letters "must be given significant weight." FOML's Motions, 8, fn. 5. These letters were written in response to a congressional request:

The Conference Committee on Appropriations directed the Federal Maritime Commission . . . to report to the House and Senate Committees on Appropriations regarding the participation of the Far Eastern Shipping Company ("FESCO") in The Grand Alliance Agreement in providing service in the United States-Russian Far East trade.¹³

¹³ "The Federal Maritime Commission is directed to provide a report to the Committees on Appropriation no later than June 1, 2003, on the Far Eastern Shipping Company's (FESCO) participation in the Grand Alliance Agreement in providing service in the United States-Russian Far East trade. Specifically, the FMC should report to the Committees on Appropriation whether or not FESCO should be reclassified as a

Commission Letters, 1.

As discussed above, FOML and Mr. Rostami make no reference to FOML operation of vessels. Rather, they seek to demonstrate their ocean common carrier status by relying on statements in the Commission Letters that FOML “operates” vessels. FOML’s Motions, 5; Commission’s Letters, 2. It would be inappropriate to do what FOML is asking – that is to give conclusive evidentiary weight to the Commission Letters which acknowledge that they rely on information provided by the parties in interest who were the subjects of the congressional inquiry and the Commission Letters. FOML is now relying on its own untested submissions to the Commission to show that the Commission reached a conclusion decisive of the issues now in litigation herein.

It is worth noting that the Commission Letters were not the subject of a Commission meeting or vote. Attachment 8. The foundation of the Letters refers to information gathered from FOML and FESCO, press reports and also the State Department on the controlled carrier issue. Commission Letters, 1, 4-5. If FOML’s Motions are granted, it would be giving conclusive effect to materials in the Commission’s files unseen by all parties to an adjudicatory proceeding.

The D.C. Circuit in 1978 remanded to the Commission for further consideration a proceeding involving the approvability of an agreement subject to Section 15 of the Shipping Act, 1916. *United States Lines, Inc. v. Federal Maritime Commission*, 584 F.2d 519, 533 (D.C. Cir. 1978) A critical factor in the decision was a finding that the Commission, in approving an amendment to an agreement, based its decision on “reliable

controlled carrier.” House Rpt. 108-010 – *Making Further Continuing Appropriations for the Fiscal Year 2003, and for Other Purposes*. February 13, 2003.

data” that was “reposing in the files of the Commission” or that was “then available.” The court ruled:

[W]e simply cannot determine whether the final agency decision reflects the rational outcome of the agency’s consideration of all relevant factors when we have no idea what factors or data were in fact considered by the agency.

Id., 534. Furthermore, the D.C. Circuit concluded, “the absence of any adversarial comment among the parties” further creates a “barrier to effective judicial review.” *Id.*, 534.

The application of this principal is no less imperative today and in connection with Trans-Net’s Complaint. Here, where FOML relies substantially on the Commission Letters and requests that significant weight be accorded its contents, Trans-Net and the Presiding Judge are effectively shut out from any knowledge, comment, adversarial challenge and administrative review of the data relied upon by the Commission and contained within its files. Trans-Net seeks to have the opportunity to confront the data relied upon by the Commission and to have the opportunity to examine and dispute such data within the rigors of an adversarial setting.

Neither of Trans-Net’s complaint proceedings had been initiated at the time that the Commission Letters were sent to the congressional committees. Most certainly, the letters’ response would have been different had either of Trans-Net’s complaints been pending at the time the responses were made to the congressional committees. The Commission Chairman, who signed the Commission Letters, attentive to due process concerns, declined to discuss another pending Commission case during a speech, confirming that to do so would result in prejudging the case and depriving the respondents their due process rights:

I am not in a position to comment on those [lower Mississippi River tug] cases. Due process requires that a decisionmaker remain neutral and not even appear to have prejudged adjudicative facts in pending matters. Simply put, I can't talk about it at this time.

Remarks of Steven R. Blust, Chairman, Federal Maritime Commission, Journal of Commerce 13th Annual Breakbulk Conference, General Session, September 9, 2002.

The Chairman's stated conviction in safeguarding due process rights of parties appearing before the Commission in pending proceedings demands forceful application of those safeguards in the instant proceeding to ensure Trans-Net's right to a fair review of the totality of facts. FOML's request that the Presiding Judge rely on the Commission Letters and its request that they be given significant weight is unfair and prejudicial to Trans-Net's right to a fair consideration of the issues in Trans-Net's Complaint. Trans-Net believes that the weight that could be accorded to the Commission Letters should be considered in light of the then pendency of an internal Commission investigation of FESCO and FOML referred to in the Commission Letters and by the subsequent adversarial proceedings initiated by Trans-Net against FOML. Trans-Net has the right to test the facts or claimed facts that FOML and FESCO provided to the Commission (self-serving) and upon which the Commission Letters claimed to rely. Commission Letters, 1 and 4-5.

Now that FOML has introduced the Commission Letters, has relied on the Commission Letters and has requested the Presiding Judge to accord them significant weight, it would be improper to grant FOML's motion for dismissal or summary judgment. Without reasonable opportunity for Trans-Net to adequately learn the facts relied upon in the Commission Letters through the full use of discovery and/or any other available means or procedures would surely result in an impermissible prejudgment of

Trans-Net's case and would certainly circumvent the rights of an aggrieved complainant to seek justice through proper adjudicatory processes.

B. FOML's Retaliation Against Trans-Net is Actionable Under the Shipping Act

FOML has retaliated against Trans-Net and is continuing to retaliate against Trans-Net because Trans-Net filed two complaints at the Commission against FOML. The circumstances of FOML's actions inevitably lead to that conclusion and have been confirmed by an FOML employee. Since Trans-Net has commenced legal proceedings against FOML at the Commission, FOML has hired away one of Trans-Net's most valued employees; hired one of Trans-Net's former employees, who has extensive knowledge of Trans-Net's proprietary information; has made inquiries about another employee who is critical to Trans-Net's operations; and has interfered with Trans-Net's relationships with its agents abroad. P. Moe Affidavit, ¶¶ 14-16. Former Trans-Net employee, Tom Madderom, told Peter Moe, president of Trans-Net that FOML's hiring away of one of Trans-Net's high-level employees was in reaction to Trans-Net's lawsuit at the Commission. P. Moe Affidavit, ¶ 15.

The criteria for establishing a Section 10(b)(3) violation are present. Commission case law is contrary to FOML's contention (without citation) that Section 10(b)(3) requires a direct shipper/carrier relationship. FOML's Motions, 13. The Commission held in *Chilean Nitrate v. Port of San Diego, San Diego Unified Port District*, "Order on Remand," 24 SRR 920, 921 (FMC 1988) that Section 11(a) of the Shipping Act confers the right of "any" person to file a complaint and seek reparations. "A contractual relationship between the parties is not required to support a complaint under Section 11(a) of the 1984 Act." It is undisputed that Trans-Net is an NVOCC in the United States

West Coast/RFE trade and that FOML purports to be an ocean common carrier in the same trade. Since FOML engages in retaliation against Trans-Net, the Shipping Act provides that Trans-Net may obtain an award of reparations from FOML who is serving the same trade as Trans-Net, even if FOML did not carry any of Trans-Net's cargo. *International Association of NVOCC's v. Atlantic Container Line, et al.*, "Rulings on Motions for Summary Judgment, Dismissal, and Related Rulings on Governing Principles of Law," 25 SRR 675, 686 and 705 (ALJ 1990) The law is that 10(b)(3) can be invoked by Trans-Net if the retaliation by FOML is in response to a complaint filed by Trans-Net against FOML. In *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 SRR 1213 (FMC 1990), Commission ruled that because the complainant had alleged retaliation based on a complaint filed against a different ocean carrier, that the prohibition in 10(b)(3) was not available. Here the complaint is against FOML. Trans-Net should have the opportunity to engage in discovery in order to develop facts in the possession of FOML or third-parties that bear on the actions of FOML that directly harm and disrupt Trans-Net's business.

C. FOML's Deceptive and Unreasonable Practices Harm Trans-Net by Diverting Cargo

FOML has failed to establish and maintain reasonable regulations and practices in connection with the receiving, handling, storing or delivering of property through its misrepresentation to the shipping public of FOML's purported affiliation with the Grand Alliance and through its failure to inform the shipping public of the full details of its transshipment service involving additional cargo handling, all of which has resulted in FOML diverting cargo that otherwise would have been carried by Trans-Net. 46 U.S.C. *app.* 1709(d)(1); P. Moe Affidavit, ¶¶ 6-9, 19.

The *Ghezzi Trucking* case stands for the proposition that an ocean carrier cannot conduct itself in a manner of holding out to the shipping public and advertising in a way that is deceptive to the public. *Ghezzi Trucking, Inc. Cancellation of Inactive Tariff*, 11 SRR 598, 600, Initial Decision, (ALJ April 27, 1970), Adopted May 19, 1970.

Notwithstanding the advertising conditions imposed by the FOML/P&O space charter that FOML disregards, FOML engages in deceptive practices that harm the shipping public and directly deprive Trans-Net of cargo. FOML advertising practices are designed to mislead the shipping public and to create the appearance that FOML is affiliated with the Grand Alliance. Further, FOML's advertising does not reveal the fact that FOML's weekly service to the RFE is by transshipment at Busan, Korea. Instead, the advertising creates the appearance that Grand Alliance vessels provide through service without transshipment to the RFE.

FOML asserts that Trans-Net objects to FOML's advertising while Trans-Net engages in the same type of advertising, using the names of vessels that Trans-Net, as an NVOCC, does not operate. FOML Motions, 15. FOML's reasoning is faulty. Trans-Net and other NVOCCs do, in fact, have relationships with the ocean carriers whose vessel schedules they advertise by virtue of service contracts and time volume contracts between them. FOML, on the other hand, has no relationship with the carriers whose vessels FOML advertises for service in the RFE trade weekly service. FOML pays P&O for cargo space that is allocated to P&O on the vessels of other carriers with whom FOML has absolutely no relationship. Agreement No. 011873, Article 5.1.a.

FOML again inappropriately relies on the Commission Letters. FOML's Motions, 15. The deficiency in relying on the Commission Letters, discussed above, is

equally applicable here: Trans-Net and the Presiding Judge do not know what information formed the basis of the comments about advertising contained in the Commission Letters. Furthermore, the Commission Letters were much earlier in time and FOML is trying to retrofit the space charter's limitations on FOML's conduct into general comments written before the space charter was filed and effective. FOML's Motions, 15. Still further, the space charter is not, contrary to FOML's contention, a normal space charter. The advertising restrictions are out of the ordinary. FOML's unreasonable practices have produced direct financial injury to Trans-Net and Trans-Net is prepared to develop the record on this issue.

The unsupported allegation that Trans-Net does not have standing to complain about non-compliance with the advertising conditions in the FOML/P&O space charter agreement is contrary to Commission authority. FOML's Motions, 14. Any person is authorized by the Shipping Act to file a complaint alleging any violation of the Act and to seek the cessation of such conduct through a cease and desist order issued by the Commission. The shipping public are third-party beneficiaries to conditions that prevent deception in the offering of shipping services. *Ghezzi Trucking, supra*.

The Commission has said that private complaints are valuable to the Commission's enforcement efforts because complaints bring potential violations to the Commission's attention which the Commission might not otherwise uncover due to its limited resources. *South Carolina Maritime Services, Inc. v. South Carolina State Ports Authority*, 28 SRR 1385 (FMC 2000), *reversed on other grounds, South Carolina State Ports Authority v. Federal Maritime Commission*, 243 F. 3d 165 (4th Cir. 2001); *aff'd Federal Maritime Commission v. South Carolina State Ports Authority*, 535 U.S. 743

(2002). The significance of the *South Carolina Maritime Services* case is that it makes known the Commission policy of relying on private party complaint cases to adjudicate alleged violations of the Shipping Act and Commission regulations and to establish precedent for the future, particularly where the Commission may be confronted with issues of first impression. This policy was not negated by the fact that the Commission's decision was reversed by the 4th Circuit, as upheld by the Supreme Court. The courts reversed the Commission on the issue of its authority to entertain complaints by private parties against state-owned ports, but the courts did not disturb the authority of the Commission to rule on private party complaints in other cases.

D. FOML Violates the Shipping Act through a Pattern of Rate Violations

FOML raises no substantial argument on the issue of tariff or service contract violations. FOML's primary argument is that the Complaint does not adequately notify FOML as to the nature of the allegations.

Just because FOML may not like the allegations in Trans-Net's Complaint, there is absolutely no basis whatsoever for a dismissal, as FOML urges, on grounds that the Complaint "fails to state facts and law sufficient to constitute claims against FOML under the Act." FOML Motions, p. 3. The Trans-Net Complaint is abundantly detailed and precise and provides FOML with full and adequate notice of the claims against it. Rule 8(a) of the Federal Rules of Practice and Procedure do not require a complainant to plead "detailed evidence in complaints" but rather to provide "general notice" and "a short plain statement of a claim." Further, Rule 8(a) goes on to state that "[p]leadings before an administrative agency are considered to be relatively unimportant." Following "notice" of the claim, a respondent thereafter should utilize "pre-hearing inspection and

discovery processes” to determine the “details of the claim.” *International Shipping Agency v. Puerto Rico Ports Authority*, FMC Docket No. 04-01, “Motion to Dismiss Denied; Order to Answer Complaint and Respond to Discovery Requests; Notice of Referral to Alternative Dispute Resolution,” ALJ, Issued September 17, 2004, Slip. Op., 47.

E. The Factors Are Present to Establish FESCO as an Ocean Common Carrier

In carrying cargo Eastbound, direct from the RFE to the United States West Coast, with vessels it admittedly operates, (FOML’s Motions, 2) FESCO meets the requisite criteria to establish the necessary “indicia” of common carrier service.

In order to determine whether a vessel operator is serving as a common carrier in United States foreign commerce, the Commission relies on the common law definition of “common carrier.” The determination of common carrier status is fact-driven. *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 6 SRR 483, 492 (FMC 1965).

At common law a carrier need not solicit cargo to be a common carrier. There is no requirement that the carrier even operate on regular routes or maintain some “‘predetermined’ and ‘regular’ schedule of sailing.” *United States of America v. Stephen Brothers Line*, 384 F.2d 118, 123 fn. 12-15, (5th Cir. 1967) Here, however, the forty-five day regularly FOML-advertised direct service (See Attachment 9) is the Westbound leg of the Eastbound service by FESCO. FESCO brings vessels, laden with cargo, to the U.S. West Coast, necessarily on an equally regular 45-day schedule to meet the Westbound service offerings and sailings of FOML. FESCO’s regular Eastbound service more than strongly suggests common carrier service in the Eastbound RFE/USWC trade.

P. Moe Affidavit, ¶¶ 7-8.

Another criterion of common carrier service is that the carrier holds itself out to accept goods to the extent of its ability to carry. This “holding out” has been one of the most important indicators in establishing whether vessels calling at a U.S. port are vessels being operated in common carrier service. *Containerships, supra*, 489. FESCO on its Eastbound vessels charter space charter space in the vessels to shipper who may not utilize the full cargo capacity of the vessels. In contemplation of FESCO’s intention to solicit additional customers’ cargoes to fill the vessels, the fixture notes for these eastbound FESCO sailings provide that FESCO may load additionally part cargoes of other customers. This indicates that FESCO retains the right to solicit space on its Eastbound service to the extent of its ability to so carry. This reserved right of FESCO expressly included in its fixture notes of holding out and solicitation of cargo meets the common law criteria of common carrier status. P. Moe Affidavit, ¶¶ 6-8.

As alleged in Trans-Net’s Complaint, the overlay and interwoven participation of FESCO, the parent, FESCO Agencies in the movement of cargo in the various U.S. foreign trades allegedly served by FOML is highly suggestive of the fact that it is actually FESCO or FESCO Agencies– not FOML – that is operating as the vessel-operating ocean common carrier in the trades served by FOML and that FOML’s status at the Commission should properly be re-classified as NVOCC.

Trans-Net seeks a level playing field and has suffered and continues to suffer as FOML masquerades as an ocean common carrier while FOML’s billion dollar parent FESCO actually calls the shots and operates as the ocean common carrier in the RFE and FANAL trades. Trans-Net is fully prepared to prosecute its Complaint and to develop the

facts to prove its case. The self-declared status of FOML in the RFE and FANAL trades requires determination through an adversarial process to develop and test the facts; and FOML's request for summary disposition or dismissal, and acceptance of its claims, must be rejected.

F. The Rulemaking and Commission Letters Do Not Save FOML from A Reparation Award to Trans-Net

FOML claims that if its connecting carrier agreement with P&O were found to be a violation of the Commission's regulations that such a finding would be "unjust and unfair" because, as FOML argues, the Commission's rulemaking demonstrates that the regulation was "unclear and needed clarification." FOML's Motions, 9. FOML seems to be arguing that any possible shortcomings related to its connecting carrier agreement concerned only issues of regulation violations based upon an imprecise rule.

FOML camouflages the real legal and factual issues that give rise to its Shipping Act predicament: if, as Trans-Net alleges, FOML did not operate as an ocean common carrier under the FOML/P&O connecting carrier agreement, then the presence or absence of the rulemaking proceeding would not save FOML from a finding that it operated unlawfully and without Commission authority and in violation of the Shipping Act. Complaining of unfairness, FOML should not be allowed to bar discovery and conceal the real facts and legal issues forming the foundation of this Complaint. FOML's self-declared status as an ocean common carrier has not been examined or challenged in an adversarial setting, and it is decidedly within the interests of the Commission and the shipping public to allow this proceeding to continue, particularly where the parties dispute material facts going to the very core of Commission regulation and enforcement.

The argument that an award of reparations would not be justified because the

Commission would, in effect, “penalize” FOML on the basis of an allegedly unclear rule is an illusory argument having nothing to do with the real, substantive issues of FOML improperly conducting itself as an ocean common carrier in the United States West Coast/RFE trade. Any injustice would be the deprivation to Trans-Net of its opportunity to develop a factual record and to demonstrate the injury suffered by Trans-Net as a result of FOML’s unlawful activities.

Notwithstanding FOML’s protestations, the Commission Letters do not save FOML from the possibility of an award of damages to Trans-Net. FOML never changed its position or was induced to do something in reliance on the Commission Letters. See, *Heckler v. Community Health Services of Crawford County, Inc.*, 467 U.S. 51, 61-62 (1984) (Where Supreme Court ruled that United States was not estopped from recovering overpayment of medicare reimbursement from medicare provider, who notwithstanding provider's reliance on fiscal intermediary's oral advice that those salaries were medicare reimbursable or that reimbursement would require provider to curtail operations as provider, had not lost any legal right or suffered adverse change in status.) FOML claims it cancelled the FOML/P&O connecting carrier agreement when the FOML/P&O space charter agreement became effective. FOML did not obtain a copy of the Commission Letters until August 11, 2004, a full four months after the connecting carrier agreement had been cancelled voluntarily by FOML. FOML's Motions, Exhibit 2. Therefore, the contents of the letter did not result in FOML’s reliance on the letter in any manner that created for FOML a “detrimental change in position.” *Heckler, supra*. The Commission Letters cannot be used as a shield by FOML to prevent a finding of violations or the imposition of reparations in an adversary proceeding.

The *Crowley* case makes abundantly clear that an exemption granted to marine terminal facilities from the notice and filing requirement of certain marine terminal lease agreements under Section 12, Shipping Act, 1984 does not “impair” the Commission’s regulatory authority over the parties to such agreement or over their activities under the agreements pursuant to Section 10(a)(3) of the Shipping Act. Rather, “the Commission retains its authority to adjudicate formal complaints and to investigate and take appropriate action to address any statutory violations occurring under arrangements that have been exempted from filing and notice requirements.” Docket No. 00-02 *Crowley Liner Services, Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Authority*, 29 SRR 394, (ALJ September 2001) (Underscoring Original) See, also, *International Shipping Agency v. Puerto Rico Ports Authority*, FMC Docket No. 04-01, ALJ, Issued September 17, 2004, Slip. Op., 48-49, citing *Crowley* and asserting same principle.

This ruling has parallel application to the issues presented in the Trans-Net Complaint. The claimed exemption by FOML that their FOML-P&O connecting carrier agreement was an non-exclusive transshipment agreement and therefore exempt from filing and becoming effective, similar to the exempted status of certain marine terminal leases, does not somehow remove this FOML-claimed connecting carrier agreement from the scrutiny of the Commission or preclude a third-party from filing a complaint challenging the agreement as unlawful under the Shipping Act. Rather, there appears to be an affirmative commitment on the part of the Commission to investigate complaints challenging agreements claiming exempted status to ensure that such arrangements do not result in conduct violative of the Shipping Act. An exempt arrangement may warrant particular attention by the Commission, especially when a third-party raises issues about

such an agreement. That is because an exempt agreement is not reviewed by the Commission before becoming effective or maintained in the Commission's files.

G. Commission Letters Do Not Support the Legitimacy of the Connecting Carrier Agreement

Once again FOML mistakenly looks to the Commission Letters to avoid Trans-Net's allegations. FOML argues that the Commission Letters are conclusive as to the legitimacy of its connecting carrier agreement with P&O. FOML's Motions, 7-8. However, all that the Commission Letters say is that the Commission "received a copy" of the agreement and that: "Analysis of the agreement indicates that it complies in all respects with current Commission regulations." Commission Letters, 4. Thus, the Commission Letters relied solely on matching the text of the connecting carrier agreement with the provisions of the Commission regulations. Evidently, no analysis was made of the operation or the implementation of the agreement, and, assuredly, no analysis as to whether both FOML and P&O made direct vessel calls at the origin, intermediate and destination ports. The Presiding Judge has indicated that to be an issue of first impression.

In addition, FOML argues that the Presiding Judge found the question of FOML's ocean common carrier status to be a question solely of law. FOML's Motions, 6. However, the Presiding Judge's comment applied only to the "subject through service arrangement" and not to common carrier status. Dismissal Ruling, 30 SRR 307. It is unquestionable that ocean common carrier status is a fact-based issue. *Containerships, supra*.

H. Trans-Net Is Entitled To Be Heard on the Measure of Reparations

Trans-Net is entitled to a ruling on the culpability of FOML under the Shipping

Act. From such a ruling, appropriate remedies may then be ordered by the Commission. Trans-Net has requested the granting of reparations and the issuance of a cease and desist order. In granting relief to Trans-Net, the Presiding Judge and the Commission have the authority to issue a cease and desist order apart from and in addition to determining what should be Trans-Net's level of damages as a direct result of the harm caused by FOML's unlawful activities and conduct. The ultimate issue of availability of reparations to a complainant does not detract from the Commission's obligation to permit a complainant to proceed where a complainant has put the Respondent on sufficient notice of alleged Shipping Act violations and where the complainant seeks the opportunity to develop facts and prove its case.

"Any person" has standing "to file a sworn complaint alleging a violation of the [Shipping] Act. . . . Actual harm to the complainant is not a prerequisite to a finding of a violation In such cases a finding of a violation could result in the issuance of a cease and desist order." *Petchem, Inc. v. Canaveral Port Authority, et al.*, 23 SRR 480, 495, (ALJ 1985), reversed on other grounds, 23 SRR 974 (FMC 1986), *aff'd. sub nom.*, *Petchem, Inc. v. Federal Maritime Comm'n*, 853 F. 2d 958 (D.C. Cir. 1988). There is no requirement that the "person" who files a Commission complaint even be the "one directly affected by the alleged violations." A "remedy" sought by a complainant under the Act may relate to obtaining an order by the Commission to prevent the continuation of violative conduct. *Isthmian S.S. Co. et al. v. United States*, 53 F.2d 251, 253 (S.D.N.Y. 1931). See, also *Federal Maritime Commission v. Zim Israel Navigaton Co., Ltd.*, 263 F. Supp. 618, 621 (S.D.N.Y 1967) wherein the District Court for the Southern District of New York, citing for authority *Isthmian, Rivoli Trucking Corp.v. New York*

Shipping Ass'n., 167 F. Supp. 940 (S.D.N.Y. 1957) and *Isbrandtsen-Moller Co. v. United States*, 300 U.S. 139, 145 (1937) concurred that any person has standing to file a complaint and to seek relief before the Commission against violations of the Shipping Act whether or not such person has been directly injured or is entitled to reparations, and such person may seek the issuance of a cease and desist order in addition to reparations.

However, in order to obtain reparations for injury caused by the respondent's alleged violations, "a person" must be directly affected. Section 11(g), Shipping Act, 1984 makes mandatory the formerly permissive authority in Section 22(a), Shipping Act, 1916, for the Commission to direct the payment of reparations to a complainant for injury caused by a respondent's violations. Trans-Net is confident it can prove the alleged violations by FOML and demonstrate that such violations are the proximate cause of financial harm to Trans-Net's business and that Trans-Net, therefore, is entitled to an award of reparations.

The Commission, when confronted with allegations of serious Shipping Act violations by an aggrieved complainant, like Trans-Net, should not rely on the unsupported, unverified and so far untested rhetoric and claims, and out-dated information of a respondent, like FOML. The Commission should rely on an adversarial process that produces a fully developed record upon which the presiding judge and the Commission may make a reasoned decision and properly evaluate and determine the financial injury suffered by a complainant, like Trans-Net.

IV. CONCLUSION

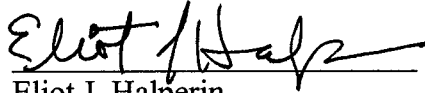
Material facts are in genuine dispute. The facts alleged by Trans-Net, if proved, clearly demonstrate that FOML is in violation of the Shipping Act. Trans-Net has raised

genuine disagreement as to FOML's factual contentions concerning its carrier status, conduct outside the scope of its space charter agreement with P&O, and its violation of its tariffs and service contracts.

The applicable standard is that summary judgment is improper when the complainant has not had the opportunity to thoroughly utilize discovery in support of its claims. *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, *supra*, n. 21. Discovery, which has not yet occurred, would reinforce Trans-Net's contentions through further factual development and would help establish the injury that FOML's practices have caused to Trans-Net. Rulings on motions for summary judgment or dismissal should accept the complainants factual allegations as being true, so that factual disputes are resolved in the non-movants favor. *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 SRR 1512, 1517 (ALJ 2000); Administratively Final, April 19, 2000.

Accordingly, the motions to dismiss and for summary judgment do not meet the applicable standards and should be denied.

Respectfully submitted,



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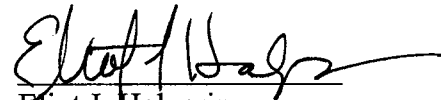
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Dated: September 27, 2004

Certificate of Service

I hereby certify that on this 27th day of September, 2004 a copy of the foregoing Trans-Net, Inc.'s Reply to Motions to Dismiss and for Summary Judgment of FESCO Ocean Management Limited was served by courier on the following:

Neal M. Mayer, Esq.
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Eliot J. Halperin

BEFORE THE FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

DOCKET NO. 04-07

AFFIDAVIT OF PETER R. MOE

I, **Peter R. Moe**, of legal age, President of Trans-Net, Inc. submit this Affidavit in support of Trans-Net Inc.'s reply in opposition to the motions of FESCO Ocean Management Limited ("FOML") to dismiss or for summary judgment in Federal Maritime Commission Docket No. 04-07. I have read FOML's Motions and the accompanying exhibits. I incorporate in this Affidavit my Declaration in FMC Docket No. 03-08. I also incorporate in this Affidavit the Affidavit of Peter Moe, Sr. and the Supplemental Declaration of Peter Moe in support of Motion for Injunction in Case No. 04-2-10523-4SEA in the Superior Court of Washington for King County, which are Attachment No. 2 to Trans-Net's Reply to FOML's Motions. I am the person who executed all these documents, and I declare as follows:

1. My name is Peter R. Moe and I serve as President of Trans-Net, Inc. ("Trans-Net"). Trans-Net is a United States corporation, based in Seattle, Washington,

operating as a non-vessel-operating common carrier ("NVOCC") in United States foreign ocean commerce, including the trade between the United States and Russia, under currently valid Federal Maritime Commission ("Commission") license No. 16051N. Trans-Net's web site is at www.transnetinc.com.

2. Trans-Net has served United States foreign commerce since 1999 pursuant to its FMC Tariff No. 1 and is an established marine logistics and transportation services company, specializing in moving cargo from global supply points to the Russian Far East. Trans-Net has 8 United States-based employees, and 3 employees in Vladivostok, Russia; and we are opening offices in Moscow and Yuzhno Sakhalin, Russia. The Trans-Net staff includes Russian professionals who provide invaluable assistance to Trans-Net's services, enhancing our customer service.

3. I have been involved in the commercial aspects of United States ocean trades for thirty-three years, including twenty-three years with Sea-Land Service, Inc., prior to my establishment of Trans-Net in 1998.

4. In the course of my business career, I have become thoroughly familiar with the commercial aspects of transportation in United States foreign ocean commerce and also with the regulatory authority exercised by the Federal Maritime Commission.

5. I am familiar, in particular, with the trade between the United States and the Russian Far East, served by Trans-Net. This is the same trade served by FOML, and I am familiar with their service and the services of others serving that trade. FOML is Trans-Net's major competitor in the U.S. West Coast/RFE trade, and Trans-Net's only competitor at the RFE ports of Magadan and Petropavlovsk-Kamchatsky, and, until recently, at Vanino.

6. My long experience in the shipping industry, my day-to-day involvement in the Russian Far East trade, and the information which I confront on a regular basis convince me that it is Far Eastern Shipping Company ("FESCO") and/or its agent FESCO Agencies that operates as an ocean common carrier in the trades between the United States and Russia without publishing rates or tariffs as required by the Shipping Act. FESCO operates the vessels inbound to the U.S.; the same vessels are chartered from FESCO outbound to the RFE; and FOML is the rate publisher for the outbound sailing. FESCO and/or FESCO Agencies try to hide their activities as an ocean common carrier by the devise of holding out FOML, which does not operate vessels in this trade as the ocean common carrier. FOML is actually operating as an NVOCC in the outbound trade, represented by FESCO Agencies.

7. The manner in which FESCO operates its eastbound direct vessel service from the RFE to the U.S. West Coast demonstrates that FESCO operates as a vessel operating ocean common carrier in that trade. These vessels arrive at U.S. West Coast ports from the RFE, laden with cargo of FESCO's customers, who charter space in the vessels but who may not utilize the full cargo capacity of the vessels. In contemplation of FESCO's intention to solicit additional customers' cargoes to fill the vessels, the fixture notes for these eastbound FESCO sailings provide that FESCO may load additionally part cargoes of other customers.

8. FOML advertises direct westbound service from the U.S. West Coast to the RFE on a regular schedule with vessels departing every forty-five days, using the same vessel assets that have arrived eastbound. Clearly the Eastbound sailings are as regular as the westbound sailings, indicating a regular and predictable Eastbound and

Westbound service. This is another indication that FESCO is a vessel-operating ocean common carrier.

9. FOML improperly takes advantage of an ocean common carrier's ability to enter into confidential service contracts and hide the rates it charges customers for transportation services. FOML, in the same way, can improperly enter into connecting carrier and space charter agreements with ocean common carriers which allows FOML to pay unpublished slot rates. My experience is that slot charter rates are much lower than published tariff rates. If FOML were correctly conducting itself as an NVOCC, FOML would have no pricing advantage over the manner in which Trans-Net operates as an NVOCC and FOML could not sell against Trans-Net to Trans-Net's customers based on the contracting and pricing capabilities of an ocean common carrier. It is necessary for the Commission to level the playing field by ordering FOML to cease and desist from its unlawful practices. These actions have had serious financial consequences for Trans-net, have resulted FOML taking cargo away from Trans-net and have directly resulted in financial injury to Trans-net.

10. Because FOML has falsely claimed the status of a vessel operating common carrier, FOML has been able to unfairly compete against Trans-Net. FOML has been able to have the connecting carrier and the space charter agreements with P&O that FOML was not entitled to have because it is clear from its activities that FOML is actually an NVOCC. These unlawful agreements have deprived Trans-Net of cargo that I am certain would have been carried by Trans-Net, causing Trans-Net direct financial harm.

11. FOML's unlawful tariff practices are another source of direct harm to

Trans-Net. FOML does not rate cargo in accordance with its tariff or service contracts and does not provide service in accordance with the terms of FOML's tariff or service contracts. On more than one shipment, FOML provided transportation and assessed charges with respect to certain commodities destined to Magadan, Russia as to which no rates appeared in FOML's tariff and service contract. Further, on at least one occasion, FOML carried cargo to the RFE while assessing different rates for identical shipments carried by the same vessel between the same port pairs. This unlawful conduct caused direct financial harm to Trans-Net by depriving Trans-Net of the cargoes. I am confident that Trans-Net otherwise would have carried the cargo.

12. Trans-Net filed the Complaint in FMC Docket No. 04-07 in order to update and supplement Trans-Net's previous complaint in FMC Docket No. 03-08 as suggested by the FMC Judge and in order to exercise Trans-Net's right to a full hearing on the wrongful conduct and practices of FOML and to obtain the relief requested in Trans-Net's Complaint.

13. FOML has caused Trans-Net financial injury as a direct result of FOML's unlawful activities, practices and conduct in the U.S. West Coast/Russia Far East ("RFE") trade. FOML's improper use of ocean common carrier agreements in the U.S. West Coast/RFE trade are a direct cause of financial injury to Trans-Net. Trans-Net's Complaint explains the specifics of what FOML has been doing and is doing. FOML's ongoing violations have caused Trans-Net to suffer and continue to suffer financial damages, lost profits and lost growth opportunities, and Trans-Net is entitled to an award of reparations. Through this proceeding, Trans-Net wants to bring to an end FOML's violations and obtain a cease and desist order.

14. FOML has retaliated against Trans-Net because of the complaints Trans-Net has filed against FOML and has caused severe disruption to Trans-Net's business. This has caused direct financial loss to Trans-Net. FOML took away one of my most valued employees, Vyacheslav Naganyuk; hired one of my former employees, Tom Madderom, who has extensive knowledge of Trans-Net's proprietary information; and has made inquiries about another employee who is critical to our operations. In addition, FOML, through a former Trans-Net employee, continues this retaliation by interfering with Trans-Net's relationships with its agents abroad. Therefore, it has become clear to me that FOML is trying to retaliate against Trans-Net for filing my complaints at the FMC.

15. I learned from Mr. Madderom that he was joining FESCO when I received an email from him in April, 2004. Soon after, I met with Mr. Madderom because of my concern over his new employment and the potential harm to Trans-Net. Mr. Madderom told me that he was going to work for FOML as its only employee. Mr. Madderom further told me that FOML had hired away one of my high-level employees in reaction to Trans-Net's lawsuit at the FMC. Mr. Madderom was referring to the fact that FOML had lured away Mr. Naganyuk who worked on location in Russia for Trans-Net. Mr. Madderom told me also that FOML officials had quizzed him about one of my most valued and experienced employees. It was obvious to me that FOML might try to hire this person away as well. This would have a devastating impact on my business.

16. Trans-Net's Washington State complaint case and motion for injunctive relief is against Mr. Madderom. This whole situation regarding FOML, Mr. Madderom and Trans-Net's employees has caused great hardship and pain to my company, my staff

and to me personally. The one-sided and biased accounting in FOML's Motions and Exhibits Nos. 4 and 6 totally distorts the facts and circumstances surrounding Trans-Net's need to seek legal recourse to enforce Mr. Madderom's non-compete clause and to protect the security of my business by barring the dissemination of highly sensitive and privileged internal information by Mr. Madderom to competitor FOML. My declaration and supplemental declaration in the Washington State case are attached to Trans-Net's Reply, showing the misstatements and erroneous information in the declaration of Tom Madderom and others, which are Exhibit Nos. 4, 5 and 6 to FOML's Motions. The Washington Court declined Trans-Net's request for an injunction against Mr. Madderom, with the qualification "at this time." Trans-Net's complaint in the Washington case is still pending.

17. FOML's Shipping Act violations have cause Trans-Net harm in other ways. Trans-Net has service contracts with several ocean common carriers covering the geographic scope of Trans-Net's service in the U.S. West Coast/RFE trade. All the service contracts contain confidentiality clauses; therefore I am precluded from identifying the carriers by name. Each of the service contracts contains a minimum quantity commitment (MQC) that Trans-Net is required to meet. I personally negotiate the MQC and I carefully analyze and negotiate the MQC level and other contract terms based on my years of experience in ocean shipping, my expertise in the U.S. West Coast/RFE market, my knowledge and expertise of transportation costs and factors affecting the market in which Trans-Net competes, and my everyday involvement with all segments of the ocean transportation industry. By applying these criteria and my industry experience, I arrive at solid decisions on service contract terms.

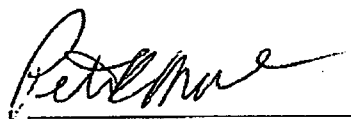
18. FOML's continuous unlawful conduct has caused a diversion of cargo from Trans-Net to FOML and has caused direct harm to Trans-Net. FOML's diversion of cargo from Trans-Net proximately caused Trans-Net's inability to meet all service contract cargo minimums, forcing Trans-Net to roll over contracts in order to avoid the imposition of liquidated damages. The resultant financial harm to Trans-Net was, for example, that it could not secure the low range of service contract rates on the service contract matrix maintained by the ocean common carriers or obtain favorable consideration by the ocean common carriers in order to mitigate general rate increases.

19. Trans-Net has suffered harm from FOML's establishing advertising practices that create the false impression to the shipping public that FOML is affiliated with the Grand Alliance and that customers would benefit from the sharing of assets and economic value created by FOML's business combination with the Grand Alliance. Customers choose their method of transportation on a number of criteria. Four of the main criteria are service being offered, price, stability or viability, and reliability. By deception, FOML advertises Grand Alliance vessels from the U.S. West Coast (and also the U.S. East and Gulf Coasts), creating a perception that FOML is a part of the Grand Alliance, that FOML is stable and has a suite of services to meet customers' requirements via the Grand Alliance. Through this deception, FOML persuades customers that it possesses the capabilities that, in fact, belong to the Grand Alliance and not FOML. FOML sold against Trans-Net to the customers that Trans-Net operated no vessels and that FOML did. FOML, therefore, sold the customer on the false perception that it was FOML's transportation network when it was, in fact, the Grand Alliance's network. FOML thereby created a false perception of stability, reliability and viability on the back

of Grand Alliance capital investment in vessels, equipment and terminals, whereas, FOML operates no vessels and has no such capital investment in the U.S. West Coast/RFE trade. In that way, FOML created an unfair comparison between FOML service in the receiving, handling and delivery of cargo as compared with Trans-Net's service.

20. I would like to have the opportunity to prove my case before the FMC. Trans-Net is a small company which works hard to promote U.S. exports, particularly to Russia. It is only fair that Trans-Net has a level playing field. I have followed the Judge's recommendations in Docket No. 03-08. Trans-Net updated its complaint, provided greater details about its allegations and raised new issues that have been created by the new FOML/P&O space charter. These are all serious Shipping Act issues and they deserve to be heard.

I declare under penalty of perjury that the foregoing is true and correct to the best of my knowledge, information, and belief.

A handwritten signature in cursive script, appearing to read "Peter R. Moe", written over a horizontal line.

Peter R. Moe

9/27/04

Date

1. *Phragmites australis* (Cav.) Trin. ex Steud.

) Case No. 04-2-10523-4SEA

**SUPPLEMENTAL DECLARATION OF
PETER MOE IN SUPPORT OF MOTION
FOR INJUNCTION**

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1 to see the nature of the mis-statements which have been submitted by Mssrs. Madderom,
2 Evans, by FESCO, and their counsel within the context of the U.S. international ocean
3 commerce industry.

4 **Mssrs. Madderom and Evans Have Misrepresented the Nature and Critical Need For TNI**
5 **Establishing and Maintaining the Confidentiality of TNI Proprietary Cost, Pricing and**
6 **Profit Information and Strategy**

7 3. Mr. Madderom, who worked for TNI/ from 1/01/99 to 10/28/03, incorrectly
8 contends that TNI's customer lists and cargo pricing information are not secret and are publicly
9 available. Such a contention is incorrect for the reasons detailed below.

10 **Publicly Available Shipper Lists are Incomplete, Inaccurate and Unreliable**

11 4. Mr. Madderom alleges that the PIERS database provides effortless access to
12 shipper identity and other shipper and shipment information. This is not correct. The PIERS
13 database is derived primarily from vessel cargo manifests. Under regulations issued by the
14 Bureau of Customs and Border Protection ("Customs"), shippers and consignees routinely file
15 certifications requesting confidential treatment of the name and address of the shipper on both
16 inward and outward vessel manifests. Such certifications are renewable every two years and
17 thereby restrict public access to such shippers' identities. In addition, the information provided
18 in vessel manifests may be inputted incorrectly by PIERS or other trade journals. Accordingly,
19 the data supplied by PIERS may fail to provide complete, adequate or accurate information.

20 5. The Federal Maritime Commission (which regulates the industry in which TNI
21 and FESCO Ocean Management Limited engage) recently rejected 256 alleged instances of
22 Shipping Act violations on the basis that PIERS was not "sufficiently probative." "Report
23 and Order Affirming Initial Decision," FMC Docket No. 01-10, Green Master Int'l Freight
24 Services – Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984,
25 at p. 10., attached at EXHIBIT A.

1 **Shipper Export Declarations and Their Information Are**

2 **Confidential and Not Publicly Available**

3 6. Mr. Evans claims that shipment information, including identity of shippers, is
4 publicly and readily available from the shipper's export declarations ("SED"), prepared for
5 U.S. export shipments. See, Evans' Declaration, Paragraph 7, at p. 3. The applicable
6 regulations state otherwise. The SED is an official, U.S. government form and the information
7 contained therein is confidential, solely for official government purposes. Such information
8 may not be disclosed, except to the exporter or his agent. 15 CFR 30.91.

9 **Mssrs. Madderom and Evans Inaccurately Describe the Process for Rate**

10 **Publication and Service Contract Procedures under FMC Regulations**

11 7. Mssrs. Madderom and Evans disingenuously create an inaccurate picture as to
12 the public availability of the pricing, cost structure and contracting for the carriage of cargo in
13 U.S. foreign ocean commerce. Inexplicably, Mr. Evans believes that customers are candid
14 with ocean carriers in discussing what carrier competitors are charging or that they provide
15 reliable market intelligence. Shippers, in fact, are interested in negotiating for the lowest
16 possible freight charges, and they commonly play one carrier against the other by
17 misrepresenting their freight charge quotes. Ocean carriers, knowing that shippers may pass
18 the carriers' data to other carriers, may be reluctant to disclose their actual freight charges to
19 shippers who are only shopping around. Consequently, the market intelligence that Mr. Evans
20 describes must be looked upon as extremely questionable.

21 8. Furthermore, most ocean shipments regulated by the FMC are carried pursuant to
22 service contracts, the contents of which are, by law, confidential. Therefore, the freight
23 charges and shipper identities in a substantial portion of FMC-regulated international ocean
24 commerce are secret. Further, the terms of service contracts may, themselves, require contract
25 confidentiality. The result is that shippers and carriers can be in violation of law or in breach
of contract, or both, if they divulge accurately the details of their shipping arrangements.

1 9. The value of tariff publication of freight charges, or freight rates, is also
2 overstated by Mr Evans. Tariff publication does not, in itself, provide the shipping public with
3 regular, ready access to the freight charges of VOCCs or NVOCCs (vessel operating common
4 carriers and non-vessel-operating common carriers). Freight charges often are negotiated and
5 published only if the cargo actually moves and, perhaps only on the day that the vessel sails.
6 Further, rates can be published to expire days later.

7 10. A carrier's costs are not regulated by the FMC although Mr. Madderom states
8 otherwise. In fact, the FMC does not regulate the levels of freight charges, only ensuring that
9 the charges are published accurately, are adhered to by the carriers, and are not unreasonably
10 discriminatory among the shippers. With respect to transshipment cargoes that are handled by
11 TNI and FOML, the transshipment charges are not required to be published and no government
12 regulation applies to the transshipment leg between the foreign transshipment point and the
13 foreign destination.

14 **TNI'S Pricing and Marketing Strategies are**

15 **Extremely Confidential**

16 11. Our pricing policy and market strategy is proprietary information and it is,
17 frankly, silly to suggest otherwise. How we price cargo from the U.S. differs from how we
18 price from other areas that TNI serves. Freight rates in ocean trades that do not include the
19 U.S. are not required to be published and disclosure is prohibited by contract terms. Services
20 in Korea (where U.S. shipments to the RFE are transshipped) for land side operations are not
21 public information or generally known by competitors. Again, for cargo that moves from other
22 then the U.S., there is no requirement for publishing freight rates. If cargo moves under
23 contract from the U.S. by a VOCC this information is not available and is confidential. Very
24 few companies spend the time and energy to review the complex published tariffs, as it is not
25 practical. I might also add that the market in Canada is also not regulated and no tariff
publication is required.

1 12. There are, in fact, a number of considerations regarding pricing which
2 Mr. Madderom and Mr. Evans have failed to mention, which omissions are quite misleading.

3
4 13. The pricing, or freight charges, of NVOCCs, such as TNI, in U.S. international
5 commerce must be published, and publication can be just at the time of cargo movement.
6 These freight charges can expire shortly after publication. So a rate today may expire and be
7 cancelled from the tariff within a few days. As a matter of competitive tactic, many rates
8 expire. The practice in most trades is to quote rates and only publish them when and if the
9 cargo moves. It is also a practice that rates are presold to customers and are not published until
10 cargo is about to move. Those are the key dynamics of pricing in U.S. trades. Mr Madderom
11 is well aware of which customers we use this tactic with and our minimum margin guidelines,
12 as we price cargo on a movement by movement basis. Other customers may choose to have
13 longer term stable prices to conduct their business which he is also aware.

14 14. Other regions of the world do not require any publication of freight rates at all
15 and contracts can and are signed by all of the transportation companies. Rates are not
16 regulated by any government body. The carriers' shipper customers may share rate
17 information. However, if a shipper is under contract with a VOCC in the U.S. such sharing is
18 prohibited by the Shipping Act of 1984, and shippers are not always truthful. Confidentiality
19 regarding one's costs is a strategic imperative. It is the foundation of one's ability to compete
20 in a global market. If my competition knew at what point we were not profitable, they could
21 then use this information as a tactic to move our customers over to them (at least for a short
22 period depending on their position and how deep their pockets are). I think Mr. Evans makes a
23 good point that they [FESCO] cost price on the weekly service at 'What the market will bear
24 on the direct service'. However, if they knew our breakeven they could price the cargo "as the
25 market will bear" against us and hurt our market share thus causing a significant cash flow
issue let alone profitability This confirms my point that if Mr. Madderom were to disclose this
information we could be harmed and be put out of business.

1 15. We have confidential contracts with the VOCCs with which we ship and
2 Mr. Madderom is very well aware of our volume commitments and rates. (As an NVOCC, we
3 do not operate vessels, but we are classified as common carriers, moving our shippers' cargoes
4 in the vessels of VOCCs.) He is aware of our landside and overhead costs and this information
5 could be used to pinpoint our breakeven level and do us untold harm. I have no idea what
6 Mr. Evans means when he talks about market intelligence and how this relates to pricing of a
7 customer's freight. If he is talking about customers, the information received may or may not
8 be truthful for reasons previously noted.

9 16. VOCCs today do most of their pricing by contract from the U.S., which is
10 confidential, and from other regions where tariff publication is not necessary. Mr. Evans
11 alleges that information regarding who ships the cargo, to where, and by whom, is available
12 but, again, this is not totally accurate. For example, Company A shows up on the export data.
13 After investigation this is a joint venture with Company B, and Company A cargo is controlled
14 out of Turkey. They are a large supplier to the energy sector on Sakhalin Island Russia.
15 Company C is the forwarder for some of the cargo and controls the cargo from Belgium and
16 some is routed by a gentleman in Istanbul, Turkey. So the data from export sources only tell
17 part of the story. FESCO would never know about this cargo as it does not show up anywhere
18 in the publicly available data. Because of Mr. Madderom's knowledge of this information, and
19 how we deal with these customers, it is essential that TNI be protected.

20 17. Customer lists and one's participation with a customer is confidential.
21 Mr. Madderom, who was employed by TNI in senior positions from 1/10/99 to 10/28/03, can
22 reveal to FESCO where they need to focus, improve service or cut their rate to be more
23 competitive with a particular customer representative based upon acquired knowledge of TNI
24 business. Market data only tells you about yesterday. Today and the future is indicated by
25 calling customers in person (or by phone, email or fax) to determine when the next moves will
take place, if the customer was successful on a specific tender, or who to partner with on
project cargo and which companies may have the inside track. By his experience and tenure

1 with TNI, Mr. Madderom is well aware of our strengths and weaknesses. He can then view
2 the customer and determine what the best approach should be based on his tenure with TNI and
3 TNI's position with that customer. That is not a level playing field. For that reason
4 Mr. Madderom's use of the TNI customer and contact client information is proprietary and
5 should be protected

6 18. Mr. Madderom is correct that we did use the customer list from Sunmar, but after
7 the economic crisis of 1998 very few customers were left to do business with. In fact we at
8 TNI focused on the seafood market which Sunmar had not focused on. Further, the Russian oil
9 and gas expansion [project cargo] was put on hold for several years on Sakhalin and it was not
10 clear until 2002 that these projects would actually move forward, requiring significant
11 equipment imports from the U.S. and Europe . I want to emphasis that the world economy has
12 changed and it is more global and less dependent on U.S. So a customer list and knowledge of
13 where the customer sources cargo from is a key to a company's success. Mr. Madderom's
14 knowledge of our customers and where they source from is proprietary and not available
15 through export information from U.S. Dept of Commerce or Customs. The world has changed
16 and so has the competition. He has knowledge of what we charge, in total, for break bulk
17 cargo that moves from point A to B; only the ocean freight portion of the charges to the shipper
18 has to be published. The charges for loading, securing shipping equipment, or land operations
19 at the relay point and destination are very confidential.

20 19. Customer contacts and people who control the cargo are not static. They change
21 in large corporations more often than in small businesses or single owner businesses. Certainly
22 the number of U.S. companies that had done business in the Russian Far East before the
23 economic crisis are less and in some cases different. In fact the business model for the two oil
24 and gas projects are quite different One allows the suppliers to route the cargo with each
25 service company fighting for a piece of the action, while the other uses tenders and major
logistics and distribution companies as a means to move their global cargo to the project area.
Mr. Evans' view of the market is skewed by his lack of experience in other global regions.

1 The pool of customers from the U.S. can be documented from export data that is dated by 3-4
2 months, but that has no relevance to cargo that moves from Europe, Asia, Mid East, South and
3 Central America, where relationships with clients, forwarders, distribution and logistics
4 companies and there personal contacts are invaluable. There is no resource that I am aware of
5 that can document this information in those regions. With global sourcing today customers
6 require service from all regions which we try and meet their requirements. A good example is
7 frozen chicken. Once this commodity was almost exclusively sourced in the U.S. for shipment
8 to the Russian Far East. That is not the case today as it moves from Poland, South America
9 and Europe. Further, Mr. Madderom's knowledge and activity could be concealed by calling
10 on customers and then having a FESCO agent do the follow up work so it not seen that
11 Mr. Madderom is even involved.

12 20. It has also been pointed out that we are only concerned with only 4 customers
13 that Mr. Madderom has called on. That is only because we received information regarding
14 those specific contacts by mistake or because someone sent us this information. We have many
15 verbal confirmations that he has called on many customers in the Russian Far East. Customers
16 today are global and we have and should be concerned about all contacts Mr. Madderom
17 makes with customers with which we do business. Even unintended leakage could be very
18 harmful to us. For example, Danzas may be a customer of FESCO, but this particular contact
19 who is in Europe had not interfaced with FESCO to my knowledge until Mr. Madderom
20 contacted them on FESCO's behalf. FESCO had not to this point covered the market closely
21 nor had Danzas been a player in the project business. In fact, they were trying to enter the
22 market with TNI as a partner, not FESCO.

23 21. Mr. Madderom told me in one conversation he sent this message to 150
24 customers and friends, not 40-50 customers. Relationships are complex and there are
25 many influential parties in a company or organization. As such those relationships, which Mr.
Madderom developed while at TNI, are confidential and strategic and they are proprietary to
TNI. Figuring out the maze of control points and influential parties would give Mr. Madderom

1 an unfair advantage in the market with the information of customer preferences and control
2 points. He knows very well the tiered selling process we have been successful with in the
3 machinery export market, which is not something that FESCO has used.

4 22. I also disagree that the cost and pricing information in eight months would be
5 stale. Our pricing and costs structure has not varied in the last 24 months to any degree. So
6 Mr. Madderom's conclusion is incorrect.

7 23. The service pattern over Busan, Korea (where U.S.-RFE shipments are
8 transshipped) is not offered by 100s of companies all over the world. If one reviews the
9 *Shipping Digest*, *Pacific Shipper* and other Asian and European trade publications that include
10 carriers' shipping schedules, it's clear that this U.S.-RFE market is so small, and with
11 operating complexities, that few companies would engage their scarce resources to devote to
12 this service and/or product. That is why we are in business -- other companies partner with us,
13 as this area is our focus and we have valuable experience that they can depend on. The
14 interchange of equipment alone eliminates many from even being involved. The information
15 from global sources is not available by any publication except in the U.S. The information
16 regarding who is moving cargo from where to where is gathered by calling on customers in
17 person, by phone email and fax to, offer your service. Today we can handle a company in
18 Turkey, who we have never met, but have handled cargo on tenders communicated by email as
19 an example. By knowing our costs and pricing policy it would be easy for one to estimate how
20 TNI would bid. Mr. Madderom is very aware of this customer.

21 **Other Background Points Made by Mr. Madderom are Incorrect**

22 24. TNI was founded in 1994 by myself as an off shoot of a consulting company that
23 I worked for before Sunmar. Mr. Madderom's claim regarding the founding of the company is
24 incorrect. He also fails to reveal that we had a partner, Cascadia Container Line, who helped
25 us get started as we had no NVOCC license, insurance, freight system, accounting system. I
put up \$50,000 in capital to help fund the start up operations with Cascadia. In the first year of
operations Mr. Madderom made more money then the two owners, Rod Wallace and myself,

1 and we were constantly advancing money so Mr. Madderom could meet his expenses. In
2 October of 2000 we acquired our own license, insurance and other necessary items to begin an
3 independent operation. I funded the company with \$50,000 plus the paid in capital of \$25,000
4 to get us started. In the year 2000, while with Cascadia, I made \$33,000, Mr. Madderom made
5 \$75,000 as I recall and received a \$50,000 bonus in December of that year. Mr. Madderom
6 was given 15% of TNI as sweat equity and would be compensated in kind should the company
7 be sold. Later I increased that to 20% as Mr. Madderom complained about his stake in the
8 company, I also gave all other employee's ownership in the company and they would benefit in
9 kind in the company was ever sold. Mr Madderrom W-2 income for 2000 was 134,468, for
10 2001 184,035, for 2002, 283,584, for 2003 through Oct 28th not including severance and loan
11 forgiveness 176,784 Mr. Madderrom received substantial compensation and was always
12 treated fairly.

13 25. TNI never has achieved remarkable profits. The NVOCC business over the five
14 years was marginally above break even, with the real contribution coming from a different
15 segment of our company with which Mr. Madderom had no involvement. I have another
16 partner, in the government segment of TNI and we share 50-50% the profits and have not had
17 one disagreement. I used this profit to fund the growth of the NVOCC and to pay our
18 employees above market average. At no time was Mr. Madderom or any employee of TNI
19 forced to sign non-compete agreements. These were voluntary and not tied to any
20 compensation, ownership or any other tying arrangement. My son who works there has also
21 signed the very same documents as Mr. Madderom. Mr. Madderom signed this agreement on
22 9/18/01 and never made any comments about it until now.

23 26. Mr. Madderom has made many other inaccurate allegations, for example he
24 claims that I pressured Lynden not to hire him, which I did not. Lynden is a major
25 transportation company who is a NVOCC , forwarder VOCC and is a billion dollar company.
I do know the owner quite well but he would do what's best for his business and not what I
would tell him in any event.

1 **Mr. Madderom's and FESCO'S Statements Regarding the Nature of**
2 **NVOCC/VOCC Competition are Misleading**

3 27. There is also considerable confusion or misrepresentations regarding
4 terminology of distribution companies, logistics companies, forwarders NVOCC's and
5 VOCC's. The fact is they can be all under one corporate roof.

6 28. Distribution companies are companies that distribute someone's cargo either
7 domestically or internationally. Some people define such companies as distribution
8 companies, which is one of their menu of functions. They are also described as logistics
9 companies and as 3PL, third party logistics. They are also forwarders and customs house
10 brokers, and NVOCCs. NVOCC generally do not own or lease any assets to my knowledge
11 that are used in the transportation of cargo. They do own or lease warehouses that distribute
12 freight, handle the logistics [movement of the cargo], do the paper work to allow this to happen
13 and buy space from carriers who provide the assets to move the cargo from point A to point B.

14 29. VOCCs on the other hand are the vessel owners /charters and may do the other
15 functions as well under a corporate structure. Companies such as Maresk do all of the above,
16 forwarding, logistics, distribution, NVOCC and VOCC , air freight and operate an airline. In
17 different regions of the world the integration of these functions -- distribution, logistics,
18 forwarder NVOCC and VOCC -- are in different stages of maturity. If one looks at Europe
19 they have integrated these functions many years ago and do not have the regulatory oversight
20 such as performed by the FMC. In the U.S where we have regulatory oversight the integration
21 is maturing and companies such as P&O, Maresk [both European] APL [Asian] are moving
22 quickly in this direction. The terms NVOCC and VOCC are U.S. regulatory terms for
23 functions with many tasks underlying that function. These terms in Europe are interchangeable
24 with forwarders. So the definition of these functions are broadly used and used differently in
25 various regions.

1 **Mr. Madderom and FOML Have Misrepresented Status and**
2 **Objectives of TNI Complaint Proceedings Before the FMC**

3 30. FOML has hired two former Trans-Net Inc employees in the last 5 months, both
4 of which worked for TNI and TNV (Trans-Net Vostok) in the Russian Far East. One, Slava
5 Naganyuk was hired to manage the operations of chartered vessels, land operations and other
6 logistics that will be involved in the energy business in the RFE about three years ago

7 31. Mr. Mike Evans on two occasions that were reported to me told customers that
8 they (FOML/FESCO) were going to put TNI out of business according to those customers
9 Several other now former employees also made those comments which were reported back to
10 Mr. Madderom or me.

11 32. I filed a suit with the Federal Maritime Commission in July 29, 2003 against
12 FOML. So the suggestion that TNI has been fighting them for years is not true.

13 33. There has been no ruling at the FMC adverse to TNI's position that FOML has
14 violated the Shipping Act. TNI has before the FMC a complaint proceeding against FOML
15 raising serious Shipping Act allegations concerning the legality of FOML's status in the U.S.-
16 RFE trade and the legality of FOML's conduct, practices and activities in the U.S.-RFE trade
17 and how such conduct, practices and activities have been and continue to be the direct cause of
18 financial harm and injury to TNI. In 1998, the Far Eastern Shipping Company PLC
19 ("FESCO") and its wholly-owned subsidiaries FESCO Agencies, N.A., Inc. ("FANA"),
20 FESCO Intermodal, Inc. and Ocean Management Inc. paid civil penalties to the FMC in the
21 amount of \$550,000 in order to reach a compromise over allegations by the FMC that FESCO
22 and its subsidiaries violated numerous sections of the Shipping Act. In reaching a
23 compromise, the companies did not admit to any violations; however, according to the
24 compromise agreement, it was alleged that FESCO and its subsidiaries engaged in tariff
25 violations, misrepresentation of ocean common carrier status, undercharge of shippers,
improper entering into and operating under an agreement which was required to be filed with
the FMC, improper NVOCC operations and obtaining reduced transportation charges through

1 the improper use of charter parties. The FMC News Release, NR 98-04, is attached at
2 EXHIBIT B.

3 34. TNI's initial complaint, FMC Docket No. 03-08, challenged FOML's status
4 under the Shipping Act and FOML's right to enter into and implement a transshipment
5 agreement in the U.S.-RFE trade with a VOCC, without filing and becoming effective under
6 the Shipping Act. The transshipment agreement enabled FOML (which operates no vessels in
7 this U.S.-RFE transshipment service¹) to offer and provide ocean common carrier service on
8 space provided on vessels operated by an ocean common carrier, VOCC, serving the trade
9 between the United States and Busan, Korea whereby FOML's cargo was carried to Busan and
10 transshipped there, with on carriage to the RFE on other, non-FMC regulated vessels. FOML
11 did not answer the complaint, but filed motions for summary judgment and dismissal. FOML
12 subsequently cancelled its transshipment agreement (subject of TNI's complaint) and entered
13 into a space charter agreement with the same ocean common carrier covering the carriage of
14 FOML cargo from the U.S. to Busan, Korea, with similar transshipment at Busan to another,
15 non-FMC regulated vessel with oncarriage to the RFE. The space charter agreement thereafter
16 became effective under FMC regulations.

17 35. The Presiding Judge denied FOML's motion for summary judgment and ruled
18 that "changes in events" had made "the original complaint...obsolete" and that "dismissal of
19 the obsolete complaint should be without prejudice to refilling a properly drafted complaint
20 that reflects current realities and places respondent FOML on proper notice of a viable claim
21 under that law." (See, attached "Dismissal of Complaint With Leave to Amend; Motion for
22 Summary Judgment Denied Without Prejudice as Being Premature", FMC Docket No. 03-08,
23 Trans-Net, Inc. v. FESCO Ocean Management Limited, May 13, 2004, at p. 2., at EXHIBIT
24 C).

25

¹ By FMC definition, ocean carriers participating in a transshipment service must provide direct vessels calls at the origin port, destination port and intermediate transshipment port. 46 CFR 535.306(a).

1 36. In compliance with the Presiding Judge's ruling, TNI recently filed a new
2 complaint, FMC Docket No. 04-07, incorporating the issues and allegations set forth in the
3 prior complaint, as well as adding new and significantly expanded issues of alleged Shipping
4 Act violations committed by FOML. This new complaint takes into account events mentioned
5 by the Presiding Judge as having occurred subsequent to the filing of the earlier complaint, and
6 thus requiring an updating of TNI's complaint from the earlier docket. In the Presiding
7 Judge's July 19, 2004 order in the new complaint establishing a procedural schedule, the judge
8 discouraged FOML from filing dispositive motions, stating that ruling "upon such motions. . .
9 may require considerable time and effort and delay discovery that might otherwise commence
10 promptly after filing of a detailed answer to the complaint." (See, attached "Procedural
11 Schedule Established", FMC Docket No. 04-07, Trans-Net, Inc. v. FESCO Ocean Management
12 Limited, July 19, 2004, at p. 3, at EXHIBIT D) .

13 37. FOML claims to be a vessel operating common carrier (VOCC) serving the U.S.-
14 RFE trade. However, FOML's claimed status as a VOCC is currently under investigation at
15 the FMC in Docket No. 04-07. FOML may be found by the FMC to have violated the
16 Shipping Act by unlawfully holding itself out as a VOCC, when, in fact, FOML has actually
17 been acting as an NVOCC without proper statutory authority to be granted through FMC
18 licensing.

19 38. This issue is presently before the FMC and was specifically addressed by the
20 presiding judge in his May 13, 2004 ruling in the initial TNI complaint proceeding, FMC
21 Docket No. 03-08. The presiding judge raised serious questions concerning FOML's status as
22 an ocean common carrier and stated that resolution of this issue would be appropriate in a new
23 TNI complaint:

24 [T]here is a fundamental legal issue that must be resolved that goes to the question
25 whether FOML can offer a through transshipment service in the U.S. West Coast-to-
Russia trade because it does not own or operate any ships in that particular service and
therefore may not be an 'ocean common carrier' within the meaning of the 1984 Act and

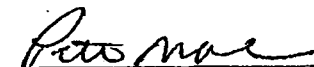
1 the Commission's regulations and furthermore may not be making 'direct vessel calls' at
2 various ports served as required by some of the Commission's relevant regulations. As I
3 have discussed above, if Trans-Net's interpretation of the Commission's regulations is
4 correct, FOML cannot arguably even be considered to be an ocean common carrier as
5 regards its through service in the subject trade because FOML does not own or operate
6 the vessels in either the U.S. West Coast-to-Busan leg or the Busan-to-Russia leg.
7 Furthermore, as regards its through service, then FOML arguably would be disabled
8 from filing not only a transshipment agreement but any space chartering agreement as
9 well because all the regulations dealing with these types of agreements specify that an
10 'ocean common carrier' must be involved.

11 May 19, 2004 Presiding Judge's Ruling, FMC Docket No. 03-08, at pp. 21-22. [Emphasis
12 supplied.] at EXHIBIT E.

13 39. TNI, a privately-owned U.S. business, seeks to develop the growing U.S. export
14 base in the industrial Russian Far East and to compete honestly and fairly in this highly
15 specialized global trade of which the RFE is a part. TNI seeks to offer and provide to its
16 customers superior distribution, logistical and ocean transportation services to enable its
17 customers to achieve their complex international business needs and to ensure that its
18 customers' shipments reach their worldwide destinations in a safe, efficient and timely manner.
19 The FMC complaints filed by TNI have sought redress against FOML for its violative conduct
20 under the Shipping Act that has irreparably interfered with and damaged TNI's ability to do
21 business in the U.S.-RFE trade. TNI's complaint is not frivolous but is entirely justified.
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6 I DECLARE UNDER PENALTY OF PERJURY UNDER THE LAWS OF THE STATE OF
7 WASHINGTON THAT THE FOREGOING IS TRUE AND CORRECT.

8 Signed at Seattle, Washington on this 26 day of July, 2004.

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10 
11 PETER MOE

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SUPPLEMENTAL DECLARATION OF
PETER MOE - 16

CERTIFICATE OF SERVICE

The undersigned certifies under penalty of perjury under the laws of the United States and of the State of Washington, that on the below date, I caused to be delivered a true copy of this document to all counsel of record via ☐ facsimile ☒ legal messenger service ☐ overnight mail service ☐ U.S. Postal Service, postage prepaid, at the regular office or residence thereof.

7/26/04 Don Campbell
Date Signed

TRANS-NET, INC., a Washington corporation,

No.

VS.

Defendant.

AFFIDAVIT OF PETER MOE, SR.

FILE COPY

1 logistic and distribution service provider and vessel operator and is licensed for the U.S. Trade
2 by the Federal Maritime Commission and has legal status in all other trade areas outside U.S.
3 Commerce.

4 3. TNI's market in the Russian Far East is limited and very competitive. There are
5 about 80-100 customers who regularly move cargo in and out of this area including inland
6 destinations in Russia. These shippers consist of traders and manufacturers who are very
7 sensitive to transportation costs and our business has to be very aware of our cost and pricing
8 proposals so as not to effect the sources of supplies which customers will buy from based on
9 transportation costs. TNI competes principally with the Far Eastern Shipping Company
10 ("FESCO") and with other shipping lines on a limited basis, some of which operate their own
11 vessels as common carriers and some which, like TNI, ship cargoes on vessels where space has
12 been contracted. The major competitor in this trade is FESCO which, although it operates
13 some of its own vessels, operates a business model just like TNI in shipping products to the
14 Russian Far East in that it ships the cargoes on vessels it does not own or operate.
15

16 4. FESCO is related to several other companies which include FESCO Ocean
17 Management Limited ("FOML"). FOML has an agent in Seattle, FESCO, Agencies, N.A. Inc.,
18 at 82 Second Avenue. FOML's mailing address is in Cyprus. In January 2004, FESCO hired
19 TNI's General Director of Russian Operations, in Vladivostok, Vyacheslav Naganyuk.
20 Vyacheslav had been responsible for TNI's chartering in the region as well as its banking and
21 other regional operations.
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24 **AFFIDAVIT OF PETER MOE, SR.- 2**

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SEATTLE, WASHINGTON 98154-1115
(206) 623-5890



1 5. FOML is presently a respondent in a proceeding commenced by TNI as
2 complainant before the Federal Maritime Commission in which TNI has charged FOML with
3 violation of the Shipping Act of 1984. TNI seeks damages and a cease and desist order against
4 FOML's actions in the Russian Far East. TNI has charged FOML with practices designed to
5 mislead the public, circumvention of tariff filing requirements, and acts to prevent the
6 commission from exercising its statutory authority.

7
8 6. On October 31, 1999, TNI hired Thomas Madderom as Vice President ,
9 defendant herein, as an employee. Madderom was given the responsibility of global sales for all
10 customers and projects (including oil, gas, mining and others) in the Russian Far East.
11 Madderom had pricing authority on all rates for containers and projects which included
12 logistics and distribution activities. He was introduced to and became acquainted with local
13 Russian vessel owners, agents, managers and representatives including Sakhalin Shipping
14 Company and Amur Shipping Corp. Madderom came in contact with many of these persons
15 who were the principal customers or working partners of TNI. These personal contacts cannot
16 be readily ascertained from public sources. These relationships would allow Madderom access
17 to our network, which may be used for Far East Russian regional business, the main
18 competitive advantage when customers need regional special projects services. Madderom
19 learned in detail TNI's sales, pricing and marketing strategy. He learned TNI's cost structure
20 in detail and TNI's cost model matrix for each trade lane. Madderom had access to all
21 company pricing and financial data. Madderom received monthly TNI's profit and loss
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24 **AFFIDAVIT OF PETER MOE, SR.- 3**

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1 statements and he became very knowledgeable of our margin standards, company policy
2 toward customers and employee relationships with those customers that require Russian
3 contact. Madderom helped develop our freight tracking system and other tactical tools for our
4 internal use to measure customer value. All of this information is extremely confidential and
5 strategically vital to our competitive position and survival. If this information were used by
6 FOML/FESCO it would give it an unfair advantage by knowing our costs and margins in areas
7 where we directly compete, including the Russian Far East, and would probably be used to
8 eliminate TNI as a competitor.

9
10 7. On September 18, 2001, Madderom and TNI entered into a Confidentiality and
11 Non-Compete Agreement, a true and correct copy of which is attached hereto as Exhibit A.
12 The agreement provides in pertinent part:

13 "1. **Nondisclosure of Proprietary Information.** Employee
14 understands that in the course of Employee's employment with the Company,
15 Employee may receive competitively sensitive material not generally known to
16 the public, including, but not limited to, information regarding its marketing and
17 sales data, pricing information, suppliers, customer lists and information, and
18 personnel information (herein collectively "Proprietary Information"). Employee
19 agrees that at all times during Employee's employment, and thereafter, Employee
20 will not disclose to anyone outside the Company any Proprietary Information."

21 8. On October 20, 2003, I terminated Tom Madderom's employment with TNI for
22 misappropriation of company funds and for improperly accounting for expenses, among other
23 highly questionable behavior. We entered into a Separation Agreement and General Release of
24 claims, a true and correct copy of which is attached as Exhibit B. Among the terms of this
25 agreement is a provision which states in pertinent part:

AFFIDAVIT OF PETER MOE, SR.- 4

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1 7. **Confidentiality and Noncompete Agreement.** Madderom
2 acknowledges and agrees that he shall continue to be bound by the terms of the
3 Confidentiality and Noncompete Agreement between Madderom and Trans-Net, a
4 copy of which is attached hereto. In addition, Trans-Net and Madderom agree not
5 to directly or indirectly disparage or speak ill of the other party, including
6 employees, to any third parties, particularly clients, customers, suppliers, and
7 employees.

8 9. On April 18, 2004, Madderom advised me by email that he had taken a position
9 with FESCO at Vladivostok with the title of Executive Projects Manager involving projects
10 cargoes on Sakhalin Island in the Russian Far East which are the major oil and gas projects
11 with 12-15 billion dollars in investment to be made by Exxon and Shell over the next 3-5 years.
12 A true and correct copy of that April 18, 2004 email is attached as Exhibit C. These operations
13 are in direct competition with TNI.

14 10. On April 27, 2004, I met with Tom Madderom to discuss my concerns about his
15 working for the major competitor. Mr. Madderom said that he was now the sole employee of
16 FOML, that it was a Cypriot company and that he would be working on developing
17 opportunities for FESCO [FOML] on Sakhalin Island. Sakhalin Island is an important area for
18 TNI service. Mr. Madderom stated he is very aware of his obligations under our confidentiality
19 agreement. Attached as Exhibit D is a true and correct copy of an email from Tom stating his
20 understanding and agreement not to compete with TNI.

21 11. Madderom has detailed knowledge of TNI's marketing and pricing strategies.
22 His knowledge will allow FESCO and FOML to decide by how much they can undercut TNI's
23

1 pricing; he will inevitably disclose this information and use it consciously or unconsciously in
2 competition with TNI.

3 12. Since Mr. Madderom left TNI, I am aware that he has contacted at least three
4 TNI customers. He sent an email announcement to DRC in which he said "I am looking
5 forward to working with you." (See Exhibit E attached hereto.) DRC is one of our customers
6 that transport machines from the Russian Far East. After I sent out a notice to our customers
7 that Madderom was no longer with TNI and that he had signed a confidentiality agreement,
8 Madderom sent an email to me by mistake that was intended for Duncan Irvin at Danzas, a
9 global freight forwarder, and is our top [1] customer. In that email Madderom described me as
10 an "egocentric jerk" and stated "I'd like to discuss with you soon your requirements for
11 SEIC/2." SEIC ("Sakhalin Energy Investment Corporation") is a customer of TNI on Sakhalin
12 Island. (Copies of the notice and email are attached as Exhibit F). In the email Madderom
13 identified himself as Executive Projects Manager for the Far Eastern Shipping Company
14 ("FESCO"). Madderom also contacted another customer, Modern Machinery Co. and admitted
15 to me during our conversation on April 27, 2004, that he has sent out the announcement of his
16 new employment to 150 persons. Unless the confidentiality agreement is enforced, TNI stand
17 to suffer irreparable harm. TNI and I will further suffer harm if the prohibition against
18 disparagement of the Separation Agreement is not enforced. Attached as Exhibit G is a true
19 and correct copy of our confidential customer list. Tom Madderom should be enjoined from
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24 **AFFIDAVIT OF PETER MOE, SR.- 6**

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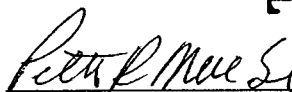
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(206) 623-5890



1 contacting any of these companies or disclosing the proprietary information for the duration of
2 the 18-month period called for in the Agreement.

3 Further, your Affiant sayeth naught.

4 DATED this 21st day of June, 2004 in Seattle, Washington.

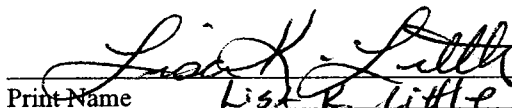
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Peter R. Moe, Sr.



8
9 21st SUBSCRIBED AND SWORN to or affirmed before me at Seattle, Washington this
10 day of June, 2004.



11
12 
13

Print Name Lisa K. Little

NOTARY PUBLIC FOR WASHINGTON

Residing at Bothell, WA

My Commission Expires 4-11-06

24 **AFFIDAVIT OF PETER MOE, SR.- 7**

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EXHIBIT A

CONFIDENTIALITY AND NONCOMPETE AGREEMENT

THIS AGREEMENT is entered into this 18 day of September, 2001, between Trans-Net, Inc., a Washington corporation ("Company") and Thomas Madderom ("Employee"). In consideration of Employee's continued employment with the Company, Employee and Company agree to the following provisions:

1. **Nondisclosure Of Proprietary Information.** Employee understands that in the course of Employee's employment with the Company, Employee may receive competitively sensitive material not generally known to the public, including, but not limited to, information regarding its marketing and sales data, pricing information, suppliers, customer lists and information, and personnel information (herein collectively "Proprietary Information"). Employee agrees that at all times during Employee's employment, and thereafter, Employee will not disclose to anyone outside the Company any Proprietary Information.
2. **Noncompetition/Nonsolicitation.** Employee agrees that during Employee's employment with the Company, and for a period of eighteen (18) months following the termination of Employee's employment, regardless of reason, Employee shall (a) refrain from engaging in any employment or other type of service relationship with any logistics distribution nonvessel operations common carrier conducting business to or from the Russian Far East, and (b) not engage in any employment or other type of service relationship with Sakhalin Shipping. In addition, Employee agrees that during such period, Employee shall not communicate or solicit any of the other employees of the Company for the purpose of causing such employees to terminate their employment relationship with the Company, and further agrees not to engage, employ, or otherwise hire any of the employees of the Company.
3. **Company's Remedy For Breach And Right To Injunction.** Employee understands that in the event Employee breaches paragraphs 1 or 2 of this Agreement, the damages to the Company would be difficult, if not impossible, to ascertain, and it is therefore agreed that the Company, in addition to any other remedy or right it may have, shall have the right to an immediate injunction or other equitable relief in any court of competent jurisdiction, enjoining any such threatened or actual breach. The existence of this right shall not preclude the Company from pursuing any other rights and remedies at law or in equity that the Company may have, including recovery of damages.
4. **Severability And Complete Agreement.** If any provision of this Agreement, or any portion thereof, is held to be invalid and unenforceable, then the

remainder of this Agreement shall nevertheless remain in full force and effect. This Agreement sets forth the entire agreement of the parties as to the subjects contained herein, and any representations, proposes, or conditions on such subjects not in writing and signed by both parties shall not be binding upon either party.

5. **Employee's Recognition Of Agreement.** Employee acknowledges that Employee has read and understood this Agreement and agrees that its terms are necessary for the reasonable and proper protection of the Company's business.

IN WITNESS WHEREOF, the parties have executed and entered into this Agreement on the date set forth above.


Thomas Madderom, Employee

Trans-Net Inc.


By: Peter Moe, President

EXHIBIT B

SEPARATION AGREEMENT AND GENERAL RELEASE OF CLAIMS

Trans-Net, Inc., a Washington corporation, and the employees, officers, directors, and agents thereof (collectively referred to throughout this Agreement as "Trans-Net") and Thomas Madderom (referred to throughout this agreement as "Madderom") agree as follows:

1. **Resignation.** Madderom voluntarily resigns from employment with Trans-Net effective October 28, 2003. Trans-Net and Madderom agree to send a notification to customers and vendors announcing Madderom's termination of employment on such terms as are mutually acceptable to Madderom and Trans-Net.

2. **Benefits to Madderom.** In exchange for the release of claims described below, and the fulfillment of the promises contained in this Agreement, Trans-Net will provide Madderom with the following benefits:

2.1 Trans-Net shall pay severance pay to Madderom in the amount of Six Thousand Two Hundred Fifty Dollars (\$6,250.00) per month, less applicable payroll tax, withholdings and deductions, to be paid through the month of April, 2004, provided, the monthly severance payments for the months of December, 2003, January, 2004, and February, 2004, shall be paid to Madderom in a lump sum payment on November 25, 2003. The severance payments for March and April, 2004, shall be paid on the 1st and the 15th days of the month, in accordance with Trans-Net's normal payroll practices. Madderom agrees that the lump sum severance payment shall be used solely for personal expenses and not for business purposes. Madderom further agrees that the amount of the company funds to be repaid pursuant to paragraph 4 below shall be deducted from the monthly severance payments to be paid in April, 2004.

2.2 Trans-Net shall pay the full cost of Madderom's premiums for the continuation of group health insurance coverage in accordance with the continuation requirements of COBRA through the month of April, 2004. Health insurance coverage after April, 2004, shall be at Madderom's election and expense.

3. **Loan Repayment.** Madderom acknowledges and agrees that Trans-Net has loaned the total amount of Thirty One Thousand Seven Hundred Sixteen Dollars (\$31,716.00) to Madderom during the term of his employment. Madderom agrees to assign to Trans-Net his 401-k retirement savings account to be applied to the loan owed by Madderom to Trans-Net. Madderom agrees to execute any and all documents necessary to withdraw all of the assets in his 401-k retirement savings account, and assign the assets to Trans-Net in partial repayment of the loan. Upon Trans-Net's

receipt of the 401-k savings plan assets, the balance of the loan owing to Trans-Net shall be canceled.

4. Repayment of Company Funds. Madderom acknowledges that he is indebted to Trans-Net in the amount of Three Thousand Five Hundred Thirteen Dollars and One Cent (\$3,513.01) for monies due Trans-Net from advanced expense money and ocean freight received and collected by Madderom. Madderom agrees to pay to Trans-Net Three Thousand Five Hundred Thirteen Dollars and One Cent (\$3,513.01) and hereby authorizes Trans-Net to deduct said amount from the April, 2004, severance payment due Madderom pursuant to paragraph 2.1.

5. Return of Company Property. Madderom shall immediately return to Trans-Net all Trans-Net property currently in his possession. Trans-Net agrees to assist Madderom in packing his personal property currently in Sakhalin Island, Russia, and Trans-Net shall pay for all expenses to transport Madderom's personal property to Seattle, Washington, or Moscow, Russia, at Madderom's election.

6. General Release of Claim. In exchange for the severance benefits provided to Madderom in this agreement, Madderom releases Trans-Net and its shareholders, directors, officers, employees, agents, successors and assigns, of and from all claims and causes of action, whether now known or unknown, against Trans-Net existing at any time up to and including the date of this agreement, including, but not limited to, any claims of wrongful discharge or age, sex, or other discrimination under the Civil Rights Act of 1964, the Age Discrimination Employment Act of 1967, the Fair Employment and Housing Act, or any other applicable law. Madderom acknowledges that it is his intention to fully settle all claims in exchange for the benefits described in this agreement.

7. Confidentiality and Noncompete Agreement. Madderom acknowledges and agrees that he shall continue to be bound by the terms of the Confidentiality and Noncompete Agreement between Madderom and Trans-Net, a copy of which is attached hereto. In addition, Trans-Net and Madderom agree not to directly or indirectly disparage or speak ill of the other party, including employees, to any third parties, particularly clients, customers, suppliers, and employees.

8. No Consideration Absent Execution of This Agreement. Madderom understands and agrees that he would not receive the moneys and benefits specified in this agreement, except for his execution of this Separation Agreement and General Release Of Claims and the fulfillment of the promises contained herein. Payment of the severance pay is expressly conditioned upon Madderom's continued compliance with the terms of this Agreement and the Confidentiality and Noncompete Agreement.

9. Confidentiality. Madderom agrees not to disclose any information regarding the existence or any of the terms of this agreement to anyone other than his immediate family members or counsel, except as may be required for legal, accounting, or tax reporting purposes, or as otherwise may be required by law.

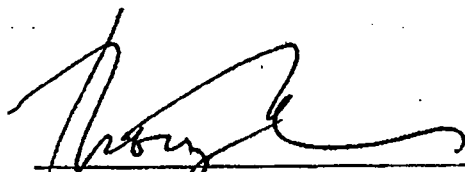
10. Severability. In the event that any provision contained in this Separation Agreement and General Release of Claims shall be determined to be invalid, illegal, or unenforceable in any respect for any reason, the validity, legality, and enforceability of any such provision in every other respect, and the remaining provisions of this Separation Agreement and General Release of Claims shall not be in any way impaired.

11. Entire Agreement/Amendment. This Separation Agreement and General Release of Claims sets for the entire agreement between the parties hereto and supersedes all other negotiations and agreements, whether written or oral, with the exception of the agreement referenced in paragraph 6 above. This Agreement may not be altered or amended except by written document executed by the parties.

12. Governing Law. This Agreement shall be governed by the laws of the State of Washington.

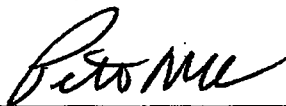
MADDEROM UNDERSTANDS THAT HE SHOULD CONSULT WITH AN ATTORNEY BEFORE SIGNING THIS AGREEMENT AND THAT HE IS GIVING UP ANY LEGAL CLAIMS HE HAS AGAINST TRANS-NET BY SIGNING THIS AGREEMENT. MADDEROM ACKNOWLEDGES THAT HE IS SIGNING THIS AGREEMENT KNOWINGLY, WILLINGLY, AND VOLUNTARILY IN EXCHANGE FOR THE BENEFITS DESCRIBED IN THIS AGREEMENT.

IN WITNESS WHEREOF, the parties have executed and entered into this Agreement this 18 day of November, 2003.



Thomas Madderom

Trans-Net, Inc.



By: Peter Moe
Its: President

EXHIBIT C

From: Peter Moe
Sent: Monday, April 19, 2004 11:32 AM
To: 'Tom Madderom'
Cc: Doug friar (dmfryer@mbwf.com)
Subject: RE: update

Tom,

I'm traveling this week but would like to see you on Sunday afternoon . As you imagine we are very concerned about your potential offer with Fesco and your commitment to not compete with TNI or TNV . It would seem to me that you have taken a position to compete with TNI which is a violation of our agreement. I will certainly listen to what you have to say about your position but I have grave doubts about Fesco/your intent . You will recall that you received compensation and loan forgiveness and your agreement not to violate that agreement Let me know when you are free on Sunday afternoon .

Peter

From: Tom Madderom [mailto:tom_madderom@msn.com]
Sent: Sunday, April 18, 2004 6:31 PM
To: Peter Moe
Subject: update

Peter,

I returned home last Wednesday. After 2 ½ months in Russia I have found what I believe to be a serious position and one where I can continue in the work I feel suited. In order to insure clarification and out of respect for you I wanted to advise you myself, rather than hear it from the local rumor mill.

I have taken a position with FESCO – Vladivostok. My title is Executive Projects Manager. I will be reporting to the President and will be in charge of managing FESCO's relationships with the projects on Sakhalin and throughout Russia. Within three months I will be working from Moscow and will move Yulia and Ksania there.

I am well aware of my obligations as set forth in our separation agreement, and will proceed accordingly.

I'll be around all week, traveling back to Russia next Monday. If you'd like we could get together for a pop after work sometime. Let me know.

EXHIBIT D

peter

From: Tom Madderom [mailto:tom_madderom@msn.com]
Sent: Monday, April 26, 2004 12:45 PM
To: Peter Moe
Subject: RE: update

Peter,

We got back late. I was going to leave for Russia today, however, I need to wait till Wed. due to some family stuff.

Prior to meeting with you I would like to offer some response to your letter and that of your attorney. My position with FESCO is based in Russia, as an employee of a non-US company. My role in the company is not related to the liner business. My employment is not in violation of our agreement in any way. The agreement specifically states that I cannot enter into employment with an NVOCC or Sakhalin Shipping Company. FESCO is neither.

. Noncompetition/Nonsolicitation. Employee (me) agrees that during Employee's employment with the Company (Transnet), and for a period of eighteen (18) months following the termination of Employee's employment, regardless of reason, Employee shall (a) refrain from engaging in any employment or other type of service relationship with any logistics distribution non vessel operations common carrier *(even though the terminology is incorrect it is my opinion that this clearly refers to an NVOCC)* conducting business to or from the Russian Far East, and (b) not engage in any employment or other type of service relationship with Sakhalin Shipping. In addition, Employee agrees that during such period Employee shall not communicate or solicit any of the other employees of the company for the purpose of causing such employees to terminate their employment relationship with the Company, and further agrees not to engage, employ, or otherwise hire any of the employees of the Company.

I am not out to harm you or TransNET. I am only trying to make a living for me and my family. All proprietary information will remain as such.

I have not responded to you or Peter regarding the insurance, because I assumed offer of continuation was at your discretion. However, I have found out today that it is mandatory for an employer who does not qualify for COBRA to offer 6 months continuation, paid by the former employer and reimbursed by the former employee. Therefore I'd like to accept this offer and will provide payment of \$738.98 today. I can drop it off or by mail, whatever you wish.

Please let me know what to do about the insurance. I can meet when you are available.

Tom Madderom

Mobile- 7-4232-982839

Office- 7-4232-491416

tom_madderom@msn.com

From: Peter Moe [mailto:pmoe@transnetinc.com]
Sent: Saturday, April 24, 2004 9:10 AM
To: Tom Madderom
Subject: RE: update

Tom,

Fine , Ill keep my cell on

Peter

From: Tom Madderom [mailto:tom_madderom@msn.com]
Sent: Friday, April 23, 2004 8:32 AM
To: Peter Moe
Subject: RE: update

Peter,

We'll be coming back from Oregon Sunday. I'll give you a call on your cellphone when I know my schedule.

Tom Madderom

EXHIBIT E

Douglas M. Fryer

From: Peter Moe [pmoe@transnetinc.com]
To: Douglas M. Fryer
Cc:
Subject: FW: New contact information
Attachments:

Sent: Thu 5/6/2004 2:56 PM

We need to move

Peter

Should I respond to Tom

pter

From: Pathfinder Logistics [mailto:agrif@sprynet.com]
Sent: Thursday, May 06, 2004 2:58 PM
To: Genady Solovyov
Cc: Peter Moe
Subject: Fw: New contact information

Hello Genady and Peter,
Paul in our office got this email and forwarded it to me. Thought you guys might be interested in seeing it too. I think it's just a general email going to all his contacts because he hasn't called on DRC yet.
Regards, Art

----- Original Message -----

From: Paul Johnson
To: Arthur Griffin
Sent: Thursday, May 06, 2004 14:54
Subject: FW: New contact information

-----Original Message-----

From: Thomas Madderom [mailto:ThomasM@FESCO.com]
Sent: Thursday, May 06, 2004 2:45 PM
To: Thomas Madderom
Subject: New contact information

Please find below my new contact information. I am looking forward to working with you.

Tom Madderom

Executive Projects Manager

Far Eastern Shipping Company

Vladivostok office- 7-4232-521453

Vladivostok mobile- 7-4232-982839

thomasm@fesco.com

www.fesco.ru

EXHIBIT F

From: Thomas Madderom [mailto:ThomasM@FESCO.com]
Sent: Thursday, May 13, 2004 3:10 PM
To: Peter Moe
Subject: RE: Noncompetit notice re Tom 103003

Duncan,

It's hard to tell if he is threatening you or me. Message has been edited from original version.
Let him take care of his business. I'll take care of mine, egocentric jerk.

Anyway, thanks for the reply and the heads up. Things are really popping here. I'd like to discuss with you soon your requirements for SEIC/2.

Tom Madderom

Executive Projects Manager

Far Eastern Shipping Company

Yuzhno Sakhalinsk office- 7-4242-741-228

Yuzhno Sakhalinsk mobile- 7-4242-280-802

thomaem@fesco.com

www.fesco.ru

16/2004

EXHIBIT G

CUSTOMER LIST
TRANS-NET, INC.

Arctic Eagle
Arctic Structure/Arctic Camps & Equipment
Arctic Wolf
Asian Pacific Trading
Caterpillar
Danzas - DHL Danzas
Do Export1
EW Commerce
Excell
FMS
Food Marketers, Int'l.
Global Trading Resources
Harbor Seafood
HC Product
Int'l Commodity Management
Intra Oil
Zust Backmeir
Maple Leaf Foods
Marine Star
Marine Fishing International
MJ Meats
NC International[Machinery]
Orca Bay Seafood
PAC NW
Panalpina
Pentagon Freight
Seamar Int'l.
Sogda Limited
Stat-Lab
Sysco
Thompson Caterpillar
Tiger Machinery
Total Freight Logistics
Triple S corporation
Ward's Cove Packing Company
White Bear Trading
WTS Of Houston

AB Autosale
ABB Inc.
ABB Lummus Global

Adec International, Inc.
Agro Sansaeng Co., Ltd.
Alex Brovkin
Alexander Goldenberg
American Bechtel, Inc./ENKA
American Global Health Group
American Northwest
Amrustrans RFE
Amur Machinery & Services
Aqua Star Imports Inc.

Arctic Camps and Equipment
Argus Limited
Arian Resources
Asetana VYV, Inc.
ATI International Corp.
Atlas Copco
Aurora International Co.
Amur Gold
Aviation-Restoration Group
Awers, Inc.
Azot International Trading
Babcock Borsig power
Bariod
Betts
Bema Gold
Blue Water Int'l
Boart Longyear
Bobcat Company
Bonus, Inc.
Breeze Marine Company Limited
Capstone Manufacturing
Caterpillar
Caterpillar S.A.R.L.
CLDS at Lake City, Utah
Company "Mavial" Magadan
Compuvest
Continental Shipping Line
Dalsea, Inc.
DAT Schuab
DHL Danzas AEI
DHL Danzas AEI Ocean Services
Dat-Schaub International
Dingo Ltd.
Dmitruk Leonid
DRC International Inc.

DSV LLC
Eagle Global Logistics
Elan LLC
Eurasia
Eurest IOCA
Eurest Support Services
Evgeny Shafran
Expeditors Intl. of Washington
Exportles Co., LLC
Expotech USA, Inc.
Familian Northwest
Far East Distributor Co.
Ferguson Simek Clark Intl.
Fias Consultants Inc.
Freight International
G&MYH Inc.
Geo Logistics
George S. Bush & Co., Inc.
Global Forestry Management
Global Marine Management
Gold-Mining Amur JSC Co.
Golden Interbirdge Trading
Grampian
Grigoriev Sergey
GV Coal International Mach.
Henry K. Textilhandel GMBH
Hoffman Equipment
Hellmann
I & V, Inc.

IBMRC
Ingersoll Rand
Ingersoll Rand Intl. S.A.
Inter-Cargo Systems
International Commodity Management
International Freight Transportation
International Trade & Deve.
Intrans-K Transportation
Infinity Shipping
Ioca Inc.
Iouri Chmorgolin
JSC Avialift Vladivostok
JSC Bratsk Zavod Stolyarn
JSC Magadan Mechanic Fact
JSC Ust-Olsky Fish Plant
JSC Zao Vostokles

Kuhn & Nagle
Keway Global Ltd.
Kinam Magadan Gold Corporation
Klimov C.C.
KMK Management Inc.
Leo Yurgenson, inc.
Luyckx International
Lynden Airfreight
Lynden International
Lynden Int'l
Marine Business International
Med-Tech
Medtech
Michael Bazhenov
MJ Meats
Modern Machinery
Montanaco Inc.

N.A.L. Impex
NDC International
Nikky, Ink.
Nikolai Kheday
Northwest Supply
NW Invest
OAO NPK Kolymavzryvprom
Olgerd Co., Ltd.
Omolon Gold
Oneonta Trading Corp.
OOO Rino Fish & Co.
OOO Torgpromus
Orca Bay Foods
Oregon Potato
Pace Seafood International
Pacific Forest Group Ltd.
Pacific Link
Pacific Matrix Inc.
Pacific Merchant, Inc.
Pacific North West Co.
Pacific North West Co.
Pacific Rim Corporation
Panalpina
Panalpina, Inc.
Parker Drilling Company
Parker Paint
Pathfinder Logistics
Piedmont Trading Inc.

Polaris Agency
Polymetal
Press-Invest
Puget Sound Trading Co., Ltd.
Rindwood Corporation
Rine Corporation
Rohlig
Rialto
Rosteck
Sakhalin Energy Investment (SEIC)
Sakhalin Shipping Company
Sapien
SDV forwarding
Sanki America LLC
Sanko Limited
Schenker International
Schlumberger Logelco Inc.
Schlumberger Technology
Universal Sodexho
Siberia Crown
Starstori
Small open mining
Sogda Ltd.
Spokane Feed Company
SR International Logistics
Sakhalin Shelf Service
STS Logistics North America
STS Trading Co.
SVD Truck Co.
Tatoosh Seafoods LLC
Taurus Impex, Inc.
Taylors International Serv.
Tejas Freight Forwarding
Tesera, Inc.
The Foundex Group
Tiger Machinery Co. LLC
Total Freight Logistics Int.
Trans World Freight Service
Translogistics LLC
Trebor Sales Corporation
Trinity Trading LLC
Turner Equipment Services
Universal Sodexho

UPS
US Foodservice

V & V Trading Co.
Versacold
Vetch Dmitry
VF Jeanswear Limited Partnership
Vitaly Fedotov
Vostoychnaya Lisingovaya
Vymac Corporation
Wagstaff
West LLC Co.
Wilson Logistics
Worldcatch, Inc.
WTS Global Logistics
Wynn's Belgium Distributor
UPS
Zaika, Evgeniy Semenovich
Zao Artel Staratelei Amur

Asetana
A.T.I.
Wagner Group
Ford
General Motors
John Deere
Chiyotec
BP Corp.
Yamate
CBI - Chicago Bridge & Iron
MI Drilling
Haliburton
West LLC
Itochu Plast.
Int. Trading
Azuma Trading
Sega Enterp.

Shell Oil Company
Sakhalin Energy
Exxon Mobile
Amur Shipping Company
Amur Gold
Piedmont Trading
Polymetal

V&V Trading
Texaco
British Petroleum

Parker Drilling
Flour Daniels
Taylors Int.
Alliance
Mark David

N:\JEL Data\12104.02 - TransNet v. Maddersom\Customer List.doc

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MANELLI DENISON & SELTER PLLC
ATTORNEYS

April 5, 2004

Bryant L. VanBrakle, Esq.
Secretary
Federal Maritime Commission
Room 1046
800 North Capitol Street, N.W.
Washington, D.C. 20573

Re: FMC Agreement No. 011873, FOML/PONL Space Charter Agreement --
Comments of Trans-Net, Inc.

Dear Mr. VanBrakle:

Trans-Net, Inc. ("Trans-Net") submits these comments regarding the captioned agreement between FESCO Ocean Management Limited ("FOML") and P&O Nedlloyd Limited ("PONL") (the "FOML/PONL agreement" or the "agreement"). These comments are submitted pursuant to Commission rules at 46 CFR § 535.603 and the notice at 69 FR 13852 (March 24, 2004). Trans-Net is concerned whether the agreement is clear and definite or represents the complete understanding of the parties, and whether the parties have the necessary authority to implement the FOML/PONL agreement.

Trans-Net is a United States corporation operating as a non-vessel-operating common carrier ("NVOCC") in the United States foreign ocean commerce, including the trade between the United States and Russia, licensed by the Commission (license No. 16051N). Trans-Net has served United States foreign commerce since 1999, developing a substantial expertise in the United States-Russia trade.

The FOML/PONL agreement covers the trade "from (i) ports in the United States, on the one hand, and (ii) Busan, Korea, on the other hand." Article 4. However, PONL would provide space to FOML "only with respect to FOML containers that have subsequent carriage from Busan, Korea to ports in the Russian Far East." Article 5.1. Accordingly, the agreement parties' intention appears to be that the cargo movement covered by the agreement would be limited to FOML containers from the United States to the Russian Far East via Busan (which limitation is unclear as further discussed below). FOML and Trans-Net are competitors in the United States-Russian Far East trade.

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Bryant L. VanBrakle, Esq.

April 5, 2004

Page 2

PONL would not provide its own space to FOML on PONL's vessels. Rather, space would be provided "to FOML on sailings in the Trade [United States to Busan] on which PONL has space allocated to it." Article 5.1. The agreement does not explain that PONL is a member of the Grand Alliance (FMC Agreement No. 203-011602-3) and that the space that PONL would charter to FOML would be in vessels operated by other Grand Alliance members. Thus, the service to be provided under Agreement No. 011873 is not fully disclosed in the agreement; and the reference to "Grand Alliance" in the agreement does not include a point of reference to make clear the prohibition in Article 5.2 against FOML's use of "Grand Alliance" in advertising. The FOML/PONL agreement provides that FOML would not be permitted to use the name "Grand Alliance" or the name of vessels operated by the Grand Alliance in advertising FOML's service to the Russian Far East. However, Article 5.2 of the agreement is confusing, in that Paragraph 5.2.a bars FOML from mentioning the Grand Alliance in "advertising," while Paragraph 5.2.c permits such mention in "direct advertising" to customers. The first, by definition, is inconsistent with the latter and should preclude any advertising using the Grand Alliance name.

The provisions of Article 5 therefore would not meet the requirement that an agreement must be "clear and definite in its terms" and reflective of the complete understanding. 46 CFR § 535.103(g). Further, while under Article 2, FOML would be bound not to fully disclose the nature of its service connection to the Grand Alliance, FOML would be permitted to do so discreetly to actual customers, depriving the Commission of oversight of the agreement's implementation. The exception to the ban on advertising the link to the Grand Alliance would create confusion, authorizing different treatment for those who are "in the know." Thus, any advertising under the agreement that holds out the Grand Alliance service would mislead or confuse the shipping public about the actual service being offered or provided.

As mentioned above, the FOML/PONL agreement applies only to "FOML containers" in the agreement's trade with subsequent carriage to the Russia Far East. Article 5.1.a. This provision creates uncertainty in connection with Article 5.1.b, which bars FOML from subchartering any space it receives under the agreement, since it is unclear whether the limitation to FOML "containers" might refer to shipments or cargoes. Containers that FOML would receive from an NVOCC, forwarder or another VOCC for shipment in the United States-Russian Far East trade via Busan apparently would be excluded by the agreement's terms.

Additionally, Trans-Net's concern arises as to whether PONL has obtained the necessary unanimous Grand Alliance approval to enter into Agreement No. 011873. The Grand Alliance agreement requires such approval for a member's arrangement with a non-member carrier when the arrangement allows space to be made available to the non-member on a regular basis. FOML has, and continues to have space made available regularly on Grand Alliance vessels, at least since FOML and PONL entered into an agreement styled as a "Non-Exclusive Connecting Carrier Agreement" on October 24, 2001. That agreement, which presumably still is in effect,

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Bryant L. VanBrakle, Esq.

April 5, 2004

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has not been filed with the Commission because the parties assert that it is a non-exclusive transshipment agreement.¹ That agreement pertains to the United States-Russian Far East trade, as does the FOML/PONL space charter agreement. FOML has continuously advertised a weekly service via Grand Alliance vessels in the trade media and on FOML's web site, www.fesco.com. FOML has used, and uses that space frequently and regularly pursuant to FOML's advertised weekly service.

Article 5.A.3(a) of the Grand Alliance agreement provides that a member with excess space can make it available to non-party VOCCs on an *ad hoc* basis; but such arrangements "of a more permanent and significant nature to non-party VOCC's shall be subject to the unanimous consent of the other parties." Although the FOML/PONL agreement provides for space to be chartered to FOML "as needed, as available," the agreement does not limit chartering to *ad hoc* occurrences. Rather, implementation by FOML and PONL of their "non-exclusive transshipment agreement" since October 2001 and FOML's ongoing advertisement of weekly service with non-PONL Grand Alliance vessels from the United States to Busan and thence to Russian ports, plus FOML's actual service since that date, negate any claim that the FOML/PONL space charter is *ad hoc* and therefore does not require unanimous Grand Alliance approval.

As already noted, the FOML and PONL "non-exclusive transshipment agreement" is in issue in FMC Docket No. 03-08, where that agreement's lawfulness under Commission regulations is being challenged. The filing of the space charter and its potentially becoming effective could have an important impact in that proceeding, heightening Trans-Net's concerns about the space charter, as discussed herein. The "non-exclusive transshipment agreement," the space charter agreement and the competition between Trans-Net and FOML converge in the United States-Russian Far East trade.

Trans-Net therefore requests that the Commission carefully consider the impact on the shipping public of the FOML/PONL agreement as filed. Trans-Net urges the Commission to take all steps necessary to ensure that FOML and PONL have authority to implement Agreement No. 011873, that the agreement is made clear and definite and contains the parties' complete understanding, and that the agreement, absent such requirements, is not permitted to become effective. The effect of the agreement otherwise would be to prevent the transparency that agreements should provide to the Commission and to competitors as to the agreements' implementation.

¹ The status of the FOML/PONL transshipment agreement is being challenged by Trans-Net in FMC Docket No. 03-08, *Trans-Net, Inc. v. FESCO Ocean Management Limited*.

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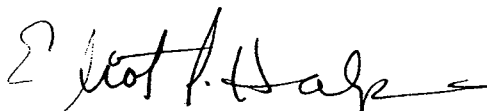
Bryant L. VanBrakle, Esq.

April 5, 2004

Page 4

Trans-Net requests that these comments be kept confidential, since they could reflect on the positions of the parties in Docket No. 03-08 without being part of the record in that proceeding, mentioned above, unless confidentiality is waived by Trans-Net or unless otherwise ordered by the Commission or an administrative law judge. 46 CFR 535.603(a).

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Eliot J. Halperin", with a horizontal line extending to the right.

Eliot J. Halperin

Deana E. Rose

Attorneys for Trans-Net, Inc.

Enclosures (ten copies of these comments)

Eliot Halperin

From: "Peter Moe" <pmoe@transnetinc.com>
To: "Eliot Halperin" <ehalperin@mdslaw.com>
Sent: Thursday, September 02, 2004 5:19 PM
Attach: FPL-R schedule 090104.xls; direct vsls 225-227wb.doc
Subject: FW: Updated FPL-R weekly schedule / Direct vessels to RFE update 090104

From: Andrei Kozlov [mailto:AndreiK@FESCO.com]
Sent: Wednesday, September 01, 2004 4:30 PM
Subject: Updated FPL-R weekly schedule / Direct vessels to RFE update 090104

FPL-R schedule 090104.xls>> <<direct vsls 225-227wb.doc>>

Regards,
 Andrei

=====

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=====

9/27/2004

Fesco Ocean Management Ltd. dba FESCO Pacific Line (Russia Service)

WESTBOUND - USWC to Russia

VESSEL	OOCL AMERICA	OOCL FRANCE	OOCL NEW YORK	OOCL JAPAN	OOCL BRITAIN	OOCL AMERICA	OOCL FRANCE	OOCL NEW YORK	OOCL JAPAN	OOCL BRITAIN	OOCL AMERICA	OOCL FRANCE
VOYAGE #	5641WB	5642WB	5643WB	5644WB	5645WB	5646WB	5647WB	5648WB	5649WB	5650WB	5651WB	5652WB
DEPARTS U.S. WEST COAST / CANADA												
HOUSTON C/O	Jul-29	Aug-5	Aug-12	Aug-19	Aug-26	Sep-2	Sep-9	Sep-16	Sep-23	Sep-30	Oct-7	Oct-14
VANCOUVER, BC C/O	Aug-4	Aug-11	Aug-18	Aug-25	Sep-1	Sep-8	Sep-15	Sep-22	Sep-29	Oct-6	Oct-13	Oct-20
LONG BEACH	Aug-11	Aug-18	Aug-24	Sep-1	Sep-7	Sep-12	Sep-18	Sep-25	Oct-2	Oct-9	Oct-16	Oct-23
SEATTLE	Aug-16	Aug-21	Aug-29	Sep-4	Sep-11	Sep-15	Sep-22	Sep-29	Oct-6	Oct-13	Oct-20	Oct-27
BUSAN (ETA)	Aug-26	Aug-30	Sep-7	Sep-14	Sep-20	Sep-25	Oct-2	Oct-9	Oct-16	Oct-23	Oct-30	Nov-6
BUSAN (ETD)	Aug-27	Sep-3	Sep-10	Sep-17	Sep-24	Oct-1	Oct-8	Oct-15	Oct-22	Oct-29	Nov-5	Nov-12
ARRIVES VLADIVOSTOK, VOSTOCHNY, KORSAKOV*, P-K*, MAGADAN*												
VOSTOCHNY	Aug-30	Sep-5	Sep-12	Sep-19	Sep-26	Oct-3	Oct-10	Oct-17	Oct-24	Oct-31	Nov-7	Nov-14
VLADIVOSTOK**	Aug-31	Sep-7	Sep-14	Sep-21	Sep-28	Oct-5	Oct-12	Oct-19	Oct-26	Nov-2	Nov-9	Nov-16
ANINO	Sep-7	Sep-7	Sep-20	Sep-20	Sep-27	Oct-4	Oct-11	Oct-18	Oct-25	Nov-1	Nov-8	Nov-15
KORSAKOV	Sep-5	Sep-9	Sep-22	Sep-22	Oct-1	Oct-6	Oct-13	Oct-20	Oct-27	Nov-3	Nov-10	Nov-17
P-K* (via VVO)	Sep-8	Sep-15	Sep-22	Sep-29	Oct-6	Oct-13	Oct-20	Oct-27	Nov-3	Nov-10	Nov-17	Nov-24
MAGADAN (via VOS)	Sep-14	Sep-14	Sep-28	Sep-28	Oct-12	Oct-12	Oct-26	Oct-26	Nov-9	Nov-9	Nov-23	Nov-23

WESTBOUND - U.S. East Coast to Russia

VESSEL	OOCL FREEDOM	PONL CARTAGENA	PONL SEATTLE	PENINSULAR BAY	KATSURAGI	NORFOLK EXPRESS	CAPE MAY	KITANO	CALIFORNIA LUNA	PROVIDENCE BAY	CALIFORNIA JUPITER	SINGAPORE BAY
VOYAGE #	5710WB	5721WB	5711WB	5722WB	5712WB	5723WB	5713WB	5724WB	5714WB	6551WB	5715WB	6552WB
DEPARTS U.S. EAST COAST												
NEW YORK	-	Sep-2	-	Sep-9	-	Sep-17	-	Sep-23	-	Sep-30	-	Oct-7
SAVANNAH	-	Sep-5	-	Sep-12	-	Sep-20	-	Sep-26	-	Oct-3	-	Oct-10
NORFOLK, VA	Aug-28	-	Sep-4	-	Sep-11	-	Sep-18	-	Oct-2	-	Oct-9	-
MIAMI, FL	Aug-31	-	Sep-8	-	Sep-15	-	Sep-22	-	Oct-6	-	Oct-13	-
BUSAN (ETA)	Sep-25	Sep-24	Oct-2	Oct-4	Oct-9	Oct-11	Oct-18	Oct-18	Oct-30	Oct-25	Nov-6	Nov-1
BUSAN (ETD)	Oct-1	Oct-1	Oct-8	Oct-8	Oct-15	Oct-15	Oct-22	Oct-22	Nov-5	Oct-29	Nov-12	Nov-5
ARRIVES VLADIVOSTOK, VOSTOCHNY, KORSAKOV*, P-K*, MAGADAN*												
VOSTOCHNY	Oct-3	Oct-3	Oct-10	Oct-10	Oct-17	Oct-17	Oct-24	Oct-24	Nov-7	Oct-31	Nov-14	Nov-7
VLADIVOSTOK**	Oct-5	Oct-5	Oct-12	Oct-12	Oct-19	Oct-19	Oct-26	Oct-26	Nov-9	Nov-2	Nov-16	Nov-9
ANINO	Oct-4	Oct-3	Oct-11	Oct-13	Oct-18	Oct-20	Oct-25	Oct-27	Nov-8	Nov-3	Nov-15	Nov-10
KORSAKOV	Oct-6	Oct-5	Oct-13	Oct-15	Oct-20	Oct-22	Oct-27	Oct-29	Nov-10	Nov-5	Nov-17	Nov-12
P-K* (via VVO)	Oct-12	Oct-12	Oct-19	Oct-19	Oct-26	Oct-26	Nov-2	Nov-2	Nov-16	Nov-9	Nov-23	Nov-16
MAGADAN (via VOS)	Oct-15	Oct-15	Oct-22	Oct-22	Oct-29	Oct-29	Nov-5	Nov-5	Nov-19	Nov-12	Nov-26	Nov-19

WESTBOUND - U.S. Gulf Coast to Russia

VESSEL	VILLE DE MARS	PONL AGULHAS	PONL ABIDJAN	NORDMED	PONL ALGOA	CMA CGM SEAGULL	PONL APAPA	VILLE DE MARS	PONL AGULHAS	CMA CGM ALABAMA	PONL ABIDJAN	PONL ALGOA
VOYAGE #	4858WB	4859WB	4861WB	4862WB	4863WB	4864WB	4865WB	4866WB	4867WB	4868WB	4869WB	4871WB
DEPARTS U.S. GULF COAST												
HOUSTON, TX	Aug-2	Aug-8	Aug-21	Aug-27	Sep-3	Sep-10	Sep-19	Sep-26	Oct-1	Oct-8	Oct-16	Oct-29
BUSAN (ETA)	Sep-1	Sep-6	Sep-20	Sep-20	Oct-4	Oct-11	Oct-18	Oct-25	Nov-1	Nov-8	Nov-15	Nov-29
BUSAN (ETD)	Sep-3	Sep-10	Sep-24	Sep-24	Oct-8	Oct-15	Oct-22	Oct-29	Nov-5	Nov-12	Nov-19	Dec-3
ARRIVES VLADIVOSTOK, VOSTOCHNY, KORSAKOV*, P-K*, MAGADAN*												
VOSTOCHNY	Sep-5	Sep-12	Sep-26	Sep-26	Oct-10	Oct-17	Oct-24	Oct-31	Nov-7	Nov-14	Nov-21	Dec-5
VLADIVOSTOK**	Sep-7	Sep-14	Sep-28	Sep-28	Oct-12	Oct-19	Oct-26	Nov-2	Nov-9	Nov-16	Nov-23	Dec-7
ANINO	Sep-8	Sep-13	Sep-27	Sep-27	Oct-11	Oct-18	Oct-25	Nov-1	Nov-8	Nov-15	Nov-22	Dec-6
KORSAKOV	Sep-10	Sep-15	Sep-29	Sep-29	Oct-13	Oct-20	Oct-27	Nov-3	Nov-10	Nov-17	Nov-24	Dec-8
P-K* (via VVO)	Sep-14	Sep-21	Oct-5	Oct-5	Oct-19	Oct-26	Nov-2	Nov-9	Nov-16	Nov-23	Nov-30	Dec-14
MAGADAN (via VOS)	Sep-17	Sep-24	Oct-8	Oct-8	Oct-22	Oct-29	Nov-5	Nov-12	Nov-19	Nov-26	Dec-3	Dec-17

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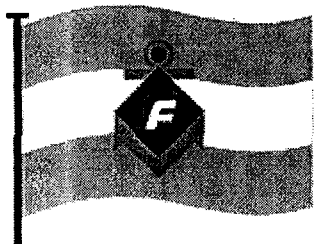
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RO-RO –	-	SEP 01	OCT 22
CONTAINER –	-	SEP 03	OCT 26
DOCUMENTATION –	-	SEP 02	OCT 25

♦ FOR RUSSIAN FAR EAST PORTS OF:

MAGADAN ETA	AUG 13-14	OCT 03-04	NOV 12
KORSAKOV ETA	AUG 19-22	via VVO	NOV 17
VLADIVOSTOK ETA	AUG 24-25	OCT 09-10	NOV 20
P-K	via VVO	via VVO	via VVO

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August 16, 2004



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This week's feature:
Cross-border trade
a booming phenomenon

Page 8



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WESTBOUND - TACOMA TO RUSSIAN FAR EAST

VESSEL	VASILY BURKHANOV	KAPTAN MAN	ANDERMA	KAPTAN MAN
VOYAGE	224WB	225WB	226WB	227WB
DEPARTS TACOMA, WA				
TACOMA, WA	05/26	07/31	EVERETT, WA 09/08	10/28
ARRIVES MAGADAN / KORSKOV / VLADIVOSTOK				
MAGADAN	06/09	08/14	TBC	11/12
KORSKOV	06/15	08/19	TBC	11/17
VLADIVOSTOK	VIA VVO	08/22	09/30	11/20
VANINO	VIA VVO	08/28	VIA VVO	11/21
P-K	VIA VVO	VIA VVO	VIA VVO	VIA VVO

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FIXED DAY WEEKLY	DEPARTURE	ARRIVING ON	VOSTOCHNY WEEKLY SUNDAY TRANSIT TIME	VLADIVOSTOK WEEKLY TUESDAY TRANSIT TIME	KORSKOV WEEKLY TRANSIT TIME	MAGADAN FORTNIGHTLY TRANSIT TIME	VANINO WEEKLY TRANSIT TIME	PK WEEKLY TRANSIT TIME
SEATTLE	WEDNESDAY		18 DAYS	20 DAYS	21 DAYS	28 DAYS	19 DAYS	27 DAYS
VANCOUVER	WEDNESDAY		25 DAYS	27 DAYS	29 DAYS	31-41 DAYS	27 DAYS	30 DAYS
LOS ANGELES	SATURDAY		22 DAYS	24 DAYS	25 DAYS	31 - 41 DAYS	23 DAYS	30 DAYS
HOUSTON DIRECT	FRIDAY		37 DAYS	39 DAYS	40 DAYS	42 - 52 DAYS	38 DAYS	45 DAYS
HOUSTON VIA LAX			31 DAYS	33 DAYS	34 DAYS	38 - 48 DAYS	32 DAYS	40 DAYS
NEW YORK	SUNDAY		35 DAYS	37 DAYS	38 DAYS	45 DAYS	36 DAYS	44 DAYS
NORFOLK	MONDAY		34 DAYS	36 DAYS	37 DAYS	44 - 54 DAYS	35 DAYS	43 DAYS
SAVANNAH	WEDNESDAY		32 DAYS	34 DAYS	35 DAYS	42 - 52 DAYS	33 DAYS	41 DAYS

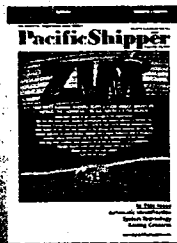
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VESEL	DIRECT KESTREL	KAPITAN AFANASYEV	PONL LOS ANGELES	CAP REINGA	DIRECT JABIRU	COLUMBUS FLORIDA	DIRECT CONDO	VLADI VOSTOK	DIRECT TUI	MAERSK AUCKLAND	PONL SAN FRANCISCO	KAPITAN MASLOV	DIRECT KESTREL	COLUMBUS WAKATO
VOYAGE	776SB	475SB	776SB	476SB	777SB	477SB	778SB	478SB	779SB	479SB	780SB	480SB	781SB	481SB

DEPARTS U.S. WEST COAST

TORONTO/MONTREAL	-	07/21	-	07/28	-	08/04	-	08/11	-	08/18	-	08/25	-	09/01
TORONTO/MONTREAL	-	07/22	-	07/29	-	08/05	-	08/12	-	08/19	-	08/26	-	09/02
ATLANTA	07/22	07/27	07/29	08/03	08/05	08/10	08/12	08/17	08/19	08/24	08/26	08/31	09/02	09/07
NEW YORK	07/21	07/26	07/28	08/02	08/04	08/09	08/11	08/16	08/18	08/23	08/25	08/30	09/01	09/06
EAST COAST	07/20	07/23	07/27	07/30	08/03	08/06	08/10	08/13	08/17	08/20	08/24	08/27	08/31	09/03
DETROIT	07/20	07/23	07/27	07/30	08/03	08/06	08/10	08/13	08/17	08/20	08/24	08/27	08/31	09/03
CHICAGO	07/23	07/28	07/30	08/04	08/06	08/11	08/13	08/18	08/20	08/25	08/27	09/01	09/03	09/08
MID-WEST	07/23	07/28	07/30	08/04	08/06	08/11	08/13	08/18	08/20	08/25	08/27	09/01	09/03	09/08
MINNEAPOLIS, MN	07/22	07/27	07/29	08/03	08/05	08/10	08/12	08/17	08/19	08/24	08/26	08/31	09/02	09/07
OHIO VALLEY	07/22	07/27	07/29	08/03	08/05	08/10	08/12	08/17	08/19	08/24	08/26	08/31	09/02	09/07
GULF COAST	07/23	07/29	07/30	08/05	08/06	08/12	08/13	08/19	08/20	08/26	08/27	09/02	09/03	09/09
OAKLAND	-	08/03	-	08/07	-	08/15	-	08/23	-	08/26	-	09/03	-	09/09
SEATTLE	-	08/06	-	08/05	-	08/18	-	08/19	-	08/29	-	09/02	-	09/12
PORTLAND	-	07/29	-	-	-	08/12	-	-	-	08/26	-	-	-	09/09
VANCOUVER, BC	-	07/29	-	08/10	-	08/12	-	08/26	-	08/26	-	09/06	-	09/09
LOS ANGELES	08/07	08/10	08/10	08/14	08/19	08/23	08/22	08/30	09/01	09/02	09/08	09/10	09/13	09/16

ARRIVES AUSTRALIA / NEW ZEALAND

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AUCKLAND	-	08/24	-	08/28	-	09/06	-	09/13	-	09/16	-	09/24	-	09/30
TAURANGA	-	-	08/23	-	09/09	OMIT	-	09/15	-	-	-	-	09/27	-
NOUMEA	-	-	-	09/07	-	-	-	-	-	09/30	-	10/20	-	11/05
SYDNEY	08/23	08/28	08/30	09/01	09/06	09/13	09/11	09/17	09/23	09/20	09/28	09/28	10/05	10/04
MELBOURNE	OMIT	08/31	08/28	09/04	OMIT	09/10	09/08	09/20	09/20	09/23	09/25	10/01	10/02	10/07
ADELAIDE	-	09/04	09/01	09/08	-	09/14	09/12	-	09/24	09/27	09/29	10/05	10/06	10/11
BRISBANE	-	08/28	08/28	09/02	-	09/13	-	09/18	09/25	09/25	-	10/02	10/02	10/09

Dates in boldface indicate direct port of call

NORTHBOUND - AUSTRALIA / NEW ZEALAND TO NORTH AMERICA

SERVICE	PSW3	PNW3	PSW4	PNW4	PSW1	PNW1	PSW2	PNW2	PSW3	PNW3	PSW4	PNW4	PSW1	PNW1
VESEL	DIRECT KESTREL	CAP REINGA	PONL LOS ANGELES	COLUMBUS FLORIDA	DIRECT JABIRU	VLADI VOSTOK	DIRECT CONDO	MAERSK AUCKLAND	DIRECT TUI	KAPITAN MASLOV	PONL SAN FRANCISCO	COLUMBUS WAKATO	DIRECT KESTREL	KAPITAN AFANASYEV
VOYAGE	769NB	469NB	770NB	470NB	771NB	471NB	772NB	472NB	773NB	473NB	774NB	474NB	775NB	475NB

DEPARTS AUSTRALIA / NEW ZEALAND/SOUTH PACIFIC

SYDNEY	OMIT	07/14	07/21	07/23	08/01	07/30	08/04	08/05	08/12	08/11	08/20	08/21	08/24	08/29
MELBOURNE	07/17	07/18	OMIT	07/26	07/29	08/03	08/01	08/07	08/08	08/14	08/17	08/18	OMIT	09/01
BRISBANE	07/13	07/15	07/17	07/23	07/28	07/31	07/31	08/04	08/07	08/11	08/16	08/17	08/19	08/29
ADELAIDE	07/13	07/14	-	07/22	07/25	07/30	07/28	08/03	08/04	08/10	08/13	08/14	-	08/28
AUCKLAND	-	07/23	-	07/31	-	08/08	-	08/12	-	08/19	-	08/25	-	09/06
TAURANGA	07/22	-	07/26	-	08/06	-	08/09	-	08/16	-	08/25	-	08/28	-
PAPEETE	-	07/28	-	-	-	08/13	-	-	-	08/24	-	-	-	OMIT

ARRIVES U.S. WEST COAST

HONOLULU	-	-	-	08/08	-	-	-	-	-	-	-	09/03	-	-
OAKLAND	-	08/06	-	08/13	-	08/22	-	08/25	-	09/02	-	09/08	-	09/16
MID-WEST	08/12	08/12	08/13	08/19	08/24	08/28	08/27	08/31	09/05	09/08	09/12	09/14	09/17	09/22
GULF COAST	08/11	08/18	08/12	08/24	08/23	09/03	08/26	09/06	09/04	09/14	09/11	09/20	09/16	09/28
EAST COAST	08/16	08/16	08/17	08/23	08/28	09/01	08/31	09/04	09/09	09/12	09/16	09/18	09/21	09/26
SEATTLE	-	08/10	-	08/15	-	08/24	-	08/28	-	09/07	-	09/11	-	09/21
PORTLAND	-	-	-	08/17	-	-	-	08/31	-	-	-	09/14	-	-
VANCOUVER, BC	-	08/09	-	08/17	-	08/25	-	08/31	-	09/05	-	09/14	-	09/19
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VOYAGE	336SB	063SB	337SB	064SB	338SB	065SB

DEPARTS LONG BEACH / SAN FRANCISCO

LONG BEACH	07/24	08/07	08/21	09/05	09/18	10/05
SAN FRANCISCO	07/25	08/08	08/22	09/07	09/19	10/07

ARRIVES TAHITI

PAPEETE	08/03	08/18	08/31	09/17	09/28	10/18
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Australia

New Zealand

Tahiti

Russia

BEFORE THE FEDERAL MARITIME COMMISSION

Ocean Common Carrier and Marine	)	
Terminal Operator Agreements	)	Docket No. 03-15
Subject to the Shipping Act of 1984	)	

COMMENTS OF TRANS-NET, INC.

Trans-Net, Inc. submits these comments in the captioned proceeding pursuant to the Commission's notice of proposed rulemaking published at 68 FR 67509 (December 2, 2003).

Trans-Net, Inc. ("Trans-Net") is a United States corporation operating as a non-vessel-operating common carrier ("NVOCC") in the United States foreign ocean commerce, licensed by the Federal Maritime Commission ("Commission"), License No. 16051N. Trans-Net has served United States foreign commerce since 1999.

Trans-Net's primary interest is in the Commission's proposal concerning transshipment agreements. 68 FR 67520-67521. Trans-Net is a shipper in relation to ocean common carriers, and Trans-Net agrees with the Commission's

assessment that the filing exemption for non-exclusive transshipment agreements has resulted in reduced transparency for transshipment arrangements. Trans-Net therefore supports the Commission's proposal of adding new language to the definition of a transshipment agreement in order to reaffirm the Commission's regulatory intent and to accommodate the evolution in the ocean transportation industry, particularly characterized by carrier participation in vessel sharing arrangements such as carrier alliances. The proposed revisions concerning transshipment arrangements are consistent therefore with the Commission's overall theme of promoting efficiency in transportation while providing enhanced transparency as to carrier agreements. This theme underscores the proposed rulemaking in its entirety.

As discussed by the Commission in its notice of proposed rulemaking, ocean common carriers increasingly provide service by taking space in the vessels operated by other ocean common carriers. This use of vessel sharing or space chartering, says the Commission, enables ocean common carriers "to replace or augment their direct services." 68 FR 67521. The current regulations require parties to a non-exclusive transshipment agreement to serve the origin, destination and intermediate ports with their own vessels

by direct service, i.e., by "direct vessel call," and not by space on another carrier's vessels. 46 CFR 535.306(a). The proposed revision, as the Commission explains, is therefore necessary to permit the latter form of service and to recognize new ocean carrier service formats. This would be accomplished by requiring that a carrier "have a filed and effective space charter agreement to cover the portion of its service between the United States and the port of transshipment" if the carrier does not operate a vessel involved in the through movement. 68 FR 6721.

Additionally, as explained by the Commission, the proposed revision would provide notice to shippers and to the Commission of the full nature of transshipment service being offered and provided by ocean common carriers. *Id.* This objective of achieving enhanced transparency is of critical concern to Trans-Net, which is a shipper in relation to ocean common carriers. Space sharing has resulted in a lack of a clear understanding by shippers and the shipping public of how ocean common carriers are providing through transportation, particularly in regard to unfiled non-exclusive transshipment agreements. *Id.* The disclosure that the Commission's proposal would require in connection with the filing of a space charter agreement for certain non-exclusive transshipment agreements would inform

the shipping public as to how carriers actually are providing their through transportation services.

Further, the proposed rule would enable the Commission to exercise more effective oversight, especially when the non-exclusive transshipment arrangement is implemented in conjunction with a vessel sharing arrangement, such as an alliance. In utilizing space on alliance carriers' vessels, there may be more involved than a one-on-one relationship between the transshipping and space chartering carriers. Alliance carriers might not act alone in the deployment and service pattern of their vessels, and requiring filed space charters in connection with non-exclusive transshipment arrangements would help keep the Commission and the shipping public apprised of the service actually being provided.

The Commission therefore in its proposed rulemaking appropriately seeks to accommodate the flexibility that space sharing and space chartering promote while also enabling the shipper, the shipping public and the Commission, to be informed as to how through transportation under a non-exclusive transshipment agreement is being provided.

In fact, the Commission's proposal regarding transshipment agreements is consistent with the tenor of

the proposed rulemaking as a whole: enabling the Commission to be more informed of carriers' activities while allowing carriers the needed commercial flexibility to conduct their activities without undue Commission involvement. The proposal in Docket No. 03-15 includes, for example, the following comment in connection with the industry changes since OSRA:¹

While the use of conferences has subsided under OSRA, the benefits carriers enjoy as a result of their ability to participate in antitrust-exempted agreements under the Shipping Act has clearly not diminished. The developments in carrier agreements under OSRA reinforce the need for the Commission to obtain firsthand information directly from the carriers involved in agreements.

68 FR 67525.

The Commission's rulemaking, at the same time, is receptive to the carriers' concerns for flexibility. The rulemaking is replete with references to the Commission's intention that carriers and their vessel sharing agreements have the benefit of flexibility. For example, the rulemaking includes a section concerning "Proposed Changes to Address Concerns for Future Commercial Flexibility." 68 FR 67516-67521.

The Commission's proposal with respect to transshipment agreements, including non-exclusive

¹ Ocean Shipping Reform Act of 1998, P.L. 105-258.

transshipment agreements, would contribute to the Commission's intention of achieving a better informed shipping public while at the same time ensuring flexibility in the manner of ocean transportation. The Commission's stated goal is to adopt a revision in the regulation of transshipment agreements, including non-exclusive transshipment agreements, that "promotes commercial flexibility and the resulting economic efficiencies for the carriers involved and the shipping public." 68 FR 67521. A company such as Trans-Net is by definition a member of the shipping public, and the proposed revisions would be beneficial to Trans-Net, a shipper in its relations with ocean carriers. 46 U.S.C. app. 1702(17)(B). The United States trades that Trans-Net serves actually exhibit the ocean transportation conditions regarding transshipment arrangements characterized by the Commission. The Commission's proposed revision would enhance the competitive environment.

Thus, the disclosure that the Commission's proposal would require in connection with the filing of a space charter agreement for certain types of non-exclusive transshipment agreements would satisfy the desired objective of offering and providing ocean common carrier service that is informative and transparent to the

Commission and to the shipping public. At the same time ocean common carriers would in no way be deterred in their objective of continuing to implement non-exclusive transshipment agreements (just as they do today), consistent with their desire to continue to achieve the efficiencies provided under space sharing arrangements.² The only difference would be that when the carrier serving the U.S. leg of the transshipment's through route provides that service in space on another carrier's vessels, that fact would have to be disclosed by the filing of a space charter agreement. Even then, the space charter easily might receive the benefit of the Commission's proposed new "Low Market Share Exemption" from the 45-day waiting period for low market share agreements. 68 FR 67519-67520.

For the foregoing reasons, Trans-Net supports adoption of the proposed revision of the regulations affecting transshipment agreements and non-exclusive transshipment

² The Commission says specifically in the rulemaking that the revision in regulation of transshipment agreements would "not remove the filing exemption for nonexclusive transshipment agreements." 68 FR 67520.

agreements contained in the Commission's proposed
rulemaking.

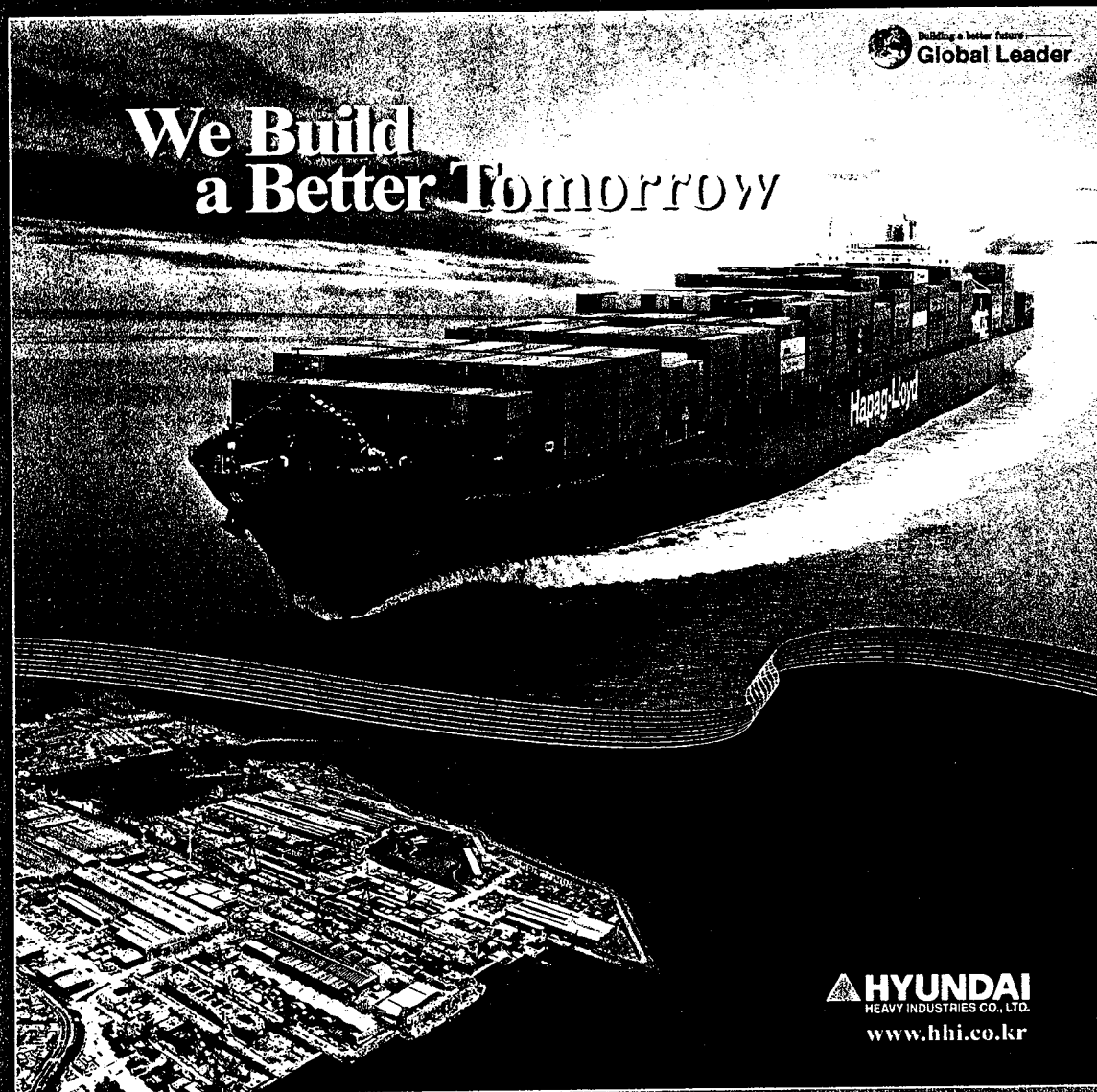
Respectfully submitted,

Eliot J. Halperin
Deana E. Rose
Manelli Denison & Selter PLLC
Suite 700
2000 M Street, N.W.
Washington, D.C. 20036

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January 30, 2004

Lloyd's Maritime Directory 2004



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Shipowners / Managers / Operators Directory

LLOYD'S MARITIME DIRECTORY 2004

Lloyd's
Marine
Intelligence
Unit

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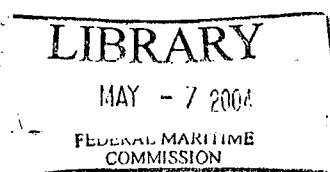
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LLOYD'S MARITIME DIRECTORY 2004

Volume 1 – Shipowners/Managers/Operators



Lloyd's
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Shipowners/Managers/Operators

LLOYD'S MARITIME DIRECTORY

2004

How to use this directory

Company name
(Name of company owning vessel)

Propulsion
(eg; m = Motor,
me = Diesel Electric)

Agents
(Acting as agents for the
following vessel)

Vessel name
(Name of vessel)

Speed
(Speed in knots)

Twin screw

Vessel type
(Type of vessel, eg; ro/ro)

Year of Build
(Year vessel was built)

Net
(Net tonnage)

Managed by
(Name of the company managing
the vessels listed below)

Flag
(Flag signal letters, see list of flag
abbreviations)

DENVAL MARINE CONSULTANTS LTD
156 High Street, Sevenoaks, Kent TN13 1XE, U.K.
Tel: +44 1732 458288 Fax: +44 1732 458277
Telex: 95458 DENVAL G
Personnel: Dirs: J. Denzil Dias, Norman V. Laskey.

Rosebay
(ODYSSY MARITIME CO. LTD, Limassol)
m 2sc ro/ro Gt 13700 Net 4110 Dwt 5233 Blt 1976
Sp 17 Flg CYP P3KM5 L 135.5 B 21.8 D 14.8 Dft 6.1
BLE 23.701. PAS 63. TEU 248.

Agents for the following: Denval Marine Consultants Ltd,
156 High Street, Sevenoaks, Kent TN13 1XE, U.K. Tel:
+44 1732 458288 Fax: +44 1732 458277 Telex: 95458
DENVAL G

Roseanne
(CHARTWELL NAVIGATION CO., Limassol)
m 2sc vehicle Gt 7744 Net 5245 Dwt 4106 Blt 1982
Sp 14 Flg CYP P3KX3 L 112.8 B 18.7 D 13.2 Dft 6.4
GRN 12.751. PAS 12. TEU 100.

TRINITY HOUSE, CORPORATION OF
Trinity House, Tower Hill, London EC3N 4DH, U.K.
Tel: +44 171 480 6601 Fax: +44 171 480 7662 Telex:
987526 NAVAID G Personnel: Master: His Royal
Highness The Duke of Edinburgh, KG, KT, Deputy
Master: Rear Admiral P.B. Rowe CBE, LVO, MRIN; Dirs:
K.W. Clark (Finance), M.G.B. Wannell (Engineering), D.I.
Brewer (Administration), Captain P.H. King
(Operations), Captain N.MacD Turner (Nav. Requirements);
Deputy Dir: P.N. Hyde (Engineering); Secretary: R.F.
Dobb; Mans: N.J. Culmore (Human Resources &
Comm.), Mrs. K. Hossain (Navigation), J.D. Price (Legal
& Insurance); Head of Man. Services: S.J.W. Dunning;
Head of Support Services: Captain T.A. Catesby; Snt
Inspector of Shipping: J.R. Dunnett; Media &
Comms. Officer: H.L. Cooper; Procurement & Supplies
Man: Colin Bottomley.

Mermale
(Nom. Owner M.C.C. LEASING (NO.6) LTD, London)
me 2sc lighthouse tender Gt 2820 Net 846 Dwt 1598 Blt
1987 Sp 12 Flg GBR GHXX L 80.4 B 14.6 D 7. Dft 4.8

Patricia
(Nom. Owner LLOYD'S EQUIPMENT LEASING LTD,
London)
me 2sc lighthouse tender Gt 2629 Net 791 Dwt 990
Blt 1982 Sp 14 Flg GBR GBTH L 86.3 B 13.9 D 6.9
Dft 4.4

NORD SHIP MANAGEMENT LTD
1 Quarryfield Road, Hatston Industrial Estate, Kirkwall,
Orkney Islands KW15 1GD, U.K. Tel: +44 1856 870124
Fax: +44 1856 870125 Personnel: Chairman & Chief
Supt. Eng: Graham A. McCombie D.M.E. M.C.M.S.;
Man Dir: L.J. Smith; Marketing Sales Dir. & Chief Marine
Supt. & Ops. Dir: Capt. Hugh Morton; Dir./Man:
Capt. Alfred W. Johnston.

Nord Star
m gc Gt 460 Net 283 Dwt 727 Blt 1978 Sp 10 Flg
GBR GZIV L 49.3 B 9. D 3.8 Dft 3.2 BLE 997. GRN
1,036.

Managed by: Everard, F.T. & Sons Management Ltd, 4
Elder Street, London E1 6DD, U.K. Tel: +44 171 247
8181 Fax: +44 171 377 5562 Telex: 887230 EVERAD G

Celebrity
m gc Gt 633 Net 363 Dwt 946 Blt 1976 Sp 10
Flg GBR GUVZ L 57.6 B 10. D 3.9 Dft 3.3 BLE 1,221.
GRN 1,317.

Call sign

Breadth
(Breadth extreme)

Depth
(Depth moulded)

Company Details
(Address and contact details of
company operating vessel)

Registered Owner
(Company name and town
location of registered owner)

Nominal Owner
(Nominal owner company name
and location town)

Draught
(Maximum Draught)

Gross tonnage

Deadweight
(Deadweight tonnes)

Length
(Length overall)

Capacities
(Capacity, eg; bale, grain, liquid
oil, passenger)

West

(EL VINTON, Panama City)
m gc Gt 1427 Net 685 Dwt 1847 Bit 1970 Sp 12.5 Flg
MNG JVG2 L 77 B 11.46 D 5.64 DR 4.9 BHP 1,500
BLE 2,289 GRN 2,453

ESKO SHIPPING AGENCY

2A Leninskaya Street, Nakhodka,
Primorsky Krai, Russia Tel: +7 42366 356041

Katran

(HOPE STAR SHIPPING CO. LTD, Belize City)
m 2sc gc Gt 1598 Net 784 Dwt 1821 Bit 1969 Sp 11 Flg
KHM XUFQ3 L 90 B 12.4 D 5.1 DR 3.3 BLE 2,911

Sunrise

(HOPE STAR SHIPPING CO. LTD, Belize City)
m 2sc gc Gt 1662 Net 597 Dwt 1810 Bit 1966 Sp 11.7
Flg KHM XUFQ3 L 87 B 12.4 D 5.2 DR 3.3 BLE 2,931

EVENING STAR KAM LTD

Russian Federation, Russia

Khayryuzovo

m ref Gt 697 Net 229 Dwt 495 Bit 1979 Sp 11.2 Flg RUS
UCLQ L 55 B 9.5 D 5.2 DR 4.3 REF 632

FAR EAST MARINE COMPANY (FEMCO)

424 Prospekt Mira, 693004 Yuzhno-Sakhalinsk,
Sakhalinskaya Oblast, Russia Tel: +7 4242 739080 Fax:
+7 4242 737311 Telex: 914931 SSF RU Email:
office@femco.ru Internet: www.femco.ru Personnel:
GEN.MGR.: A A Fratin

Anatoly Torchinov

m gc Gt 5590 Net 2474 Dwt 6780 Bit 1981 Sp 15.5 Flg
RUS UFJC L 130 B 17.4 D 8.5 DR 6.9 BLE 8,250 GRN
8,435

Managed by: Wallen Shipmanagement Ltd,
12th Floor, Warwick House East, Taikoo Place,
979 King's Road, Quarry Bay, Hong Kong Tel: +852
28768200 Fax: +852 28761210 Telex: 74147 NEG0 HX
Email: wsmhk@wallen.com Internet: www.wallen.com
Okha
(SAKHALIN STORAGE LTD, Nassau)
m crude oil tanker Gt 81269 Net 50731 Dwt 157823 Bit
1999 Sp 15.2 Flg BHS C6QG3 L 274 B 48 D 23.2 DR 16
BHP 22,920 LIQ 173,000

**FAR EASTERN SEA PRODUCTS EXTRACTION
& TREATMENT BASE**

Zarubino Poselok, 692763 Khassanskij,
Primorsky Krai, Russia Tel: +7 42331 77431 Fax: +7
42331 41856

Tairova

m ref Gt 677 Net 233 Dwt 405 Bit 1984 Sp 11.3 Flg RUS
UFPR L 55 B 9.5 D 5.2 DR 4.3 REF 632

FAR-EASTERN SHIPPING CO. (FESCO)

15 Alautskaya Street, 690019 Vladivostok, Russia Tel: +7
4232 413007 Fax: +7 4232 521224 Telex:
213115 ABC SU Email: transfers@fma.ru Internet:
www.fesco.ru Personnel: CHAIRMAN: Pavel I Gorupai;
PRES.: Yevgeny N Ambrosov; COO: S V
Cherednichenko; MARINE DIR./MGR.: N M
Shubenichenko; DIR.: Gennady V Kharin; DIR.: Vladimir A
Lelyukh; DIR.: Igor A Lozhnevsky; DIR.: Siman V
Povarenkonk; DIR.: Ivan A Tyryshkin; DIR.: Michael G
Vinchev; V. P.; Sergey Kozlov; CHIEF ENG.: V I Lobach;
CHIEF ENG.: Mikhail M Maksimov; AUDITOR: Lyubov A
Grinenko; AUDITOR: Irina V Lichinina; AUDITOR: Boris L
Shleingart; AUDITOR: Raisa G Strikun; AUDITOR: Galina
P Sushkova

Abakan

m gc Gt 7095 Net 2936 Dwt 7365 Bit 1990 Sp 15.5 Flg
RUS UIISD L 132 B 19.86 D 8.8 DR 6.9 BHP 6,960 BLE
10,022 GRN 10,600 TEU 318

Admiral Makarov

me 3sc icebreaker Gt 14058 Net 4217 Dwt 7560 Bit
1975 Sp 19 Flg RUS UGSN L 134 B 26.1 D 16.7 DR 11

Akademik Raspletin

m 2sc gc Gt 4643 Net 1798 Dwt 5020 Bit 1987 Sp 10.7
Flg RUS UERG L 124 B 13.4 D 7.5 DR 5.6 BHP 870 BLE
3,000 GRN 4,700 TEU 165

Aleksandr Tverdokovskiy

m c.c. Gt 7312 Net 3002 Dwt 6407 Bit 1974 Sp 17 Flg
RUS UFMM L 129 B 19.23 D 10.42 DR 7.5 BHP 6,700
BLE 10,012 INS 10,012 REF 20 TEU 304

Anderma

m ro/ro Gt 18627 Net 7669 Dwt 19943 Bit 1983 Sp 17
Flg RUS UIUF L 176 B 24.52 D 15.22 DR 9 BHP 21,000
GRN 30,284 REF 50 TEU 576

Amur

m gc Gt 4701 Net 1810 Dwt 5472 Bit 1997 Sp 13.5 Flg
RUS UCVS L 99 B 17.8 D 8.7 DR 7.1 BHP 4,568 BLE
6,047 INS 6,047 REF 10 TEU 186

Anatoly Kolesnichenko

m ro/ro Gt 18574 Net 8681 Dwt 22845 Bit 1985 Sp 17
Flg RUS UINM L 173 B 24.5 D 15.19 DR 10.5 BHP
21,000 BLE 26,900 GRN 29,090 INS 26,700 REF 550
TEU 576

Angara

m bulk Gt 22629 Net 12733 Dwt 37155 Bit 1985 Sp 14.8
Flg RUS UBXD L 186 B 28.4 D 15.6 DR 11.4 BHP 9,600
BLE 46,092 GRN 52,131 TEU 898

Antonina Nezhdanova

m 2sc passenger Gt 4254 Net 1330 Dwt 1273 Bit 1978
Sp 17.2 Flg RUS UEHC L 100 B 16.2 D 7 DR 4.7 BLE
750 PAS 262

Argun

m 2sc ro/ro Gt 1552 Net 616 Dwt 1772 Bit 1991 Sp 10.5
Flg RUS UBXF L 72 B 13 D 4.4 DR 3.2 BHP 1,740 BLE
1,640 TEU 65

Baykal

m 2sc passenger Gt 5236 Net 2165 Dwt 1357 Bit 1962
Sp 15.5 Flg RUS USKC L 121 B 15.93 D 10.32 DR 5.2
BHP 8,300 BLE 505 PAS 333

Bikin

m ref Gt 4295 Net 1305 Dwt 3750 Bit 1990 Sp 17.5 Flg
RUS UHCE L 103 B 17 D 9.65 DR 7.2 BHP 7,700 REF
4,879 TEU 62

Botsman Moshkov

m bulk Gt 10117 Net 4911 Dwt 14150 Bit 1977 Sp 15.75
Flg RUS UBXX L 151 B 21.04 D 11.59 DR 8.7 BHP
9,900 BLE 16,353 GRN 17,070

Chelyabinsk

m bulk/c.c. Gt 16794 Net 8843 Dwt 23242 Bit 1984 Sp
15 Flg RUS UHWM L 176 B 22.86 D 14 DR 10.2 BHP
9,500 BLE 29,223 GRN 29,817 TEU 863

Cheremkhovo

m bulk/c.c. Gt 16794 Net 8843 Dwt 23242 Bit 1984 Sp
15 Flg RUS UHWM L 176 B 22.86 D 14 DR 10.2 BHP
11,206 BLE 29,223 GRN 29,817 TEU 863

Cherkassy

m bulk/c.c. Gt 16794 Net 8843 Dwt 23242 Bit 1984 Sp
15.5 Flg RUS UHWM L 176 B 22.86 D 14 DR 10.1 BHP
11,200 BLE 29,223 GRN 29,817 TEU 863

Dalnegoorsk

(PHANTECH SHIPPING CO. LTD, Nicosia)
m ref Gt 5286 Net 3150 Dwt 6451 Bit 1990 Sp 16 Flg
RUS UHAW L 115 B 17.8 D 10.1 DR 6.7 BHP 6,800 REF
7,652

Gamzat Tsadasa

m c.c. Gt 13212 Net 7802 Dwt 14141 Bit 1971 Sp 18 Flg
RUS UIFL L 159 B 21.13 D 12.6 DR 10 BHP 12,000 BLE
20,417 INS 20,417 REF 40 TEU 704

Gavril Kirdishchev

m ro/ro Gt 3954 Net 1531 Dwt 4600 Bit 1976 Sp 16.7
Flg RUS UHJC L 139 B 19.2 D 13.1 DR 6.6 GRN 11,610
TEU 242

Gavril Manokhin

m 2sc ferry Gt 242 Net 99 Dwt 52 Bit 1974 Sp 12.5 Flg
RUS UPOT L 38 B 6.7 D 2.9 DR 2.2 PAS 80

Gorno-Altaysk

m ref Gt 4295 Net 1303 Dwt 3750 Bit 1990 Sp 17.5 Flg
RUS UGSL L 103 B 17 D 9.65 DR 7.2 BHP 7,700 REF
4,879 TEU 62

Grigoriy Aleksandrov

m bulk Gt 16565 Net 8537 Dwt 24105 Bit 1986 Sp 14.5
Flg RUS UIBM L 184 B 22.81 D 14.15 DR 10.1 BHP
11,200 GRN 33,478

Igarka

m ro/ro Gt 18627 Net 8945 Dwt 23024 Bit 1983 Sp 17
Flg RUS UIFC L 173 B 24.5 D 15.22 DR 10.5 BHP
21,000 BLE 27,864 GRN 30,662 TEU 576

Igor Ilinskiy

m gc Gt 7095 Net 2936 Dwt 7365 Bit 1990 Sp 14.5 Flg
RUS UIPT L 132 B 19.86 D 8.8 DR 6.9 BHP 6,960 BLE
10,022 GRN 10,600 TEU 318

Ilya Mechnikov

m ref Gt 6412 Net 2506 Dwt 5880 Bit 1976 Sp 21.75 Flg
RUS UGTY L 139 B 18 D 11.51 DR 7.8 BHP 13,200 PAS
2 REF 7,430

Ivan Makarin

m bulk Gt 14043 Net 7451 Dwt 19240 Bit 1981 Sp 15
Flg RUS UEWY L 162 B 22.92 D 13.52 DR 9.9 BHP
11,200 BLE 22,245 GRN 26,216 INS 22,245 REF 8 TEU
142

Kapitan Afanashev

(YERAKAS SHIPPING CO. LTD, Cyprus)
m c.c. Gt 16575 Net 8817 Dwt 23380 Bit 1998 Sp 19.6
Flg RUS UFIL L 184 B 25.3 D 13.5 DR 9.9 BHP 18,109
GRN 29,817 TEU 1,748

Kapitan Artyukh

m c.c. Gt 9548 Net 3586 Dwt 9141 Bit 1986 Sp 17.8 Flg
RUS UGOS L 148 B 21.01 D 10.93 DR 7.7 BHP 11,200
REF 48 TEU 400

Kapitan Byankin

m c.c. Gt 9530 Net 5088 Dwt 12400 Bit 1994 Sp 17.3
Flg RUS UAGK L 140 B 22.3 D 11.1 DR 8.3 GRN 16,624
REF 110 TEU 1,012

Kapitan Gnezdilov

m c.c. Gt 5333 Net 2491 Dwt 7420 Bit 1980 Sp 16 Flg
RUS UFML L 130 B 17.3 D 8.51 DR 6.9 BHP 6,100 TEU
320

Kapitan Khlebnikov

me 3sc passenger Gt 12288 Net 3686 Dwt 4418 Bit
1981 Sp 18.7 Flg RUS UGSE L 129 B 26.7 D 12.3 DR
8.5 PAS 106

Kapitan Konev

(ROSELAU SHIPPING CO. LTD, Limassol)
m c.c. Gt 9530 Net 5088 Dwt 12380 Bit 1995 Sp 18.7
Flg RUS UAHV L 147 B 22.7 D 11.1 DR 8.3 BHP 10,680
GRN 16,624 TEU 1,012

Kapitan Krems

m c.c. Gt 5333 Net 2491 Dwt 7420 Bit 1980 Sp 16 Flg
RUS UFML L 130 B 17.3 D 8.54 DR 6.9 BHP 6,100 TEU
320

Kapitan Kurov

m c.c. Gt 14063 Net 8676 Dwt 19560 Bit 1986 Sp 18 Flg
RUS UGOK L 161 B 25.21 D 12.9 DR 9.8 BHP 8,565
BLE 27,222 GRN 27,222 TEU 1,304

Kapitan Lyashenko

m c.c. Gt 9764 Net 3716 Dwt 8717 Bit 1987 Sp 18 Flg
RUS UGOD L 148 B 21.01 D 10.93 DR 7.7 BHP 11,200
REF 48 TEU 400

Kapitan Lyubchenko

m bulk Gt 10117 Net 4911 Dwt 14150 Bit 1977 Sp 15.7
Flg RUS UHRS L 151 B 25.3 D 13.5 DR 9.9 BHP
9,900 BLE 16,197 GRN 16,990

Kapitan Man

m ro/ro Gt 18574 Net 7442 Dwt 19763 Bit 1985 Sp 17
Flg RUS UIUF L 176 B 24.5 D 15.19 DR 10.5 BHP
21,000 GRN 30,284 TEU 576

Kapitan Maslov

m c.c. Gt 16600 Net 8500 Dwt 22900 Bit 1998 Sp 19.6
Flg RUS UBRO L 184 B 25.3 D 13.5 DR 9.9 BHP 18,120
GRN 29,744 REF 150 TEU 1,748

Kapitan Samoylenko

m bulk Gt 10117 Net 5036 Dwt 14204 Bit 1975 Sp 15.7
Flg RUS UHST L 151 B 21.04 D 11.59 DR 8.7 BHP
9,900 BLE 16,396 GRN 16,990

Kapitan Sergiyevskiy

m c.c. Gt 5333 Net 2491 Dwt 7420 Bit 1981 Sp 16 Flg
RUS UFMK L 130 B 17.3 D 8.54 DR 6.9 BHP 6,100 TEU
320

Kapitan Serykh

(ANTILALOS SHIPPING CO. LTD, Nicosia)
m c.c. Gt 14066 Net 8676 Dwt 19470 Bit 1986 Sp 18 Flg
RUS UGOZ L 161 B 25.21 D 12.9 DR 9.8 BHP 10,876
GRN 27,222 REF 143 TEU 1,304

Kapitan Shevchenko

m bulk Gt 10117 Net 4911 Dwt 14150 Bit 1977 Sp 16
Flg RUS UIJG L 151 B 21.04 D 11.59 DR 8.7 BHP 9,900
BLE 16,197 GRN 16,990

Kapitan Tisul

m bulk/c.c. Gt 14043 Net 7451 Dwt 19240 Bit 1981 Sp
15 Flg RUS UBLH L 162 B 22.86 D 13.52 DR 9.9 BHP
11,200 BLE 22,245 GRN 26,216 TEU 442

Khasan

m gc Gt 4937 Net 2400 Dwt 5657 Bit 1973 Sp 16.5 Flg
RUS UIIN L 117 B 16.64 D 8.62 DR 6.9 BHP 5,400 BLE
6,904 GRN 7,249 TEU 138

Khorol

m ref Gt 5286 Net 3150 Dwt 6455 Bit 1990 Sp 16 Flg
RUS UODG L 115 B 17.8 D 10.1 DR 7.8 BHP 6,800 REF
7,652

Khudozhnik Ioganson

m c.c. Gt 22369 Net 12882 Dwt 14490 Bit 1976 Sp
20.75 Flg RUS UHVV L 169 B 25.48 D 17.45 DR 9.2
BHP 17,400 REF 40 TEU 1,254

Khudozhnik Kraynev

m bulk Gt 16565 Net 8537 Dwt 24105 Bit 1986 Sp 14
Flg RUS UHIB L 184 B 22.81 D 14.18 DR 10.2 BHP
11,200 GRN 27,015

Khudozhnik Kustodiyev

m bulk Gt 16228 Net 7688 Dwt 24285 Bit 1978 Sp 16
Flg RUS UIIF L 185 B 22.86 D 14.15 DR 10.1 BHP
12,000 GRN 29,214

Khudozhnik N.Rerikh

m c.c. Gt 9764 Net 3716 Dwt 8579 Bit 1989 Sp 17.79
Flg RUS UUYO L 148 B 31.81 D 10.93 DR 7.7 BHP
11,200 REF 64 TEU 490

Khudozhnik Zhukov

m c.c. Gt 22369 Net 12882 Dwt 22968 Bit 1976 Sp
20.25 Flg RUS UHVL L 169 B 25.46 D 17.45 DR 9.2 BHP
17,400 REF 40 TEU 1,254

Kooperatsiya

m bulk Gt 31649 Net 17558 Dwt 52580 Bit 1989 Sp 14.5
Flg RUS UHBT L 216 B 31.81 D 16.95 DR 12.3 BHP
12,915 BLE 60,160 GRN 62,934

Krasin

me 3sc icebreaker Gt 14058 Net 4217 Dwt 7560 Bit
1976 Sp 20.2 Flg RUS UIFY L 134 B 26.1 D 16.7 DR 11

Kraskino

(FESTIVER SHIPPING CO. LTD, Nicosia)
m ref Gt 5286 Net 3150 Dwt 6455 Bit 1990 Sp 16 Flg
RUS UHQB L 115 B 17.8 D 10.1 DR 7.8 BHP 6,300 REF
7,652

Krasnogvardeyets

m c.c. Gt 9548 Net 3546 Dwt 9141 Bit 1986 Sp 17.8 Flg
RUS UDWE L 148 B 21.01 D 10.93 DR 7.7 BHP 11,200
REF 48 TEU 400

Lara Mikheyenko

m gc Gt 3736 Net 1884 Dwt 4648 Bit 1968 Sp 14.5 Flg
RUS UEZH L 105 B 15.6 D 8 DR 6.8 BLE 6,060 GRN
6,608 INS 6,060 REF 869

Maksim Mikhaylov

m c.c. Gt 22369 Net 12882 Dwt 14520 Bit 1979 Sp 20
Flg RUS UHVV L 169 B 25.4 D 17.45 DR 9.2 BHP
17,400 REF 40 TEU 1,254

May Bystryakov

m ferry Gt 106 Net 32 Dwt 14 Bit 1983 Sp 9 Flg RUS L
23 B 6.2 D 2.8 DR 1.9

Mekhanik Kaluzhnyy

(GOLDSMITH SHIP CO. LTD, Nicosia)
m c.c. Gt 11998 Net 5701 Dwt 14140 Bit 1990 Sp 17 Flg
RUS UFLO L 156 B 22.8 D 11.2 DR 8.6 BHP 10,808 BLE
18,536 GRN 18,723 TEU 1,158

Mekhanik Moldovanov

(FANDAX SHIPPING CO. LTD, Nicosia)
m c.c. Gt 11998 Net 5701 Dwt 14140 Bit 1991 Sp 17 Flg
RUS UIKI L 156 B 22.86 D 11.2 DR 8.6 BHP 10,808 BLE
18,536 GRN 18,723 TEU 1,158

Mikhail Sholokhov

m 2sc passenger Gt 12798 Net 4283 Dwt 1621 Bit 1986
Sp 20 Flg RUS UHLR L 139 B 21.4 D 12.6 DR 5.6 PAS
376

Nikolay Dolinskiy

m 2sc gc Gt 4643 Net 1798 Dwt 5020 Bit 1988 Sp 12.5
Flg RUS UHUB L 124 B

Nikolay Przhvalsky

m ro/ro Gt 9489 Net 2846 Dwt 5500 BIt 1984 Sp 17 Flg
RUS UERH L 152 B 19.2 D 13.1 Dft 6.6 TEU 306

Ob

m gc Gt 23980 Net 12073 Dwt 36690 BIt 1986 Sp 14.5
Flg RUS UDUK L 179 B 31 D 15 Dft 10.6 BLE 44,469
GRN 46,015

Olyutorskiy Zailv

m ref Gt 12398 Net 4116 Dwt 10113 BIt 1984 Sp 17.5
Flg RUS UINF L 152 B 22.22 D 13.62 Dft 8 BHP 10,332
REF 13,326

Pavel Ryvin No.2

(MAXCHAMP LTD, Phnom-Penh)

m wood-chip Gt 17756 Net 7848 Dwt 23625 BIt 1975
Sp 14.5 Flg KHM XUPP3 L 169 B 24.6 D 16.41 Dft 9.9
BHP 8,300 GRN 41,088

Pioneer Chukotki

m gc Gt 5371 Net 2469 Dwt 6780 BIt 1975 Sp 15.7 Flg
RUS UHLA L 130 B 17.3 D 8.5 Dft 7.3 BLE 8,250 GRN
8,435

Pioneer Kirgizli

m gc Gt 5371 Net 2469 Dwt 6780 BIt 1978 Sp 15.7 Flg
RUS UFZO L 130 B 17.4 D 8.5 Dft 7.3 BLE 8,250 GRN
8,435 TEU 200

Pioneer Slavyanki

m gc Gt 5371 Net 2469 Dwt 6080 BIt 1975 Sp 15.7 Flg
RUS UHVF L 130 B 17.3 D 8.5 Dft 6.9 BLE 8,250 GRN
8,435

Posyet

m ref Gt 4295 Net 1305 Dwt 3642 BIt 1988 Sp 17.5 Flg
RUS UGWB L 103 B 17 D 9.65 Dft 7.2 BHP 7,700 REF
4,879 TEU 62

Professor Popov

m ref Gt 6412 Net 2506 Dwt 5880 BIt 1977 Sp 20.75 Flg
RUS UIHC L 139 B 18 D 11.51 Dft 7.8 BHP 13,200 PAS
2 REF 7,430

Rudnyy

m gc Gt 4937 Net 2400 Dwt 5657 BIt 1974 Sp 16.5 Flg
RUS UFLS L 117 B 16.59 D 8.59 Dft 6.8 BHP 5,400 BLE
6,904 GRN 7,249 TEU 138

Russ

m 2sc passenger Gt 12798 Net 4482 Dwt 1621 BIt 1986
Sp 20 Flg RUS UBXE L 139 B 21.4 D 12.6 Dft 5.6 PAS
376 TEU 108

Sinegorsk

m gc Gt 6775 Net 2936 Dwt 7200 BIt 1991 Sp 16 Flg
RUS UEYF L 132 B 19.86 D 8.8 Dft 6.9 BHP 6,960 BLE
10,022 GRN 10,600 TEU 318

Slavyanka

m ref Gt 4295 Net 1305 Dwt 3642 BIt 1989 Sp 17.5 Flg
RUS UGSH L 103 B 17 D 9.65 Dft 7.2 BHP 7,700 REF
4,879 TEU 62

Ussuri

m gc Gt 4790 Net 1799 Dwt 5437 BIt 2002 Sp 14.2 Flg
RUS UCVT L 99 B 17.8 D 8.7 Dft 7.1 TEU 250

Vasily Burkanov

m ro/ro Gt 18574 Net 7442 Dwt 19763 BIt 1986 Sp 17
Flg RUS UGSI L 176 B 24.5 D 15.2 Dft 10.5 BHP 21,000
GRN 30,284 TEU 576

Vasily Golovnin

m ro/ro Gt 13514 Net 4777 Dwt 10700 BIt 1988 Sp
15.9 Flg RUS UGWJ L 163 B 22.5 D 12 Dft 9 BLE
15,300 INS 15,300 REF 212

Vaygach

m gc Gt 162 Net 48 Dwt 167 BIt 1990 Sp 8.7 Flg RUS L
35 B 7.2 D 2.4 Dft 1.8

Vladivostok

(BODYGUARD SHIPPING CO. LTD, Cyprus)

m c.c. Gt 18575 Net 8817 Dwt 23200 BIt 1998 Sp 19.6
Flg RUS UBXP L 184 B 25.3 D 13.5 Dft 9.9 BHP 18,120
GRN 29,744 REF 150 TEU 1,748

Vysokogorsk

m gc Gt 7085 Net 2936 Dwt 7365 BIt 1991 Sp 15.5 Flg
RUS UHRA L 132 B 19.87 D 8.82 Dft 6.9 BHP 6,960
BLE 10,022 GRN 10,600 TEU 318

Yelena Shatrova

m gc Gt 7085 Net 2936 Dwt 7365 BIt 1990 Sp 15.5 Flg
RUS UITR L 132 B 19.86 D 8.8 Dft 6.8 BHP 6,960 BLE
10,022 GRN 10,600 TEU 318

Yemelyan Yaroslavskiy

m gc Gt 6908 Net 3566 Dwt 7425 BIt 1974 Sp 15.5 Flg
RUS UISA L 135 B 18 D 10.3 Dft 7.5 BLE 10,746 GRN
11,491 INS 10,746 REF 267 TEU 112

Yenisei

m bulk Gt 22629 Net 14005 Dwt 37178 BIt 1985 Sp 13
Flg RUS UDUE L 186 B 28.4 D 15.6 Dft 11.1 BHP 9,600
BLE 46,092 GRN 52,131 TEU 874

Yury Ostrovskiy

(ROSELAU SHIPPING CO. LTD, Limassol)

m c.c. Gt 9630 Net 5088 Dwt 12708 BIt 1994 Sp 18.7
Flg RUS UAGU L 140 B 22.3 D 11.1 Dft 8.3 BHP 9,421
GRN 16,624 REF 110 TEU 1,012

Yury Savin

m ferry Gt 106 Net 31 Dwt 14 BIt 1988 Sp 9 Flg RUS L
23 B 6.2 D 2.8 Dft 1.9

Managed by: Commercial Shipping Co. Korf.,

ul. Berezovskaya 25, 690043 Vladivostok, Russia

Komsomolets Primorya

m ref Gt 12398 Net 3816 Dwt 9360 BIt 1983 Sp 17.5 Flg
RUS UHJD L 152 B 22.22 D 13.62 Dft 7.5 BHP 10,330
REF 13,326

FAR EASTERN TANKER CO. LTD

1A Odesskaya Street, 682860 Vanino,
Khabarovskiy Kray, Russia

Alexander Ioffe

(WORLD TRAVELLER NAV. CO. LTD, Belize City)
m product tanker Gt 1390 Net 867 Dwt 2456 BIt 1969
Sp 11 Flg RUS L 87 B 12.25 D 5.22 Dft 4.3 BHP 1,400
LIQ 2,837

FESTRANS CO. LTD

40 Pogranichnaya Street, Nakhodka,
Primorskiy Kray, Russia Fax: +7 42366 44461 Telex:
614772 FSTRS RU

Kovdor

m gc Gt 3487 Net 1778 Dwt 4303 BIt 1967 Sp 14 Flg
RUS UKLM L 105 B 14.6 D 8 Dft 6.6 BLE 5,775 GRN
6,248

FIRM SOUTH-CARGO LTD

Russian Federation, Russia

Princessa Elena

m passenger Gt 2964 Net 1131 BIt 1991 Sp 12.5 Flg
RUS L 88 B 13.6 D 7 Dft 3.6

FISH TRADING HOUSE JOINT STOCK CO.

Vladivostok, Russia

Ametistovyy

m ref Gt 676 Net 233 Dwt 495 BIt 1982 Sp 11.2 Flg RUS
UHTF L 55 B 9.5 D 5.2 Dft 4.3 REF 632

FISHING COLLECTIVE TIKHIY OCEAN

1 Kolhoznyaya Avenue, Livadia, 692903 Nakhodka,
Primorskiy Kray, Russia Tel: +7 42366 51168 Telex:
213857 OCEAN SU

BSR-72

m gc Gt 181 Net 54 Dwt 122 BIt 1971 Sp 8.4 Flg RUS
UGJK L 35 B 7.2 D 2.4 Dft 1.8

FORTUNA COMMERCIAL CO.

Novorossiysk, Krasnodarskiy Kray, Russia

Snozhuha

m gc Gt 243 Net 89 Dwt 106 BIt 1952 Sp 9.5 Flg RUS
UZYH L 38 B 7.4 D 3.5 Dft 2.8

FORTUNA-TANKER LTD

44A Pogranichnaya Street, No.01-09, 692900 Nakhodka,
Primorskiy Kray, Russia Tel: +7 4236 626678/9 Fax: +7
4236 (50491) 52378 Telex: 353831 RU Email:
fortan@nhk.infosys.ru Personnel: MAN, DIR.: Aleksandr
T Odnodvorts

87 Komsomolskaya Street, Aleksandrovsk-Sakhalinskiy,
Russia

Essa

(WILDRIVER NAV. CO. LTD, Monrovia)

m product tanker Gt 3517 Net 1703 Dwt 5045 BIt 1969
Sp 14 Flg RUS UFCC L 106 B 15.5 D 7.9 Dft 6.7 LIQ
5,736

Tugur

m product tanker Gt 5103 Net 1833 Dwt 5863 BIt 1983
Sp 14 Flg RUS UFMU L 115 B 17 D 8.5 Dft 7 BHP 3,351
BLE 121 LIQ 6,308

Vitim

m chemical/oil carrier Gt 4253 Net 2292 Dwt 6655 BIt
1980 Sp 12 Flg VCT J8UJ7 L 106 B 16.54 D 8.21 Dft 7.3
BHP 3,800 LIQ 8,009

Managed by: Prisco Traffic Joint Stock Shipping Co.

Ltd, 3 Portovaya Street, 692900 Nakhodka,
Primorskiy Kray, Russia Tel: +7 42366 79098 Fax: +7
42366 79099 Telex: 614966 JS PTL SU

Fortan

m product tanker Gt 3517 Net 1703 Dwt 5022 BIt 1972
Sp 10 Flg RUS UIIP L 106 B 15.5 D 7.9 Dft 6.7 LIQ
5,736

FOS SHIPPING

Gelendzhik, Krasnodarskiy Kray, Russia

Nika

(ORION INTERNATIONAL S.A., Cambodia)
m 2sc gc Gt 2457 Net 1010 Dwt 3248 BIt 1967 Flg KHM
XUTZ L 114 B 13.2 D 5.5 Dft 3.6

FRIM, JOINT STOCK CO.

50 Mayakovskogo Street, St. Petersburg, Russia Tel: +7
812 3268060 & 3268064 Fax: +7 812 3268066 Telex:
94070314 NOWT G Personnel: MAN, DIR.: Alexander
Elesin; OPS.DIR/MGR.: Sergey Skvortsov;
OPS.DIR/MGR.: Alexander Zhigalin; CREW DIR./MGR.:
Alexander Prosnutov; STORES & SPARES MGR.:
Sergey Fetisov; CHIEF SUPT.ENG.: Iosif Ainshteyn

Dana-1

(ES LTD, Douglas)
m 2sc gc Gt 1494 Net 641 Dwt 1968 BIt 1973 Sp 12 Flg
SLZ V3IB L 81 B 11.8 D 5.6 Dft 4 BLE 2,564

Ladoga 17

m 2sc gc Gt 1588 Net 640 Dwt 1855 BIt 1978 Sp 12.2
Flg RUS UAPH L 80.9 B 11.9 D 5.6 Dft 4 BLE 2,623

Little Star

m 2sc gc Gt 1697 Net 610 Dwt 1723 BIt 1985 Sp 10.5
Flg GEO 4LTS L 82 B 12 D 3.5 Dft 2.5

Vita

(VITA LINE, St. Petersburg)
m 2sc gc Gt 2406 Net 1024 Dwt 3230 BIt 1964 Sp 10
Flg RUS UIVR L 114 B 13.2 D 5.5 Dft 3.7 GRN 4,510

GALAKTIKA, OOO

Astrakhan, Russia

Voskhod

m product tanker Gt 305 Net 78 Dwt 270 BIt 1958 Sp
8.5 Flg RUS UHXW L 43 B 7.6 D 3.5 Dft 3.2

GALS CO. LTD

Nakhodka, Primorskiy Kray, Russia

Fokino

m product tanker Gt 1896 Net 1014 Dwt 3389 BIt 1987
Sp 10.2 Flg RUS UBAA L 77 B 14 D 6.5 Dft 5.4 BHP
1,203 LIQ 3,513

Platovo

m 2sc product tanker Gt 950 Net 495 Dwt 1634 BIt 1974
Sp 8.7 Flg RUS L 60 B 11 D 5.5 Dft 4.8

GALS-T.

4 Tolstogo Street, 353900 Novorossiysk,
Krasnodarskiy Kray, Russia Tel: +7 8617 264462 Fax: +7
8617 250929

Ekaterina 2

m 2sc passenger Gt 5330 Net 1987 Dwt 1332 BIt 1960
Sp 17 Flg RUS UIFF L 122 B 16 D 7.6 Dft 5.3 BLE 505
PAS 333
being used as floating hotel at Novorossiysk

GAZKOMPROM JOINT STOCK CO.

ul. Narmetkina 16, 117884 Moscow, Russia Tel: +7 095
7192812

Boris Shcherbina

m gc Gt 3466 Dwt 4430 BIt 2002 Sp 11 Flg RUS UDKT
L 103.23 B 16.2 D 6.2 Dft 4.6

G.E.M. SHIPPING

316 Pereulok Sportmenskiy, Nizhniy Novgorod, Russia

Partner

m gc Gt 2610 Net 1482 Dwt 4449 BIt 1979 Sp 11 Flg
GEO 4LPW L 86 B 14.3 D 8.35 Dft 6.8 BHP 2,980 BLE
4,904 GRN 5,171 TEU 140

GENBULKMARIN LTD

ul. Arkhitekta Vlasova 49-510, GSP-7 Moscow, Russia
Tel: +7 95 7558816/7 Fax: +7 95 9602328 Telex:
94072116 GBMA G (VIA UK) Email: gbm@sbc.ru
Personnel: MAN, DIR.: Valery Lebedev; OPS.DIR/MGR.:
Andrey Kosolapchenkov; OPS.DIR/MGR.: Denis
Kroujovskiy; MARKETING DIR./MGR.: Larisa Kostina;
CHIEF MARINE SUPT.: Victor Sadadin

Optima

(SHINC SHIPPING LTD, Valletta)
m bulk/c.c. Gt 16710 Net 9662 Dwt 25586 BIt 1982 Sp
13 Flg MLT 9HHR7 L 173 B 26.61 D 13.52 Dft 9.7 BHP
13,300 BLE 32,762 GRN 34,762 INS 32,762 REF 10 TEU
634

GERMES CO. LTD

Russian Federation, Russia Email:

sown@germes.sovgav.ru

Stepanida

(BLUESKY NAV. LTD, Malta)
m 2sc gc Gt 4643 Net 1798 Dwt 5020 BIt 1985 Sp 12.5
Flg MLT 9HV13 L 124 B 16.4 D 7.5 Dft 5.5

GESSAR, FISHING CO.

ul. Berezovskaya 14, 690003 Vladivostok, Russia Tel: +7
4232 460991 Fax: +7 4232 461026 Telex: 709396 RU

Ostrov Iony

m ref Gt 683 Net 233 Dwt 529 BIt 1991 Sp 11.3 Flg RUS
UGCW L 55 B 9.5 D 5.2 Dft 4.5 BHP 800 REF 632
Repairs Vladivostok 29 Oct 2003

GIROS, TOO

ul. Sophie Perovskoy 2, 183016 Murmansk, Russia Tel:
+7 55049 Telex: 126125 BIP SU

GLOBUS JOINT STOCK CO.

Petropavlovsk-Kamchatskiy,
Kamchatskaya Oblast, Russia

Ichinsky

m ref Gt 677 Net 233 Dwt 495 BIt 1986 Sp 11.3 Flg RUS
UIEX L 55 B 9.5 D 5.2 Dft 4.3

GORIZONT, SHIPPING CO., CO. LTD

Russian Federation, Russia

Sea Line

m gc Gt 1426 Net 682 Dwt 1825 BIt 1969 Sp 12.5 Flg
KHM XUUA9 L 77 B 11.5 D 5.6 Dft 4.9 BLE 2,289 GRN
2,453



FEDERAL MARITIME COMMISSION

OFFICE OF THE SECRETARY
800 NORTH CAPITOL STREET, N.W.
WASHINGTON, DC 20573-0001
(202) 523-5725

August 31, 2004

Eliot J. Halperin, Esq.
Manelli Denison & Selter PLLC
Attorneys
2000 M Street, 7th Floor
Washington, D.C. 20036-3307

Re: -Federal Maritime Commission Letters of May 30, 2003

Dear Mr. Halperin:

This is to respond to your August 25, 2004, letter with regard to four letters dated May 30, 2003, which were signed by Chairman Blust and sent to Senators Richard C. Shelby and Patty Murray and Representatives Ernest J. Istook and John W. Olver ("May 30 letters"). Except for the addressees, the four letters are identical and address the activities of the Far Eastern Shipping Company in the United States-Russian Far East Trade and were prepared in response to a February 13, 2003, request of the Conference Committee on Appropriations.

Your August 25, 2004, letter seeks my response to three specific questions concerning the May 30 letters. In essence, you ask whether the members of the Commission held any "meetings," as described in 46 C.F.R. 503.71, on the May 30 letters; considered the May 30 letters or their contents as official agency business circulated to the members in writing for disposition on notation; or voted on the May 30 letters either at a "meeting," or by notation or otherwise approved or disapproved the May 30 letters or any drafts thereof.

This is to advise that the answer to each of the three questions posed in your August 25, letter is "no." I trust this is responsive to your query. If you have any further questions, please do not hesitate to contact me.

Sincerely,

Bryant L. VanBrakle
Secretary



Second Avenue, Suite 1100 * Seattle, Washington 98104 U.S.A.
Tel. 206-583-0860 * Fax. 206-583-0889 * (800) ASK FESCO

821

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FESCO Pacific Line (Russia Service)

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MAN 225WB | AMDERMA
226WB | ANATOLY
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| | SLD JUL 31 | ETD SEP 06-09 | ETD OCT 28 |
| LAST RECEIVING DATE: | T-7 | PACIFIC TERMINAL | TBN |
| BREAKBULK – | - | SEP 02 | OCT 25 |
| RO-RO – | - | SEP 01 | OCT 22 |
| CONTAINER – | - | SEP 03 | OCT 26 |
| DOCUMENTATION – | - | SEP 02 | OCT 25 |

FOR RUSSIAN FAR EAST PORTS OF:

MAGADAN ETA	AUG 13-14	OCT 03-04	NOV 12
KORSAKOV ETA	AUG 18-19	via VVO	NOV 17
VLADIVOSTOK ETA	AUG 21-22	OCT 09-10	NOV 20
P-K	via VVO	via VVO	via VVO

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